



**Republic of the Philippines
COMMISSION ON AUDIT
Commonwealth Avenue, Quezon City**

ANNUAL AUDIT REPORT

on the

**Municipality of Taytay
Province of Palawan**

For the Year Ended December 31, 2020



**Republic of the Philippines
COMMISSION ON AUDIT
REGIONAL OFFICE IV-B
Commonwealth Ave., Quezon City**

June 28, 2021

HON. CHRISTIAN V. RODRIGUEZ

Municipal Mayor
Taytay, Palawan

Dear **Mayor Rodriguez**:

We are pleased to transmit the report on the results of the audit on the accounts and operations of the Municipal Government of Taytay, Palawan for the calendar year ended December 31, 2020 in compliance with Section 43 of Presidential Decree No. 1445, otherwise known as the Government Auditing Code of the Philippines.

The audit was conducted to (a) ascertain the level of assurance that may be placed on management's assertions in the financial statements; (b) evaluate the extent of compliance with laws and regulations as well as the propriety and validity of transactions; (c) recommend agency improvement opportunities; and (d) determine the extent of implementation of prior years' audit recommendations.

Our audit was conducted in accordance with International Standards of Supreme Audit Institutions (ISSAIs) and we believe that it provided a reasonable basis for the results of audit.

The Audit Report consists of the Independent Auditor's Report, Audited Financial Statements, Observations and Recommendations, the Status of Implementation of Prior Years' Audit Recommendations and the Annexes.

We rendered a qualified opinion on the fairness of presentation of the financial statements of the Municipality in view of the exceptions noted in the audit as stated in the Independent Auditor's Report in Part I of this report.

The audit observations together with the recommended courses of action are presented in detail in Part II of this report. These had been discussed with the Management through the issuance of the Summary of Audit Observations and Recommendations on June 18, 2021. Management comments were acknowledged and incorporated in the report where appropriate.

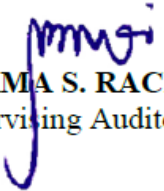
We request that the recommended remedial measures be immediately implemented and we will appreciate being informed of the action(s) taken by submitting the duly accomplished



Agency Action Plan and Status of Implementation (AAPSI) form within 60 days upon receipt hereof pursuant to Section 89 of the General Provisions of Republic Act No. 11465, otherwise known as the General Appropriations Act of 2020.

We acknowledge the support and cooperation that you and your staff extended to the Audit Team, thus facilitating the submission of the report.

Very truly yours,



NORMA S. RACELIS
Supervising Auditor

Copy furnished:

1. Secretary, Sangguniang Bayan
Taytay, Palawan
2. The Regional Director
Department of Interior and Local Government, Region IV-B
3. The Regional Director
Department of Budget and Management, Region IV-B
4. The Regional Director
Bureau of Local Government Finance, Region IV-B
People's Mansion Compound
Batangas City
5. National Library (soft copy)
6. University of the Philippine (UP) Law Center (soft copy)
7. COA Commission Central Library (soft copy)

[NAME OF AGENCY AND ADDRESS]

**AGENCY ACTION PLAN and
STATUS of IMPLEMENTATION**
Audit Observations and Recommendations
For the Calendar Year 2020
As of _____

Ref.	Audit Observations	Audit Recommendations	Agency Action Plan				Status of Implementation	Reason for Partial/Delay/ Non-Implementation, if applicable	Action Taken/ Action to be Taken
			Action Plan	Person/ Dept. Responsible	Target Implementation				
					From	To			

Agency sign-off:

Municipal Mayor

Date

EXECUTIVE SUMMARY

Introduction

The Municipality of Taytay, Palawan is located on the western portion of the Philippines, comprising one of the northern towns in the Province of Palawan. It is bounded on the north by the Municipality of El Nido, on the south by the Municipalities of Roxas and Dumarán and on the southwest by the Municipality of San Vicente.

In line with Republic Act No. 7160, otherwise known as the Local Government Code of 1991, the Municipality, like any government units, enjoys total autonomy in managing, deciding and planning its own administrative, fiscal and development affairs in conformity with the national government's thrust for sustainable social and economic growth.

Financial Highlights

As of December 31, 2020, total assets amounted to ₱1,161,572,161.63 which increased by ₱141,898,613.56 while liabilities of ₱290,477,165.20 also increased by ₱18,499,405.91. Government Equity in the amount of ₱871,094,996.43 showed an increase of ₱123,399,207.65. Total realized revenue increased by ₱81,879,778.38 along with an increase in the total expenses by ₱72,922,072.93.

The total assets, liabilities, government equity, income and expenses for CY 2020 compared with that of the preceding year are as follows:

	CY 2020	CY 2019	Increase (Decrease)
Total Assets	₱1,161,572,161.63	₱1,019,673,548.07	₱141,898,613.56
Total Liabilities	290,477,165.20	271,977,759.29	18,499,405.91
Total Equity	871,094,996.43	747,695,788.78	123,399,207.65
Total Income	492,633,492.35	410,753,713.97	81,879,778.38
Total Expenses	372,974,284.70	300,052,211.77	72,922,072.93

Operational Highlights

On February 2020, the Municipality of Taytay was awarded a Certificate of Recognition for passing one out of the seven Local Governance Assessment Areas for the year 2019 namely "Tourism, Culture and Arts". The LGU passed all requirements due to the presence of a tenured Municipal Tourism Officer, a Local Council for Culture and Arts, an inventory of the local cultural properties as well as presence of a Tourist Information and Assistance Center.

Presidential Proclamation No. 922 dated March 8, 2020 (declaring a State of Public Health Emergency) and Proclamation No. 929 dated March 16, 2020 (declaring State of Calamity throughout the country) both enjoined all government agencies and LGUs to render full assistance to and cooperation with each other and mobilize the necessary resources to undertake critical, urgent, and appropriate disaster response aid and measures in a timely manner to curtail and eliminate the threat of COVID-19. In line with this, the Municipality of Taytay utilized the funds received from the national government (Bayanihan Grant for Cities and Municipalities (BGCM)) and realigned programs from DRRM Funds to newly identified PPAs that will respond to the needs of the people of Taytay, Palawan during COVID-19 pandemic.

Below are some of the photo documentations of the Municipal DRRMO personnel and volunteers while making improvised face shields and during repacking of relief goods, which were then distributed to various households/beneficiaries.



During CY 2020, the LGU was awarded with a plaque of appreciation by the Provincial Government of Palawan for their efforts during COVID-19 response and operation.



Scope of Audit

The Audit Team conducted financial and compliance audits on the accounts and operations of the Municipality of Taytay, Palawan for Calendar Year 2020. The audit was conducted on a test basis and consisted of review of operating procedures, interview of concerned government officials and employees, verification, reconciliation and analysis of accounts and such other procedures considered necessary.

The audit was conducted to (a) determine whether Management presented fairly the financial statements in adherence to the International Public Sector Accounting Standards; (b) ascertain the level of assurance that may be placed on management's assertions in the financial statements; (c) evaluate the extent of compliance with laws and regulations as well as the propriety and validity of transactions; (d) recommend agency improvement opportunities; and (e) determine the extent of implementation of prior years' audit recommendations.

Audit Opinion on the Financial Statements

The Auditor rendered a qualified opinion on the fairness of the financial statements presentation due to the following:

1. The existence and accuracy of Property, Plant and Equipment (PPE) accounts with net book value of ₱267,482,715.89 as of December 31, 2020 could not be ascertained due to (a) absence of physical inventory report duly reconciled with PPE ledger cards and property cards and (b) unidentified PPE totaling ₱30,628,717.10; and

2. Unreliable yearend balances of Construction-in-progress (CIP) accounts totaling ₱201,695,257.73 due to absence of subsidiary schedules and incorrect recording of expenditures for infrastructure projects under Trust Fund book.

Significant Observations and Recommendations

For the above exceptions, we recommended that the:

For PPE accounts

1. Inventory Committee (i) prepare the Report on the Physical Count of PPE and Report on the Physical Count of the Local Road Network System and immediately complete the reconciliation with the Property Cards, PPE Ledger Cards, Road Network Ledger Cards and other accounting records; and (ii) submit a copy thereof to the Audit Team;
2. Municipal Engineer (i) submit a complete report on the costs, description and specifications and cost segregation of the road components to the Municipal Accountant as bases for disclosures in the NTFS; and (ii) regularly assess each road component for impairment; and

For CIP accounts

3. Municipal Accountant (i) review the subsidiary ledgers (SL) of the CIP account and make sure that each project will only have one SL; (ii) submit the schedule of the SL balances of the CIP account as well as the schedule of the related expenditures of completed projects already transferred to PPE account to facilitate validation of the reported actual work accomplished per project; and (iii) use the proper accounts and make the necessary adjustments to reflect the correct CIP account balances in the Trust Fund.

For calendar year 2020, the following are the other significant observations and recommendations:

1. The Municipal Treasurer did not automatically release to the Local School Board the proceeds of the additional one percent (1%) real property tax accruing to the Special Education Fund (SEF) contrary to Section 272 of the Republic Act (R.A.) No. 7160 due to failure to prepare separate Report of Collections and Deposits for Basic Tax and the Additional Tax accruing to the SEF as required by Section 64(A) of the Local Treasury Operations Manual (LTOM). Moreover, the recorded total collections of the basic Real Property Tax (RPT) and Special Education Tax (SET) for CY 2020 have a variance of ₱7,255,861.57 contrary to Section 233 of the R.A. No. 7160.

We recommended that the Municipal Treasurer prepare separate reports of collections for RPT and SET and automatically deposit the proceeds of the additional

1% RPT accruing to the SEF depository account, in compliance with Section 272 of R.A. 7160 and Section 64(A) of the LTOM. We also recommended that the Municipal Accountant ensure the correctness of the amount of RPT and SET collections of to be credited to both RPT and SET Receivable accounts.

2. Disparity of ₱6,185,566.98 in the balances of reciprocal accounts Due from Other Funds and Due to Other Funds as of December 31, 2020 rendered these account balances unreliable.

We recommended that the Municipal Accountant exert efforts in reconciling the Due from Other Funds and Due to Other Funds accounts in all funds, determine the cause/s of disparity in the balances and record the necessary adjustments in the books to present the correct balances in the financial statements.

3. The Statement of Comparison of Budget and Actual Amount (SCBAA) for the year 2020 is unreliable due to unreported utilization of the Municipality's Bayanihan Grant (BGCM) and the variances noted in the final budgets of the GAD Fund and Persons with Disability (PWD) Program Fund, resulting in the understatement of both the Final Budgets and Actual Amounts totaling ₱41,299,891.43 and ₱33,703,795.96, respectively.

We recommended that the Municipal Accountant and the Municipal Budget Officer reconcile their respective records on appropriations and obligations, verify the resulting discrepancies and exercise due care in preparing budget reports to ensure accurate final budgets and actual amounts in the SCBAA.

4. Reconciling items totalling ₱48,529,178.21 were not itemized in the Reconciliation Statement of Actual Amounts presented in the SCBAA and in the Statement of Financial Performance (SFPer) and the actual amounts in the SFPer presented in the Reconciliation Statement did not include the income and expenditures under the SEF contrary to Paragraph 47 of IPSAS 24, thus the accuracy of the Reconciliation Statement and the actual amounts of Personal Services (PS), Maintenance and Other Operating Expenses (MOOE) and Capital Outlay expenditures presented in the SCBAA could not be determined.

We recommended that the Municipal Accountant and the Municipal Budget Officer submit the details of reconciling items totalling ₱48,529,178.21 and henceforth reconcile their records on allotments and obligations monthly, verify resulting discrepancies and submit the required budget reports and reconciliation statement within the prescribed period.

5. Eighty-three (83) disbursement vouchers and supporting documents of recorded check and cash disbursements totaling ₱23,095,459.77 and 168 journal entry vouchers and supporting documents for non-cash transactions were not submitted to the Audit Team contrary to Section 347 of Republic Act No. 7160 and Section 7.2.1(a) of COA Circular No. 2009-006 dated September 15, 2009, thus precluded

evaluation of the validity, legality, completeness and accuracy of the recorded transactions.

We recommended that the Municipal Accountant immediately submit the disbursement vouchers, obligation requests, journal entry vouchers and supporting documents for the subject transactions since these transactions were already recognized in the books; and henceforth, ensure strict adherence to the provisions of Section 347 of R.A. No. 7160 and Section 7.2.1(a) of COA Circular No. 2009-006 on the timely submission of accounts to the Auditor.

6. The Municipality was not fully compliant with the provisions of R.A. No. 10121 or the “The Philippine Disaster Risk Reduction and Management (DRRM) Act of 2010” and COA Circular No. 2012-002 dated September 12, 2012 as manifested by the (a) non-transfer of the unexpended balance of the CY 2020 DRRMF–MOOE amounting to ₱5,410,141.34 to the LDRRMF Special Trust Fund (STF) bank account; (b) non-recording of donation from OKADA for COVID19-related purposes amounting to ₱250,000.00 to the Trust Liabilities–DRRMF account; and (c) non-maintenance of Subsidiary Ledgers (SLs) for the Trust Liabilities–DRRMF account and variances between the available, utilized and unexpended balances of DRRMF presented in the Notes to Financial Statements (NTFS) and in the Monthly Report on the Sources and Utilization of the DRRMF.

We recommended that a) the Municipal Accountant and the Municipal Budget Officer immediately reconcile their records on DRRMF in coordination with the MDRRM Officer; b) the Municipal Accountant immediately (i) reconstruct the SLs for all transfers of unexpended DRRMF to the STF by year of transfer; (ii) record necessary adjustments in the books to reflect the correct balance of the Trust Liabilities-DRRMF account and to present the correct amounts in the NTFS and in the Monthly Report on the Sources and Utilization of the DRRM Fund; and (iii) henceforth, record the DRRM funds received from other sources to the Trust Liabilities-DRRMF account; and iv) the Municipal Accountant and the Municipal Treasurer cause the immediate transfer of the unexpended DRRMF to the LDRRMF STF bank account.

7. Several lapses were noted in the utilization of DRRMF such as: (a) funding for COVID-19 related PPAs covered by Supplemental Budget No. 2, s-2020 was sourced from CY 2015-2019 unutilized DRRMF balances (from Special Trust Fund) and CY 2020 DRRMF (General Fund); (b) incomplete documentary requirements contrary to Section 4.1 of GPPB Circular No. 01-2020; (c) unsubmitted disbursement vouchers (DVs) under the Trust Fund (TF) amounting to ₱19,795,475.99; and (d) variance of 6,846 sacks of rice between the MDRRMO reported quantity and per audit and absence of proof of receipt and distribution to intended beneficiaries.

We recommended that the:

- a. MDRRM Officer, upon recommendation of the MDRRM Council, i) facilitate the preparation of the revised/supplemental investment plan for newly identified

PPAs to be funded by the reprogramming from STF and from DRRMF in the GF; ii) ensure that the supplemental investment plan for PPAs funded by STF is approved by the sanggunian and the realignment/reprogramming funded by the current 5% and continuing appropriations of DRRMF in the GF is covered by a supplemental budget duly enacted by the sanggunian; and submit explanation on the variance of 6,846 sacks of rice between MDRRMO report and per audit. For proper monitoring and reporting purposes, the PPAs funded by STF should be identified separately from the PPAs funded by the current year 5% DRRMF in the GF; and

- b. Municipal Accountant i) thru the BAC and other concerned offices, submit the lacking documents as well as the rice and other welfare goods distribution list; ii) submit the lacking DVs; and iii) thoroughly review the disbursements, as part of the internal audit system of the Municipality to determine the completeness and propriety of supporting documents before certifying the DVs.
8. Various lapses were noted in the utilization of the Municipality's Bayanihan Grant such as: (a) expenditures totalling ₱1,123,112.96 were not recorded in the special account in the general fund (SAGF); (b) seven DVs totalling ₱22,325,480.00 were not supported with supplier's Income Tax Return for CY 2019 as required by Section 4.1 of GPPB Circular No. 01-2020; (c) incomplete details on the purchase orders for the procurement of welfare goods and equipment contrary to COA Circular No. 96-010; (d) non-submission of the monthly fund utilization and status of implementation of PPAs; and (e) posting of the updated Annual Procurement Plan (APP) and Notice of Award (NOA) using other name instead of the Municipality's accounts in the GPPB Online Portal for Emergency Procurement under the Bayanihan Act.

We recommended that the:

- a. Municipal Accountant i) ensure that all receipts and utilization of funds under a special account are properly recorded in the SAGF; ii) thru the BAC and other concerned offices, submit the lacking documents; and iii) thoroughly review the disbursements, as part of the internal audit system of the Municipality to determine completeness and propriety of supporting documents before certifying the DVs;
- b. Municipal Mayor (i) require the Local Finance Committee (LFC) to prepare the monthly report on fund utilization and status of implementation of PPAs using the prescribed format pursuant to Item 4 of DBM LBC No. 125; and (ii) thru the BAC Secretariat, ensure that the complete and detailed item description is included in the Purchase Order, in accordance with the provisions of COA Circular No. 96-010; and
- c. BAC, i) thru the BAC Secretariat, create an account in the GPPB online portal using the name of the Municipality of Taytay as "Procuring Entity" so that the uploaded NOA, POs, APP and other information would be properly reported

under the name of the Municipality of Taytay; and ii) continue to comply with the posting requirements of GPPB Circular 2020-001 for information purposes to promote transparency and accountability in the government transactions.

9. Deficiencies were noted in the implementation of infrastructure projects funded by the 20% DF, Local Government Support Fund (LGSF), Gender and Development (GAD) Fund, DRRM Fund and General Fund proper such as: (a) implementation of 152 projects were not reported by the Municipal Engineer contrary to COA Circular No. 2013-004 dated January 30, 2013; (b) 121 projects with project costs totalling ₱109,869,138.77 remained unimplemented while 56 projects were still on-going as of December 31, 2020; (c) lacking documents required for the technical evaluation and inspection of infrastructure projects as well as absence of reliable CIP subsidiary ledgers for projects implemented by “administration”, hence the total costs incurred to date could not be validated; and (d) advances and progress billings paid to the contractor of Construction of Evacuation Center totalling ₱32,170,253.03 were directly debited to Due to National Government Agencies (NGAs) account, thereby understating the CIP and Advances to Contractors account as of yearend.

We recommended that the:

- a. LCE, through the Municipal Engineer and Municipal Planning and Development Coordinator (MPDC), (i) re-evaluate the number of infrastructure projects which were identified to be undertaken “by administration” and assess whether the Municipality’s limited manpower and equipment as well as the technical capability to undertake is sufficient to allow project implementation and completion within the time schedule; and (ii) fast track the implementation of the infrastructure projects and make sure that all projects are strictly monitored and implemented in accordance with plans and schedules;
- b. MPDC and the Local Development Council establish priorities during investment programming and include in the Annual Investment Program only those programs and projects which are feasible, specifically identified and with resource requirements that are based on duly approved POWs and Detailed Cost Estimates;
- c. Municipal Engineer ensure that the status report of all infrastructure projects of the municipality is complete and supported with SWA and other documents required for technical evaluation and inspection;
- d. Municipal Accountant use the proper accounts and make the necessary adjustments to reflect the correct CIP and Advances to Contractors account balances in the Trust Fund; and
- e. Municipal Accountant and the Municipal Engineer (i) submit the lacking technical documents; and (ii) maintain a complete set of technical documents per project for easy monitoring of the project implementation.

10. Unused balances totalling ₱484,067.60 were not returned to the source agencies after completion of the project contrary to the provisions of Section 4.9 of COA Circular No. 94-013 dated December 13, 1994. Moreover, fund transfers from national agencies totalling ₱7,437,621.65 remained not fully utilized thereby defeating the objectives of the fund transfers and depriving intended beneficiaries of the benefits that could be derived therefrom.

We recommended that the Municipal Mayor, i) thru the Municipal Accountant, review the Memoranda of Agreement pertaining to the aforesaid unutilized balances of completed projects and communicate with the source agencies for the immediate return of such balances; and ii) thru the MPDC, coordinate with the implementing offices of the abovementioned on-going and unimplemented projects so that appropriate actions may be undertaken thereon for effective and efficient utilization of the funds.

11. Deficiencies were noted in the implementation of the Improvement of Slaughter House with approved budget of ₱2,000,000.00 funded by the FY 2019 Local Government Support Fund-Other Financial Assistance (LGSF-FA) to LGUs such as: (a) delayed implementation of the project which may result in the possible cancellation of the project; (b) payments for construction materials and labor component totalling ₱1,557,533.97 were directly debited to Due to NGAs account, thereby understating the CIP account balance as of yearend; (c) non-reporting and non-posting of the fund utilization and status of program/project implementation using the prescribed format of DBM LBC No. 199 dated July 15, 2019; and (d) failure to secure a certificate of registration from the Bureau of Animal Industry in violation of Section 2 of the R.A. No. 8485, otherwise known as “The Animal Welfare Act of 1988”.

We recommended that the:

- a. Municipal Mayor i) instruct the Municipal Engineer to fast track the Improvement of the Slaughter House to avoid cancellation of the project; ii) thru the Local Finance Committee (LFC), ensure strict compliance with the quarterly reporting and posting of the fund utilization and status program/project implementation as required by the guidelines of LGSF-FA to LGUs; and iii) thru the Municipal Agriculturist, secure the required certificate of registration from the Bureau of Animal Industry as required by R.A. No. 8485 or the “Animal Welfare Act of 1988”;
- b. Municipal Accountant make the necessary adjustments to reflect the correct CIP and Due to NGAs account balances in the Trust Fund; and
- c. BAC and other concerned offices properly plan the procurement of the goods, services and infrastructure projects to achieve timely implementation and/or fulfillment of the purpose of fund received by the Municipality from the national government.

12. Travelling expenses of ₱476,880.00 incurred for private purposes such as employees' medical examination and personal government transactions and reimbursement of pump boat hires totalling ₱1,745,720.00 and ₱2,107,670.00 were found unnecessary and excessive, respectively, pursuant to COA Circular No. 2012-003 dated October 29, 2012.

We recommended that the Local Chief Executive (LCE), (i) thru the Municipal Accountant and HRM Officer, discontinue charging personal travels against the funds of the Municipality and instead, require them to submit application for leave of absence; (ii) enjoin all department heads to properly plan/schedule their activities in the barangays to minimize the transportation costs incurred by the Municipality particularly the rentals of motorized bancas; and (iii) thru the Municipal Accountant and immediate supervisors of the employees claiming pump boat rentals, strictly implement the standard rates established by Ordinance No. 311, s.2018.

For the non-availability of a regular transportation in the island barangays, the LCE and the concerned department heads were also encouraged to strategize and utilize the municipal funds to address the problem of sea transportation such as budget proposal for the purchase of additional watercrafts in the ensuing year, which can ferry officials and employees from the official station to their destination and vice-versa, as well as those barangay constituents who cannot afford to hire pumpboat services for their travel to mainland Taytay.

13. Amounts due to GSIS, Pag-IBIG and PhilHealth totalling ₱233,773.22 were not remitted intact within the period prescribed in Section 6 of R.A. No. 8291, Section E.4 of HDMF Circular No. 275 dated January 22, 2010 and PhilHealth Circular No. 0001, s.2014. Moreover, the year-end balances included negative balances totalling ₱275,949.44 which connotes over-remittances while balances totalling ₱20,910.40 were not supported with subsidiary schedules indicating the name of employees and period covered by the unremitted contributions and loan amortizations.

We recommended that the a) Municipal Accountant reconcile the records on Due to GSIS, Pag-IBIG and PhilHealth and provide subsidiary schedules for balances totalling ₱20,910.40 to facilitate remittance to the concerned agencies; b) HRM Officer immediately determine the cause/s of the discrepancies between the computed contributions and loan amortizations and the amounts on the billing sent by these agencies and inform the individuals concerned in order to facilitate the necessary adjustments; and c) Municipal Accountant and the Municipal Treasurer ensure that funds collected by the municipal government in behalf of other government agencies are remitted to them fully and within the prescribed due dates to avoid incurrence of interests and penalties.

14. The Municipality has not institutionalized the mechanisms in the implementation of the Magna Carta of Women due to a) non-maintenance of complete sex-disaggregated data or Gender and Development (GAD) database; and b) non-

formulation of an updated GAD Code, contrary to the provisions of the Philippine Commission on Women (PCW)-DILG-DBM and the National Economic and Development Authority (NEDA) JMC No. 2013-01 dated July 18, 2013, thus gender issues and concerns identified in the GAD Plan and Budget may not be fully addressed towards the attainment of gender equality and women's empowerment.

We recommended that the Municipal Mayor instruct the:

- a. MPDC, with the assistance of the GFPS, to establish a complete and updated GAD database, and conduct gender analysis to serve as a basis for addressing gender issues and concerns in GAD planning and budgeting for the ensuing years; and
 - b. Local Sanggunian to formulate an updated GAD Code or ordinances that will support the Municipality's efforts in promoting, protecting and fulfilling women's human rights, economic empowerment and gender-responsive governance towards the attainment of gender equality and women's empowerment.
15. The COA Order of Execution issued to enforce the settlement of Notice of Disallowance No. T-19-001-100-(2017) dated April 2, 2019 was not fully complied with leaving unsettled balance of ₱63,167.00 as at year-end contrary to the provisions of Section 7.1 of COA Circular No. 2009-006 dated September 15, 2009.

We recommended that the (a) Municipal Mayor require the full settlement of the disallowance; and (b) Municipal Accountant transmit the proof of settlement of ND to the Audit Team for issuance of Notice of Settlement of Suspension/Disallowance/Charge (NSSDC).

Status of Implementation of Prior Year's Audit Recommendations

Of the 21 audit recommendations embodied in prior years' Annual Audit Report, 16 were partially implemented and three remained unimplemented while two were fully implemented by the Management during the year under audit.

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Republic of the Philippines
COMMISSION ON AUDIT
Commonwealth Avenue, Quezon City

INDEPENDENT AUDITOR'S REPORT

HON. CHRISTIAN V. RODRIGUEZ

Municipal Mayor
Taytay, Palawan

Qualified Opinion

We have audited the financial statements of the Municipal Government of Taytay, Palawan, which comprise the statement of financial position as at December 31, 2020, and the statement of financial performance, statement of changes in net assets/equity, statement of cash flows and statement of comparison of budget and actual amounts for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, except for the effects of the matter described in the *Basis for Qualified Opinion* section of our report, the accompanying financial statements present fairly in all material respects, the financial position of the Municipal Government of Taytay, Palawan as at December 31, 2020, and its financial performance, and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

1. The existence and accuracy of Property, Plant and Equipment (PPE) accounts with net book value of ₱267,482,715.89 as of December 31, 2020 could not be ascertained due to (a) absence of physical inventory report duly reconciled with PPE ledger cards and property cards and (b) unidentified PPE totaling ₱30,628,717.10; and
2. Unreliable yearend balances of Construction-in-progress (CIP) accounts totaling ₱201,695,257.73 due to absence of subsidiary schedules and incorrect recording of expenditures for infrastructure projects under Trust Fund book.

We conducted our audit in accordance with International Standards of Supreme Audit Institutions (ISSAIs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the agency in accordance with the ethical requirements that are relevant to our audit of the financial statements, and we have fulfilled our other ethical responsibilities in

accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our qualified opinion.

Key Audit Matters

Except for the matter described in the Basis for Qualified Opinion section, we have determined that there are no other key audit matters to communicate in our report.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with IPSASs, and for such internal control as Management determines is necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error.

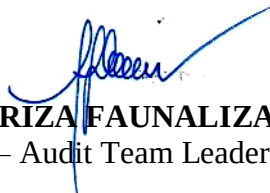
Those charged with governance are responsible for overseeing the LGU's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISSAIs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

COMMISSION ON AUDIT

By:



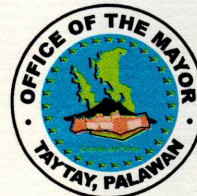
FLORIZA FAUNALIZA B. LUCERO

OIC – Audit Team Leader

June 25, 2021



Republic of the Philippines
Province of Palawan
Municipality of Taytay
OFFICE OF THE MAYOR



STATEMENT OF MANAGEMENT RESPONSIBILITY FOR

FINANCIAL STATEMENTS

The Management of the Local Government Unit of Taytay is responsible for all information and representation contained in the Statement of Position as of December 31, 2020 and the related Statement of Performance, Statement in Government Equity, Statement of Cashflow and Statement of Comparison of Budget and Actual Amount for the period then ended. The financial statements have been prepared in conformity with generally accepted accounting principles and reflects amounts that are based on best estimates and informed judgment of management with an appropriate consideration of materiality.

In this regard, management maintains a system of accounting and reporting which provides for the necessary internal controls to ensure that transactions are properly authorized and recorded, assets are safeguarded against unauthorized use or disposition and liabilities are recognized.

Ruby S. Socrates
RUBY S. SOCRATES
Municipal Accountant

Christian V. Rodriguez
CHRISTIAN V. RODRIGUEZ
Municipal Mayor

Municipal Government of Taytay, Palawan
Statement of Financial Position
As at December 31, 2020
(With Comparative Figures For CY 2019)

	Note	CY 2020	CY 2019
ASSETS			
Current Assets			
Cash and Cash Equivalents	4	₱ 355,772,358.11	₱ 269,501,754.75
Investments	5	247,688,697.13	227,688,697.13
Loans and Receivable Accounts	6	52,727,599.83	101,252,916.68
Inventories	7	4,076,274.62	852,881.00
Prepayments and Deferred Charges	8	(1,040,884.44)	7,061,371.42
Total Current Assets		659,224,045.25	606,357,620.98
Non-Current Assets			
Property, Plant and Equipment (Net)	9	501,027,171.38	412,743,777.09
Biological Assets	10	312,550.00	312,550.00
Intangible Assets	11	1,008,395.00	259,600.00
Total Non-Current Assets		502,348,116.38	413,315,927.09
TOTAL ASSETS		₱ 1,161,572,161.63	₱ 1,019,673,548.07
LIABILITIES			
Current Liabilities			
Financial Liabilities	12.1.1	₱ 70,354,624.00	₱ 48,472,346.21
Inter-Agency Payables	12.1.2	47,936,984.71	42,298,783.31
Intra-Agency Payables	12.1.3	13,578,986.55	22,052,735.15
Trust Liabilities	12.1.4	10,517,468.36	25,394,399.40
Deferred Credits/Unearned Income	12.1.5	33,514,652.34	74,993,528.12
Other Payables	12.1.6	153,978.21	40,821.16
Total Current Liabilities		176,056,694.17	213,252,613.35
Non-Current Liabilities			
Financial Liabilities	12.2.1	88,844,684.91	40,488,309.92
Other Payables	12.2.2	25,575,786.12	18,236,836.02
Total Non-Current Liabilities		114,420,471.03	58,725,145.94
TOTAL LIABILITIES		290,477,165.20	271,977,759.29
NET ASSETS/EQUITY			
Net Assets/Equity		871,094,996.43	747,695,788.78
TOTAL NET ASSETS/EQUITY		871,094,996.43	747,695,788.78
TOTAL LIABILITIES AND NET ASSETS/EQUITY		₱ 1,161,572,161.63	₱ 1,019,673,548.07

(See accompanying Notes to Financial Statements)

Municipal Government of Taytay, Palawan
Statement of Financial Performance
For the Year Ended December 31, 2020
(With Comparative Figures For CY 2019)

	Note	CY 2020	CY 2019
Revenue			
Tax Revenue (Net of discounts)	13	₱ 23,547,391.68	₱ 18,531,259.19
Share from National Taxes	14	407,334,432.96	362,077,724.00
Business and Service Income	15	27,746,610.67	30,072,393.84
Shares, Grants and Donations	16	19,370.22	72,249.72
Miscellaneous Income	17	19,264.82	87.22
Total Revenue		458,667,070.35	410,753,713.97
Less: Current Operating Expenses			
Personal Services	17	139,141,611.02	121,352,413.12
Maintenance and Other Operating Expenses	18	189,433,736.94	141,970,090.92
Non-Cash Expenses	20	17,388,072.80	15,254,084.65
Total Current Operating Expenses		345,963,420.76	278,576,588.69
Surplus/(Deficit) from Current Operations		112,703,649.59	132,177,125.28
Add/(Deduct): Transfers, Assistance and Subsidy			
Assistance and Subsidy from	21	33,966,422.00	0.00
Financial Assistance/Subsidy to	22	(21,600,722.60)	(9,440,774.42)
Transfers to	23	(5,410,141.34)	(12,034,848.66)
Net Financial Assistance/Subsidy		6,955,558.06	(21,475,623.08)
Surplus/(Deficit) for the Period		₱ 119,659,207.65	₱ 110,701,502.20

(See accompanying Notes to Financial Statements)

Municipal Government of Taytay, Palawan
Statement of Changes in Net Assets/Equity
For the Year Ended December 31, 2020
(With Comparative Figures For CY 2019)

	CY 2020	CY 2019
Beginning Balance	₱ 747,695,788.78	₱ 631,704,350.79
Add/(Deduct)		
Prior Period Errors	3,740,000.00	(3,752,608.21)
Restated Balance	751,435,788.78	627,951,742.58
Add (Deduct) Changes in net assets/equity during the year		
Adjustment of net revenue recognized directly in net assets/equity		
Surplus (Deficit) for the period	119,659,207.65	110,701,502.20
Other Adjustments		
Transfers of PPE from Trust Fund	0.00	9,042,544.00
Ending Balance	₱ 871,094,996.43	₱ 747,695,788.78

Municipal Government of Taytay, Palawan

Statement of Cash Flows

For the Year Ended December 31, 2020
(With Comparative Figures For CY 2019)

	Note	CY 2020	CY 2019
Cash Flows from Operating Activities			
Cash Inflows			
Collection from taxpayers	₱	33,598,287.31	₱ 32,600,065.53
Share from Internal Revenue Allotment		407,334,432.96	434,493,272.80
Receipts from business/service income		24,007,942.66	22,256,173.31
Interest Income		4,168,386.01	3,869,604.57
Other Receipts		216,194,743.80	65,185,771.12
Total Cash Inflows		685,303,792.74	558,404,887.33
Cash Outflows			
Payment to suppliers and creditors		104,059,247.87	22,804,035.82
Payment to employees		83,940,801.95	54,466,751.69
Payment of expenses		136,957,844.76	183,176,764.40
Other Expenses		198,723,523.77	208,455,479.06
Total Cash Outflows		523,681,418.35	468,903,030.97
Net Cash Flows from Operating Activities	24	161,622,374.39	89,501,856.36
Cash Flows from Investing Activities			
Cash Outflows			
Purchase/Construction of PPE		105,671,467.09	27,014,908.02
Purchase of Intangible Assets		748,795.00	142,500.00
Total Cash Outflows		106,420,262.09	27,157,408.02
Net Cash Flows from Investing Activities		(106,420,262.09)	(27,157,408.02)
Cash Flows from Financing Activities			
Cash Inflows			
Proceeds from Loans		53,249,825.03	0.00
Total Cash Inflows		53,249,825.03	0.00
Cash Outflows			
Payment of loan amortization		2,181,333.97	0.00
Total Cash Outflows		2,181,333.97	0.00
Net Cash Flows from Financing Activities		51,068,491.06	0.00
Total Cash Provided by Operating, Investing and Financing Activities		106,270,603.36	62,344,448.34
Add : Cash Balance, Beginning		497,190,451.88	434,846,003.54
Cash Balance, Ending	₱	603,461,055.24	₱ 497,190,451.88

(See accompanying Notes to Financial Statements)

Municipality of Taytay, Palawan
Statement of Comparison of Budget and Actual Amounts
For the Year Ended December 31, 2020

Particulars	Budgeted Amounts		Difference Original and Final	Actual Amounts	Difference Final Budget and Actual
	Original	Final			
General Fund					
Beginning Balance (AA)***	₱ 404,111,401.51	₱ 404,111,401.51	₱0.00	₱ 404,111,401.51	₱0.00
Revenue (BB)					
A. Local Sources					
1. Tax Revenue					
a. Tax Revenue - Property	1,955,396.34	1,955,396.34	0.00	2,850,974.28	895,577.94
b. Tax Revenue - Goods and Services	7,580,496.57	7,580,496.57	0.00	15,871,596.15	8,291,099.58
c. Other Local Taxes	849,525.68	849,525.68	0.00	1,193,230.01	343,704.33
Total Tax Revenue	10,385,418.59	10,385,418.59	0.00	19,915,800.44	9,530,381.85
2. Non-Tax Revenue					
a. Service Income	13,081,389.92	13,081,389.92	0.00	20,676,227.16	7,594,837.24
b. Business Income	3,254,248.09	3,254,248.09	0.00	7,070,383.51	3,816,135.42
c. Other Income and Receipts	3,314,872.83	3,314,872.83	0.00	38,635.04	(3,276,237.79)
Total Non-Tax Revenue	19,650,510.84	19,650,510.84	0.00	27,785,245.71	8,134,734.87
B. External Sources					
1. Share from the National Internal Revenue Taxes (IRA)	408,256,343.00	408,256,343.00	0.00	407,334,432.96	(921,910.04)
2. Other Receipts- Other Subsidy Income					
a. Other Subsidy Income		33,966,422.00	(33,966,422.00)	33,966,422.00	
Total Revenue and Receipts	438,292,272.43	472,258,694.43	(33,966,422.00)	489,001,901.11	16,743,206.68
TOTAL FUNDS (AA+BB)	842,403,673.94	876,370,095.94	(33,966,422.00)	893,113,302.62	309,112,676.84
Expenditures					
Current Appropriations					
General Public Services					
Personal Services	110,869,690.85	109,617,664.54	1,252,026.31	94,056,906.25	15,560,758.29
Maintenance and Other Operating Expenses	84,456,453.78	92,287,373.78	(7,830,920.00)	61,172,439.43	31,114,934.35
Capital Outlay	1,520,000.00	3,889,000.00	(2,369,000.00)	1,651,430.00	2,237,570.00
Health, Nutrition and Population Control					
Personal Services	21,790,033.95	22,291,951.92	(501,917.97)	19,894,121.51	2,397,830.41
Maintenance and Other Operating Expenses	8,613,000.00	8,973,000.00	(360,000.00)	7,075,416.07	1,897,583.93
Capital Outlay	0.00	800,000.00	(800,000.00)	0.00	800,000.00
Labor and Employment					
Maintenance and Other Operating Expenses	4,160,000.00	5,513,520.00	(1,353,520.00)	4,127,359.53	1,386,160.47
Capital Outlay	90,000.00	90,000.00	0.00	0.00	90,000.00
Social Services and Social Welfare					
Personal Services	5,361,428.85	5,229,772.57	131,656.28	4,154,581.53	1,075,191.04
Maintenance and Other Operating Expenses	3,388,000.00	20,007,000.00	(16,619,000.00)	19,108,353.45	898,646.55
Capital Outlay	0.00	165,000.00	(165,000.00)	165,000.00	0.00
Economic Services					
Personal Services	24,567,675.17	24,497,801.25	69,873.92	17,796,049.66	6,701,751.59
Maintenance and Other Operating Expenses	37,740,367.16	42,418,487.16	(4,678,120.00)	29,338,822.46	13,079,664.70
Capital Outlay	2,059,000.00	5,755,397.70	(3,696,397.70)	2,613,235.00	3,142,162.70
Other Purposes:					
Maintenance and Other Operating Expenses	42,635,740.48	88,767,262.48	(46,131,522.00)	79,686,941.52	9,080,320.96
Capital Outlay	88,951,268.60	91,991,301.99	(3,040,033.39)	35,206,857.59	56,784,444.40
Total Current Appropriations	436,202,658.84	522,294,533.39	(86,091,874.55)	376,047,514.00	146,247,019.39
Continuing Appropriations					
Continuing Appropriations: 20% Devt. Fund					
General Public Services					
Capital Outlay	65,268,979.50	64,135,873.50	1,133,106.00	14,067,287.32	50,068,586.18
Health, Nutrition and Population Control					
Capital Outlay	4,187,700.00	3,387,700.00	800,000.00	1,343,000.00	2,044,700.00
Social Services and Social Welfare					
Capital Outlay	3,980,110.00	3,897,410.00	82,700.00	3,432,293.10	465,116.90
Economic Services					
Capital Outlay	6,549,326.63	6,549,326.63	0.00	2,318,088.31	4,231,238.32
Other Purposes:					
Capital Outlay	324,125,285.38	324,125,285.38	0.00	57,094,849.26	267,030,436.12
Total Continuing Appropriations	404,111,401.51	402,095,595.51	2,015,806.00	78,255,517.99	323,840,077.52
TOTAL APPROPRIATIONS - GENERAL FUND	₱840,314,060.35	924,390,128.90	(84,076,068.55)	454,303,031.99	470,087,096.91

Particulars	Budgeted Amounts		Difference Original and Final	Actual Amounts	Difference Final Budget and Actual
	Original	Final			
Special Education Fund					
Revenue					
1. Beginning Balance***	₱131,000.00	₱131,000.00	₱0.00	₱131,000.00	₱ 0.00
2. Tax Revenue					
a. Tax Revenue - Property	2,396,665.35	2,396,665.35	0.00	3,631,591.24	1,234,925.89
3. Non-Tax Revenue					
a. Business Income	0.00	0.00	0.00	0.00	0.00
Total Revenue and Receipts	2,396,665.35	2,396,665.35	0.00	3,631,591.24	1,234,925.89
TOTAL FUNDS	2,527,665.35	2,527,665.35	0.00	3,762,591.24	1,234,925.89
Expenditures					
Current Appropriations					
Education					
Personal Services	54,000.00	134,000.00	(80,000.00)	56,860.00	77,140.00
Maintenance and Other Operating Expenses	3,792,071.52	3,579,431.52	212,640.00	1,471,516.99	2,107,914.53
Capital Outlay	0.00	132,640.00	(132,640.00)	130,987.50	1,652.50
Total Current Appropriations	3,846,071.52	3,846,071.52	0.00	1,659,364.49	2,186,707.03
Continuing Appropriations					
Education					
Capital Outlay	131,000.00	131,000.00	0.00	0.00	131,000.00
Total Continuing Appropriation	131,000.00	131,000.00	0.00	0.00	131,000.00
Total Appropriations	₱3,977,071.52	₱3,977,071.52	₱0.00	₱1,659,364.49	₱2,317,707.03

***from Continuing Appropriations and Savings

Notes to Condensed Financial Statements
(All amounts in Philippine Peso unless otherwise stated)

Note 1–Profile

From the location map of the Municipality of Taytay, Palawan, one can easily deduce the strategic importance of the municipality to the Province of Palawan. Located on the western portion of the Philippines, the Municipality of Taytay comprises one of the northern towns of the Province of Palawan. It is bounded on the north by the Municipality of El Nido, on the south by the Municipalities of Roxas and Dumarang and on the southwest by the Municipality of San Vicente.

Specifically, its relative geographic location is 10 degrees and 30' to 11 degrees and 5' north latitude, and 119 degrees 10' and 119 degrees 40' east longitude. In terms of natural boundaries, Taytay is bounded on the east by Taytay Bay and on the west by South China Sea. The municipality is about 2 hours away from the Municipality of Roxas, one of the major market centers in the northern portion of Palawan. Puerto Princesa, the province's premiere city and the largest market center in the province is quite distant from the Municipality of Taytay. On an average daily trip to the city, travel-time ranges from 3 hours to 4 hours during rainy season. With 24 hours electricity, economic activities in Taytay will develop into mature and prosperous municipality and a future hub for tourism industry.

Taytay has a total land area of 139,050 hectares. Barangays Abongan and Poblacion have the largest land area with 9,975.5 has. and 9,275.8 has., respectively. On the other hand, Barangay Silanga on the northern part of the municipality has the least land area with only 1,448.5 has. followed by Barangay Tumbod with 1,511 has.

VISION STATEMENT

By year 2030, Taytay will be the Queen City of Palawan with empowered, resilient and God-fearing people, robust agri-tourism economy, sustained environment and ecologically sound, disaster resistant infrastructures led by capable managers.

MISSION STATEMENT

To be the Queen City of Palawan, Taytayanos will work together in pursuing economic growth through sustainable development and climate resilient investment.

SPECIFIC OBJECTIVES:

Economic Services Development:

- By the end of FY 2020, the farmers and fisher folks in Taytay shall have an increase of twenty (20%) percent in their income;

- By the end of FY 2020, one hundred (100 km) kilometers of farm to market roads have been rehabilitated and maintained;

Social Services Development:

- For the FY 2020, the municipality shall support secondary education, construct and rehabilitate school buildings, day care centers and reading centers with equipment and facilities;
- The municipality shall provide medicines, medical equipment and hire additional health personnel for the Municipal Health Office;
- The municipality shall establish livelihood centers such as fish canning, handicraft, and wellness center;
- The municipality shall construct crisis center for victims of abuses and violence with facilities and manpower;
- The municipality shall facilitate the construction of separate jail cell for men, women and minors with facilities;

General Public Services Development:

- For FY 2020, the municipality shall enhance revenue generation and tax collection efficiency by launching vigorous tax information campaign supported by an intensified tax collection effort and revenue generation plan;
- The municipality shall provide easy access to basic services for all Taytayanos;

Note 2–The consolidated financial statements of the LGU have been prepared in accordance with and comply with the International Public Sector Accounting Standards (IPSAS). The consolidated financial statements are presented in pesos, which is the functional and reporting currency of the LGU. The accounting policies have been applied starting the year 2015.

Note3–Summary of significant accounting policies

3.1 Basis of Accounting

The financial statements are prepared on an accrual basis in accordance with the IPSAS.

3.2 Revenue Recognition

Revenue from non-exchange transactions

Taxes, fees and fines

The LGU recognizes revenues from taxes and fines when the event occurs and the asset recognition criteria are met. To the extent that there is a related condition attached that would give rise to a liability to repay the amount, liability is recognized instead of revenue. Other non-exchange revenues are recognized when it is probable that the future economic benefit or service potential associated with the asset will flow to the entity and the fair value of the asset can be measured reliably.

Transfers from other government entities

Revenues from non-exchange transactions with other government entities are measured at fair value and recognized upon obtaining control of the asset (cash, goods, services and property) if the transfer is free from conditions and it is probable that the economic benefits or service potential related to the asset will flow to the LGU and can be measured reliably.

Revenue from exchange transactions

Rendering of services

The LGU recognizes revenue from rendering of services by reference to the stage of completion when the outcome of the transaction can be estimated reliably. The stage of completion is measured by reference to labor hours incurred to date as a percentage of total estimated labor hours.

Where the contract outcome cannot be measured reliably, revenue is recognized only to the extent that the expenses are incurred.

Interest income

Interest income is accrued using the effective yield method. The effective yield discounts estimated future cash receipts through the expected life of the financial asset to that asset's net carrying amount. The method applies this yield to the principal outstanding to determine interest income for each period.

Rental income

Rental income arising from operating leases on investment properties is accounted for on a straight-line basis over the lease terms and included in revenue.

3.3 Property, plant and equipment

All property, plant and equipment are stated at cost less accumulated depreciation and impairment losses. Costing includes expenditure that is directly attributable to the acquisition of the items. When significant parts of property, plant and equipment are required to be replaced at intervals, the LGU recognizes such parts as individual assets with specific useful lives and depreciates them accordingly. Likewise, when a major repair is performed, its cost is recognized in the carrying amount of the plant and equipment as a replacement if the recognition criteria are satisfied. All other repair and maintenance costs are recognized in surplus or deficit as incurred. Where an asset is acquired in a non-exchange transaction for nil or nominal consideration, the asset is initially measured at its fair value.

Depreciation on assets is charged on a straight-line basis over the useful life of the asset.

Depreciation is charged at rates calculated to allocate cost or valuation of the asset less any estimated residual value over its remaining useful life.

Public Infrastructures were not previously recognized in the books. The LGU availed of the 5-year transitional provision for the recognition of the Public Infrastructure.

3.4 Financial instruments

Financial assets

Initial recognition and measurement

Financial assets are classified as financial assets at fair value through surplus or deficit, loans and receivables, held-to-maturity investments or available-for-sale financial assets, as appropriate. The LGU determines the classification of its financial assets at initial recognition.

Purchases or sales of financial assets that require delivery of assets within a time frame established by regulation or convention in the marketplace (regular way trades) are recognized on the trade date, i.e., the date that the LGU commits to purchase or sell the asset.

The LGU's financial assets include: cash and short-term deposits; trade and other receivables; loans and other receivables and quoted and unquoted financial instruments.

Subsequent measurement

The subsequent measurement of financial assets depends on their classification.

Financial assets at fair value through surplus or deficit

Financial assets at fair value through surplus or deficit include financial assets held for trading and financial assets designated upon initial recognition at fair value through surplus and deficit. Financial assets are classified as held for trading if they are acquired for the purpose of selling or repurchasing in the near term. Financial assets at fair value through surplus or deficit are carried in the statement of financial position at fair value with changes in fair value recognized in surplus or deficit.

Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. After initial measurement, such financial assets are subsequently measured at amortized cost using the effective interest method less impairment. Amortized cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the effective interest rate. Losses arising from impairment are recognized in the surplus or deficit.

Held-to-maturity

Non-derivative financial assets with fixed or determinable payments and fixed maturities are classified as held to maturity when the LGU has the positive intention and ability to hold it to maturity. After initial measurement, held-to-maturity investments are measured at amortized cost using the effective interest method less impairment. Amortized cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the effective interest rate. The losses arising from impairment are recognized in surplus or deficit.

Impairment of financial assets

The LGU assesses at each reporting date whether there is objective evidence that a financial asset or a group of financial assets is impaired. A financial asset or a group of financial assets is deemed to be impaired if there is objective evidence of impairment as a result of one or more events that has occurred after the initial recognition of the asset (an incurred 'loss event') and that loss event has an impact on the estimated future cash flows of the financial asset or the group of financial assets that can be reliably estimated. Evidence of impairment may include the following indicators:

- a) The debtors or a group of debtors are experiencing significant financial difficulty;
- b) Default or delinquency in interest or principal payments;

- c) The probability that debtors will enter bankruptcy or other financial reorganization; and
- d) Observable data indicates a measurable decrease in estimated future cash flows (e.g. changes in arrears or economic conditions that correlate with defaults)

Financial liabilities

Initial recognition and measurement

Financial liabilities within the scope of IPSAS 29 are classified as financial liabilities at fair value through surplus or deficit or loans and borrowings, as appropriate. The LGU determines the classification of its financial liabilities at initial recognition.

All financial liabilities are recognized initially at fair value and in the case of loans and borrowings.

The LGU group's financial liabilities include trade and other payables, bank overdrafts, loans and borrowings.

Subsequent measurement

The measurement of financial liabilities depends on their classification.

Financial liabilities at fair value through surplus or deficit

Financial liabilities at fair value through surplus or deficit include financial liabilities held for trading and financial liabilities designated upon initial recognition at fair value through surplus or deficit.

Loans and borrowings

After initial recognition, interest bearing loans and borrowings are subsequently measured at amortized cost using the effective interest method. Gains and losses are recognized in surplus or deficit when the liabilities are derecognized as well as through the effective interest method amortization process.

Amortized cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the effective interest rate.

Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount reported in the consolidated statement of financial position if there is a currently enforceable

legal right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liabilities simultaneously.

3.5 Cash and cash equivalents

Cash and cash equivalents comprise cash on hand and cash at bank, deposits on call and highly liquid investments with an original maturity of three months or less, which are readily convertible to known amounts of cash and are subject to insignificant risk of changes in value. For the purpose of the consolidated statement of cash flows, cash and cash equivalents consist of cash and short-term deposits as defined above, net of outstanding bank overdrafts.

3.6 Inventories

Inventory is measured at cost upon initial recognition. To the extent that inventory was received through non-exchange transactions (for no cost or for a nominal cost), the cost of the inventory is its fair value at the date of acquisition.

Costs incurred in bringing each product to its present location and condition are accounted for as follows:

- a) Raw materials: purchase cost using the weighted average cost method;
- b) Finished goods and work in progress: cost of direct materials and labor and a proportion of manufacturing overheads based on the normal operating capacity but excluding borrowing costs.

After initial recognition, inventory is measured at the lower of cost and net realizable value. However, to the extent that a class of inventory is distributed or deployed at no charge or for a nominal charge, that class of inventory is measured at the lower of cost and current replacement cost.

Net realizable value is the estimated selling price in the ordinary course of operations, less the estimated costs of completion and the estimated costs necessary to make the sale, exchange, or distribution. Inventories are recognized as an expense when deployed for utilization or consumption in the ordinary course of operations of the LGU.

3.7 Changes in accounting policies and estimates

The LGU recognizes the effects of changes in accounting policy retrospectively. The effects of changes in accounting policy are applied prospectively if retrospective application is impractical.

The LGU recognizes the effects of changes in accounting estimates prospectively by including in surplus or deficit.

3.8 Borrowing costs

Borrowing costs are capitalized against qualifying assets as part of property, plant and equipment. Such borrowing costs are capitalized over the period during which the asset is being acquired or constructed and borrowings have been incurred. Capitalization ceases when construction of the asset is complete. Further, borrowing costs are charged to the statement of financial performance.

3.9 Related parties

The LGU regards a related party as a person or an entity with the ability to exert control individually or jointly, or to exercise significant influence over the LGU, or vice versa. Members of key management are regarded as related parties and comprise of the Mayor, Vice-Mayor, Sanggunian Members, Committee Officials and Members, Accountant, Treasurer, Budget Officer, General Services Officer and all other Chiefs of Departments/Divisions.

3.10 Budget information

The annual budget is prepared on the modified cash basis, that is, all planned costs and income are presented in a single statement to determine the needs of the LGU. As a result of the adoption of the modified cash basis for budgeting purposes, there are basis, timing or entity differences that would require reconciliation between the actual comparable amounts and the amounts presented as a separate additional financial statement in the statement of comparison of budget and actual amounts. Explanatory comments are provided in the notes to the annual financial statements; first, the reasons for overall growth or decline in the budget are stated, followed by details of overspending or under spending on line items.

3.11 Significant judgments and sources of estimation uncertainty

Judgments

In the process of applying the LGU's accounting policies, management has made judgments, which have the most significant effect on the amounts recognized in the consolidated financial statements.

Operating lease commitments – LGU as lessor

The LGU has entered into property leases. The LGU has determined, based on an evaluation of the terms and conditions of the arrangements (such as the lease term not constituting a substantial portion of the economic life of the commercial

property) that it retains all the significant risks and rewards of ownership of the properties and accounts for the contracts as operating leases.

Estimates and assumptions

The LGU based its assumptions and estimates on parameters available when the consolidated financial statements were prepared. However, existing circumstances and assumptions about future developments may change due to market changes or circumstances arising beyond the control of the LGU. Such changes are reflected in the assumptions when they occur.

Useful lives and residual values

The useful lives and residual values of assets are assessed using the following indicators to inform potential future use and value from disposal:

- a) The condition of the asset based on the assessment of experts employed by the LGU;
- b) The nature of the asset, its susceptibility and adaptability to changes in technology and processes;
- c) The nature of the processes in which the asset is deployed; and
- d) Changes in the market in relation to the asset

Impairment of non-financial assets – cash-generating assets

The recoverable amounts of cash-generating units and individual assets have been determined based on the higher of value-in-use calculations and fair values less costs to sell. These calculations require the use of estimates and assumptions. It is reasonably possible that the assumptions may change, which may then impact management's estimations and require a material adjustment to the carrying value of tangible assets.

The LGU reviews and tests the carrying value of assets when events or changes in circumstances suggest that the carrying amount may not be recoverable. Cash-generating assets are grouped at the lowest level for which identifiable cash flows are largely independent of cash flows of other assets and liabilities. If there are indications that impairment may have occurred, estimates of expected future cash flows are prepared for each group of assets. Expected future cash flows used to determine the value in use of tangible assets are inherently uncertain and could materially change over time.

Impairment of non-financial assets – non- cash generating assets

The LGU reviews and tests the carrying value of non-cash-generating assets when events or changes in circumstances suggest that there may be a reduction in the future service potential that can be reasonably expected to be derived from the asset. Where indicators of possible impairment are present, the LGU undertakes impairment tests, which require the determination of the fair value of the asset and its recoverable service amount. The estimation of these inputs into the calculation relies on the use of estimates and assumptions.

Any subsequent changes to the factors supporting these estimates and assumptions may have an impact on the reported carrying amount of the related asset.

Fair value estimation – financial instruments

Where the fair value of financial assets and financial liabilities recorded in the statement of financial position cannot be derived from active markets, their fair value is determined using valuation techniques including the discounted cash flow model. The inputs to these models are taken from observable markets where possible, but when this is not feasible, judgment is required in establishing fair values. Judgment includes the consideration of inputs such as liquidity risk, credit risk and volatility. Changes in assumptions about these factors could affect the reported fair value of financial instruments.

3.12 Financial instruments - financial risk management

Exposure to currency, commodity, interest rate, liquidity and credit risks arises in the normal course of the LGU's operations.

The fair value of the financial assets and liabilities are included at the amount at which the instrument could be exchanged in a current transaction between willing parties, other than in a forced sale or liquidation.

The following methods and assumptions were used to estimate the fair values:

- a) Cash and short-term deposits, trade receivables, trade payables and other current liabilities approximate their carrying amounts largely due to the short-term maturities of these instruments;
- b) Long-term fixed-rate and variable-rate receivables/borrowings are evaluated by the LGU based on parameters such as interest rates, individual credit worthiness of the customer and the risk characteristics of the financed project. Based on this evaluation, allowances are taken to account for the incurred losses of these receivables and market-related interest rates. As at reporting

date, the carrying amounts of such receivables, net of allowances, are not materially different from their calculated fair values;

- c) Fair value of quoted notes and bonds is based on price quotations at the reporting date. The fair value of unquoted instruments, loans from banks and other financial liabilities, obligations under finance leases, as well as other non-current financial liabilities is estimated by discounting future cash flows using rates currently available for debt on similar terms, credit risk and remaining maturities;
- d) Fair value of financial assets is derived from quoted market prices in active markets, if available;
- e) Fair value of unquoted available-for-sale financial assets is estimated using appropriate valuation techniques

Investments

The LGU limits its exposure to credit risk by investing with only reputable financial institutions that have a sound credit rating (rated BB and above), which are within the specific guidelines set in accordance with the LGU Finance Committee and the Sanggunian approved investment policy. Consequently, the LGU does not consider there to be any significant exposure to credit risk.

Receivables

Receivables are amounts owed by consumers, and are presented net of impairment losses. The LGU has a credit risk policy in place, and the exposure to credit risk is monitored on an ongoing basis. The LGU is compelled, by its constitutional mandate, to provide all of its residents with basic minimum services, without recourse to an assessment of creditworthiness.

The LGU's maximum exposure to credit risk is represented by the carrying value of each financial asset in the statement of financial performance. The LGU has no significant concentration of credit risk, with exposure spread over a large number of consumers, and is not concentrated in any particular sector or geographic area.

The LGU establishes an allowance for impairment that represents its estimate of anticipated losses in respect of receivables.

Cash and cash equivalents

The LGU limits its exposure to credit risk by investing cash and cash equivalents with only reputable financial institutions that have a sound credit rating, and within specific guidelines set in accordance with the Sanggunian's approved

investment policy. Consequently, the LGU does not consider there to be any significant exposure to credit risk.

Liquidity risk

Liquidity risk is the risk of the LGU not being able to meet its obligations as they fall due. The LGU's approach to managing liquidity risk is to ensure that sufficient liquidity is available to meet its liabilities when due, without incurring unacceptable losses or risking damage to the LGU's reputation.

Capital management

The primary objective of managing the LGU's capital is to ensure that there is sufficient cash available to support the LGU's funding requirements, including capital expenditure, to ensure that the LGU remains financially sound.

Currency risk

The LGU is exposed to foreign-currency risk through the importation of goods and services, either directly or indirectly, through the award of contracts to local importers. The LGU manages any material direct exposure to foreign-currency risk by entering into forward exchange contracts. The LGU manages its indirect exposure by requiring the local importer to take out a forward exchange contract at the time of procurement, in order to predetermine the peso value of the contracted goods or services. The LGU was not a direct party to any outstanding forward exchange contracts at the reporting date.

Note4–Cash and Cash Equivalents

This account consists of:

	2020	2019
GENERAL FUND		
Cash on Hand		
Cash- Local Treasury	₱ 1,476,415.48	₱ 0.00
Cash in Bank – Local Currency-Current Account (LCCA)		
Cash in Bank-LCCA, GF - DBP Taytay	135,807,571.91	97,445,735.31
Cash in Bank-LCCA, 20% DF- DBP Taytay	92,146,982.38	98,127,068.00
Cash in Bank-LCCA, LBP Water System 462-1139-60	50,177,596.26	432,887.06
Cash in Bank-LCCA, LBP Water System 462-1147-40	10,000.00	10,000.00
Sub-total	<u>279,618,566.03</u>	<u>196,015,690.37</u>

	2020	2019
SPECIAL EDUCATION FUND		
Cash in Bank – LCCA		
Cash in Bank- LCCA - SEF DBP Taytay	5,571,070.06	4,246,634.02
Sub-total	5,571,070.06	4,246,634.02
TRUST FUND		
Cash on Hand		
Cash- Local Treasury	75,928.68	0.00
Cash in Bank – LCCA		
Cash in Bank- LCCA - DBP Water System	17,739,944.31	11,256,365.61
Cash in Bank- LCCA - LBP	1,720,576.55	1,719,176.45
Cash in Bank- LCCA - DBP Kalahi–Taytay	2,062,819.46	2,062,819.46
Cash in Bank- LCCA - Trust General- Taytay	45,984,446.37	40,061,500.97
Cash in Bank- LCCA - DRRM DBP Taytay	1,731,701.65	14,139,567.87
Cash in Bank- LCCA - MHO 1 DBP Taytay	923,125.00	0.00
Cash in Bank- LCCA - MHO 2 DBP Taytay	344,180.00	0.00
Sub-total	70,582,722.02	69,239,430.36
Total	₱355,772,358.11	₱269,501,754.75

The cash on hand were deposited the following banking day.

Note 5–Investment

This account consists of:

	2020	2019
GENERAL FUND		
Investments in Time Deposits		
Cash in Bank – Local Currency, Time Deposits	₱247,688,697.13	₱227,688,697.13
Total	₱247,688,697.13	₱227,688,697.13

Cash in banks earns interest based on the prevailing bank deposit rates. Short-term deposits are made for varying periods depending on the immediate cash requirements of the LGU and earn interest at the respective short-term deposit rate.

Note 6–Loans and Receivable Accounts

This account consists of:

	2020	2019
GENERAL FUND		
Loans and Accounts Receivable		
Real Property Tax Receivable	₱16,757,326.17	₱32,414,841.16
Inter-Agency Receivables		
Due from LGUs	3,399,578.14	4,190,247.89

	2020	2019
Intra-Agency Receivables		
Due from Other Funds	6,185,766.98	8,285,139.44
Advances		
Advances for Operating Expenses	344,979.00	0.00
Advances for Payroll	1,826,236.80	12,713.38
Advances to Officers and Employees	0.00	900.00
Other Receivables		
Receivables - Disallowances/Charges	63,167.00	0.00
Sub-total	28,577,054.09	44,903,841.87
SPECIAL EDUCATION FUND		
Loans and Accounts Receivable		
Special Education Tax Receivable	16,757,326.17	42,578,687.02
Intra-Agency Receivables		
Due from Other Funds	1,400,154.55	478,666.95
Sub-total	18,157,480.72	43,057,353.97
TRUST FUND		
Intra-Agency Receivables		
Due from Other Funds	5,993,065.02	13,290,120.84
Advances		
Advances for Payroll	0.00	1,600.00
Sub-total	5,993,065.02	13,291,720.84
Total	₱52,727,599.83	₱101,252,916.68

Note 7–Inventories

This account consists of:

	2020	2019
GENERAL FUND		
Inventory Held for Consumption		
Fuel, Oil and Lubricants Inventory	₱1,911,671.00	₱0.00
Chemical and Filtering Supplies Inventory	270,000.00	0.00
Other Supplies and Materials Inventory	1,894,603.62	852,881.00
Total	₱4,076,274.62	₱852,881.00

Note 8–Prepayments and Deferred Charges

This account represents Advances to Contractors under the following:

	2020	2019
General Fund	₱966,132.75	₱7,061,371.42
Trust Fund	(2,007,017.19)	0.00
Total	₱(1,040,884.44)	₱7,061,371.42

Advances to Contractor under the General Fund are broken down as follows:

CONTRACTOR	AMOUNT
BCT Trading and Construction	₱ 10,607.56
E.V Villaos Trading and Const. - Slope Protection and Drainage	295,231.93
JAS Trading	344,228.64
Johnstar Trading and Construction	316,064.62
Total	₱ 966,132.75

The negative balance of the Advances to Contractors account under the Trust Fund amounting to ₱(2,007,017.19) was due to the error in setting-up the beginning balance during the transition from the old system to eNGAS and is subject for adjustment. This represents the 15% mobilization paid to Futuristic Trading and Construction as supplier for the Construction of Evacuation Facility Phase II.

Note 9—Property, Plant and Equipment

This account consists of:

PPE	Balance as of Dec. 31, 2019	Net Addition (Reduction)	Balance as of Dec. 31, 2020
General Fund			
Land	₱10,051,257.76	₱21,797,940.00	₱31,849,197.76
Other Land Improvements	10,094,728.03	0.00	10,094,728.03
Road Networks	22,416,950.36	3,555,557.39	25,972,507.75
Flood Control Systems	19,050,426.25	0.00	19,050,426.25
Water Supply Systems	7,108,241.59	0.00	7,108,241.59
Power Supply Systems	438,268.90	384,000.00	822,268.90
Seaport Systems	2,816,250.45	0.00	2,816,250.45
Airport Systems	27,674,925.68	0.00	27,674,925.68
Parks, Plazas and Monuments	12,781,803.02	0.00	12,781,803.02
Other Infrastructure Assets	7,483,105.53	1,812,430.10	9,295,535.63
Buildings	53,743,363.85	22,851,268.50	76,594,632.35
School Buildings	26,541,280.63	0.00	26,541,280.63
Hospitals and Health Centers	11,449,692.78	0.00	11,449,692.78
Market	25,744,828.34	0.00	25,744,828.34
Slaughterhouses	1,604,200.39	0.00	1,604,200.39
Other Structures	7,732,270.10	92,856.00	7,825,126.10
Machinery	2,163,892.91	45,000.00	2,208,892.91
Office Equipment	7,595,282.62	2,696,090.00	10,291,372.62
Information and Communication Technology Equipment	17,657,311.57	4,217,024.00	21,874,335.57
Communication Equipment	2,195,172.80	539,170.00	2,734,342.80
Construction and Heavy Equipment	9,577,646.96	0.00	9,577,646.96
Disaster Response and Rescue Equipment	5,461,853.49	0.00	5,461,853.49
Military, Police and Security Equipment	1,017,379.10	0.00	1,017,379.10

PPE	Balance as of Dec. 31, 2019	Net Addition (Reduction)	Balance as of Dec. 31, 2020
Medical Equipment	67,900.00	790,000.00	857,900.00
Sports Equipment	100,000.00	0.00	100,000.00
Technical and Scientific Equipment	1,799,262.80	0.00	1,799,262.80
Other Machinery and Equipment	9,450,317.34	1,930,980.00	11,381,297.34
Motor Vehicles	45,670,693.87	5,135,440.50	50,806,134.37
Water Crafts	650,150.00	0.00	650,150.00
Other Transportation Equipment	2,000,000.00	0.00	2,000,000.00
Furniture and Fixtures	9,027,084.32	2,073,330.00	11,100,414.32
Books	121,100.00	0.00	121,100.00
Construction in Progress-Infrastructure Assets	86,012,487.46	8,436,529.55	94,449,017.01
Construction in Progress-Buildings and Other Structures	78,437,952.67	28,808,288.05	107,246,240.72
Work/Zoo Animals	100,000.00	0.00	100,000.00
Other Property, Plant and Equipment	1,249,500.00	505,563.00	1,755,063.00
Total – General Fund	527,086,581.57	105,671,467.09	632,758,048.66
Less: Accumulated Depreciation	115,217,495.78	17,289,114.08	132,506,609.86
Net Book Value	411,869,085.79	88,382,353.01	500,251,438.80
Special Education Fund			
School Buildings	307,567.68	0.00	307,567.68
Office Equipment	509,094.00	0.00	509,094.00
Information and Communication Equipment	691,665.00	0.00	691,665.00
Other Machinery Equipment	234,800.00	0.00	234,800.00
Furniture and Fixtures	442,991.51	0.00	442,991.51
Total – Special Education Fund	2,186,118.19	0.00	2,186,118.19
Less: Accumulated Depreciation	1,311,426.89	98,958.72	1,410,385.61
Net Book Value	874,691.30	(98,958.72)	775,732.58
Grand Total	₱412,743,777.09	₱88,283,394.29	₱501,027,171.38

The LGU measured the residual value of all items of property, plant and equipment but does not expect a residual value of these assets because these will be utilized for their entire economic lives and do not have a significant scrap value. During the current year, the LGU reviewed the estimated useful lives and residual values of property, plant and equipment, where appropriate.

Note 10–Biological Assets

This account consists of:

	2020	2019
GENERAL FUND		
Breeding Stocks	₱312,550.00	₱312,550.00
Total	₱312,550.00	₱312,550.00

The above balances are stated in net recoverable value. Write downs were treated as expense in the current year.

Note 11–Intangible Assets

This account consists of:

	2020	2019
GENERAL FUND		
Computer Software	₱1,008,395.00	₱259,600.00
Total	₱1,008,395.00	₱259,600.00

Note 12–Financial Liabilities

12.1 Current Liabilities

12.1.1 Financial Liabilities

This account consists of:

	2020	2019
GENERAL FUND		
Accounts Payable	₱65,780,513.26	₱42,345,387.24
Due to Officers and Employees	55,100.00	55,100.00
Loans Payable-Domestic	3,856,041.23	1,620,720.60
Sub-total	69,691,654.49	44,021,207.84
SPECIAL EDUCATION FUND		
Accounts Payable	662,969.51	404,678.06
Sub-total	662,969.51	404,678.06
TRUST FUND		
Accounts Payable	0.00	4,046,460.31
Sub-total	0.00	4,046,460.31
Total	₱70,354,624.00	₱48,472,346.21

The Loans Payable-Domestic account represents the loan from the Municipal Development Fund Office (MDFO) to fund the Taytay Municipal Wide Water System Development Project with principal amount of ₱190,550,000.00 payable in 20 years at a fixed annual interest rate of 5% of the total amount of outstanding loan. Loan released as of December 31, 2020 totaled ₱95,358,855.55.

12.1.2 Inter-Agency Payables

This account consists of:

	2020	2019
GENERAL FUND		
Due to BIR	₱1,144,911.69	₱2,119,551.63

	2020	2019
Due to GSIS	1,443,938.88	1,670,954.95
Due to Pag-IBIG	221,932.85	224,057.04
Due to PhilHealth	178,215.15	133,683.79
Due to NGAs	264,966.49	2,340.45
Due to GOCCs	400,831.84	320,951.84
Due to LGUs	3,939,566.63	2,817,177.46
Sub-total	7,594,363.53	7,288,717.16
SPECIAL EDUCATION FUND		
Due to BIR	1,068.89	0.00
Due to GOCCs	1,800.00	0.00
Sub-total	2,868.89	0.00
TRUST FUND		
Due to BIR	74,294.68	0.00
Due to NGAs	40,033,619.92	34,782,188.46
Due to GOCCs	86,889.22	82,929.22
Due to LGUs	144,948.47	144,948.47
Sub-total	40,339,752.29	35,010,066.15
Total	₱ 47,936,984.71	₱42,298,783.31

Due to BIR, GSIS, PAG-IBIG and PHILHEALTH accounts represent the amount deducted from the salaries of officials and employees to be remitted to the respective government agencies immediately on the month following the month for which these were deducted.

Due to National Government Agencies account represents balances of funds received by the LGU for specific purposes. These funds were received on the basis of the project budgets submitted. Accordingly, the LGU is contractually bound to spend these funds only in connection with the projects. Furthermore, the contracts stipulate that the funds received for the project may only be applied to the costs incurred for the project, as and when the phases of the project are certified as complete. The conditions remaining therefore represent phases of the projects that are yet to be certified as complete. Return of the unspent portion of the fund is subject to the conditions stated in the respective Memorandum of Agreements executed between the LGU and the proponent government agencies.

12.1.3 Intra-Agency Payables

This account consists of:

	2020	2019
Due to Other Funds		
General Fund	₱13,578,786.55	₱21,080,737.62
Trust Fund	200.00	971,997.53
Total	₱ 13,578,986.55	₱22,052,735.15

12.1.4 Trust Liabilities

This account consists of:

	2020	2019
GENERAL FUND		
Guarantee/Security/Deposits Payable	₱ 1,827,261.56	₱1,094,084.38
Sub-total	1,827,261.56	1,094,084.38
SPECIAL EDUCATION FUND		
Guarantee/Security/Deposits Payable	37,175.36	34,523.83
Sub-total	37,175.36	34,523.83
TRUST FUND		
Trust Liabilities –DRRM	5,410,141.34	21,146,851.38
Bail Bonds Payable	1,554,416.18	1,533,995.83
Guarantee/Security Deposits Payable	1,688,473.92	1,584,943.98
Sub-total	8,653,031.44	24,265,791.19
Total	₱ 10,517,468.36	₱ 25,394,399.40

The Guarantee/Security/Deposits Payable account pertains to the amounts payable to suppliers which represent security or guarantee from them to deliver or perform work according to the contract or Purchase Order.

12.1.5 Deferred Credits/Unearned Income

This account consists of:

	2020	2019
GENERAL FUND		
Deferred Credits		
Deferred Real Property Tax	₱16,757,326.17	₱32,414,841.10
Sub-total	16,757,326.17	32,414,841.10
SPECIAL EDUCATION FUND		
Deferred Special Education Tax	16,757,326.17	42,578,687.02
Sub-total	16,757,326.17	42,578,687.02
Total	₱33,514,652.34	₱ 74,993,528.12

12.1.6 Other Payables

This account consists of:

	2020	2019
GENERAL FUND		
Other Payables	₱153,978.21	₱40,821.16
Total	₱153,978.21	₱40,821.16

12.2 Non-Current Liabilities

12.2.1 Financial Liabilities

This account consists of:

	2020	2019
GENERAL FUND		
Loans Payable-Domestic	₱88,844,684.91	₱40,488,309.92
Total	₱88,844,684.91	₱40,488,309.92

12.2.2 Other Payables

This account consists of:

	2020	2019
TRUST FUND		
Other Payables	₱25,575,786.12	₱18,236,836.02
Total	₱25,575,786.12	₱18,236,836.02

Note 13–Tax Revenue

This account consists of:

	2020	2019
GENERAL FUND		
Individual and Corporation		
Community tax	₱1,193,230.01	₱1,067,672.06
Tax Revenue-Property		
Real Property Tax - Basic	2,742,188.52	2,406,916.86
Less: Discount on Real Property Tax –Basic	(205,482.54)	(129,761.93)
Goods and Services		
Business Tax	14,881,275.41	10,764,284.62
Fines and Penalties		
Fines and Penalties – Taxes on Individual & Corporation	0.00	753.61
Fines and Penalties – Property Taxes	314,268.30	460,484.87
Fines and Penalties –Taxes on Goods and Properties	990,320.74	538,839.35
Sub-total	19,915,800.44	15,109,189.44
SPECIAL EDUCATION FUND		
Special Education Tax	3,631,591.24	3,422,069.75
Less: Discount on Special Education Tax	0.00	0.00
Sub-total	3,631,591.24	3,422,069.75
Total	₱23,547,391.68	₱18,531,259.19

Note 14–Share from National Taxes

This account consists of:

	2020	2019
GENERAL FUND		
Share from Internal Revenue Collection	₱407,334,432.96	₱362,077,724.00
Total	₱407,334,432.96	₱362,077,724.00

Note 15–Business and Service Income

This account consists of:

	2020	2019
GENERAL FUND		
Service Income		
Permit Fees	₱6,992,865.04	₱5,772,838.14
Registration Fees	1,365,400.50	5,374,039.17
Registration Plates, Tags and Stickers Fee	377,375.00	369,125.00
Clearance and Certificate Fees	2,042,818.20	1,681,531.06
Inspection Fees	1,944,708.40	1,512,638.15
Verification & Authentication Fees	0.00	12,162.00
Occupation Fees	1,367,570.00	1,249,000.00
Fishery Rental Fees	3,741,756.00	3,669,680.70
Fees for Sealing and Licensing of Weights and Measures	53,185.00	85,930.00
Fines and Penalties-Service Income	254,716.77	201,592.22
Other Service Income	2,535,832.25	1,755,038.79
Business Income		
Rent Income	650.00	87,467.50
Receipts from Market Operations	2,302,817.50	1,156,650.75
Receipts from Slaughterhouse	247,110.00	448,803.00
Garbage Fees	495,800.00	397,300.00
Hospital Fees	275,620.00	492,845.00
Interest Income	3,748,386.01	3,705,752.36
Service Concession Revenue	0.00	2,100,000.00
Total	₱27,746,610.67	₱30,072,393.84

Note 16–Shares, Grants and Donations

This account consists of:

	2020	2019
GENERAL FUND		
Share from PCSO	₱19,370.22	₱72,249.72
Total	₱19,370.22	₱72,249.72

Note 17–Miscellaneous Income

This account consists of:

	2020	2019
GENERAL FUND		
Miscellaneous Income	₱ 19,264.82	₱87.22
Total	₱19,264.82	₱87.22

Note 18–Personnel Services

This account consists of:

	2020	2019
GENERAL FUND		
Salaries and Wages		
Salaries and Wages – Regular	₱ 63,733,833.88	₱58,567,712.19
Salaries and Wages– Casual/Contractual	17,770,465.72	14,573,134.66
Other Compensation		
Personal Economic Relief Allowance (PERA)	5,847,636.46	5,510,766.63
Representation Allowance (RA)	2,606,287.50	2,667,725.00
Transportation Allowance (TA)	2,424,937.50	2,480,475.00
Clothing/Uniform Allowance	5,000.00	1,356,750.00
Subsistence Allowance	527,200.00	484,450.00
Laundry Allowance	78,876.00	74,625.00
Productivity Incentive Allowance	5,000.00	10,000.00
Honoraria	378,817.37	475,661.37
Hazard Pay	4,275,448.42	2,919,707.73
Overtime and Night Pay	176,337.84	0.00
Year-End Bonus	5,844,753.35	5,129,715.00
Other Bonuses and Allowances	12,144,889.50	9,568,395.00
Personnel Benefit Contributions		
Retirement and Life Insurance Contributions	8,306,811.60	7,506,190.58
Pag-IBIG Contributions	1,387,175.55	1,251,300.47
PhilHealth Contributions	977,358.22	719,791.89
Employees Compensation Insurance Premiums	262,068.98	250,578.60
Other Personnel Benefits		
Terminal Leave Benefits	2,060,872.44	2,654,803.96
Other Personnel Benefits	10,257,640.69	5,027,000.04
Sub-total	139,071,411.02	121,228,783.12
SPECIAL EDUCATION FUND		
Salaries and Wages		
Salaries and Wages- Casual/Contractual	70,200.00	123,630.00
Sub-total	70,200.00	123,630.00
Total	₱139,141,611.02	₱121,352,413.12

Note 19–Maintenance and Other Operating Expenses

This account consists of:

	2020	2019
GENERAL FUND		
Travelling Expenses		
Travelling Expenses – Local	₱19,274,313.23	₱29,927,607.93
Training and Scholarship Expenses		
Training Expenses	6,697,294.82	9,584,176.90
Scholarship Grants/Expenses	3,000.00	22,500.00
Supplies and Materials Expenses		
Office Supplies Expenses	3,787,929.71	5,063,458.67
Accountable Forms Expenses	233,553.75	239,667.10
Animal/Zoological Supplies Expenses	109,800.00	300,759.25
Food Supplies Expenses	44,053,958.00	438,205.00
Drugs and Medicines Expenses	8,170,494.24	3,177,112.15
Medical, Dental and Laboratory Supplies Expenses	6,372,485.70	823,052.50
Fuel, Oil and Lubricants Expenses	11,152,040.69	17,017,786.44
Agriculture and Marine Supplies Expenses	1,329,909.00	1,637,844.00
Chemical and Filtering Supplies Expenses	139,100.00	0.00
Other Supplies and Material Expenses	9,838,499.29	9,215,004.41
Utility Expenses		
Water Expenses	50,511.60	81,200.27
Electricity Expenses	4,405,086.74	4,329,006.69
Communication Expenses		
Postage and Courier Service	11,021.00	28,687.00
Telephone Expenses	931,714.78	1,033,180.98
Internet Subscription Expenses	285,003.32	253,387.52
Awards/Rewards and Prizes		
Awards and Rewards Expenses	1,740,003.37	1,242,345.01
Prizes	0.00	129,000.00
Confidential, Intelligence and Extraordinary Expenses		
Extraordinary and Miscellaneous Expenses	181,396.00	168,950.00
Professional Services		
Auditing Services	56,267.06	157,492.70
Consultancy Services	0.00	720,000.00
Other Professional Services	5,266,274.38	4,976,905.38
General Services		
Environmental /Sanitary Services	3,690,495.42	2,650,909.59
Janitorial Services	1,027,835.37	2,096,542.84
Security Services	2,962,321.32	3,076,374.61
Other General Services	3,427,571.00	3,020,851.06

	2020	2019
Repairs and Maintenance		
Repairs and Maintenance (R&M) - Infrastructure Assets	203,922.40	276,897.47
R&M -Buildings and Other Structures	1,012,951.36	2,615,986.90
R&M -Machinery and Equipment	4,357,389.00	2,441,515.00
R&M -Transportation Equipment	5,061,469.50	3,533,723.10
R&M -Other Property, Plant and Equipment	50,220.00	143,220.15
Taxes, Insurance Premiums and Other Fees		
Taxes, Duties and Licenses	18,341.63	12,208.38
Fidelity Bond Premiums	221,459.43	236,479.76
Insurance Expenses	1,545,648.65	1,518,668.94
Other Maintenance and Operating Expenses		
Advertising Expenses	376,512.00	109,446.00
Printing and Publication Expenses	749,550.95	1,122,916.00
Rent/Lease Expenses	156,521.68	156,521.66
Membership Dues and Contributions to Organizations	79,300.00	209,500.00
Donations	31,872,287.72	17,646,863.00
Other Maintenance and Operating Expenses	6,951,003.36	7,912,120.40
Sub-total	187,854,457.47	139,348,074.76
Special Education Fund		
Traveling Expenses		
Traveling Expenses	0.00	261,050.00
Training and Scholarship Expenses		
Training Expenses	47,120.00	219,433.75
Supplies and Materials Expenses		
Office Supplies Expenses	336,119.34	64,114.39
Other Supplies and Materials Expenses	163,312.66	99,093.05
Drugs and Medicines Expenses	0.00	7,882.00
Utility Expenses		
Water Expenses	0.00	2,265.00
Electricity Expenses	10,625.01	10,519.08
Communication Expenses		
Telephone Expenses	13,006.81	43,222.70
Internet Subscription Expenses	0.00	11,906.36
Repairs and Maintenance		
Repairs and Maintenance -Buildings and Other Structures	981,815.65	885,253.60
Transportation and Delivery Expenses	0.00	198,800.00
Other Maintenance and Operating Expenses		
Other Maintenance and Operating Expenses	27,280.00	818,476.23
Sub-total	1,579,279.47	2,622,016.16
Total	₱189,433,736.94	₱141,970,090.92

Note 20–Non-Cash Expenses

This account consists of:

	2020	2019
GENERAL FUND		
Depreciation-Infrastructure Assets	₱3,576,924.84	₱2,706,199.80
Depreciation-Buildings and Structures	5,533,628.76	5,589,774.51
Depreciation-Machinery and Equipment	4,037,806.26	3,446,852.50
Depreciation-Transportation Equipment	3,425,645.07	2,954,203.16
Depreciation-Furniture, Fixtures and Books	618,166.95	493,580.82
Depreciation-Other Property, Plant and Equipment	96,942.20	52,470.00
Sub-total	17,289,114.08	15,243,080.79
SPECIAL EDUCATION FUND		
Depreciation-Buildings and Structures	0.00	3,012.60
Depreciation-Machinery and Equipment	77,865.72	6,233.51
Depreciation-Furniture, Fixtures and Books	21,093.00	1,757.75
Sub-total	98,958.72	11,003.86
Total	₱17,388,072.80	₱15,254,084.65

Note 21–Assistance and Subsidy from

This account consists of:

	2020	2019
GENERAL FUND		
Subsidy from National Government	₱ 33,966,422.00	₱ 0.00
Total	₱33,966,422.00	₱0.00

The Subsidy from National Government account pertains to the amount received from the Department of Budget and Management as assistance to the municipality called as “Bayanihan Grant to Cities and Municipalities”.

Note 22–Financial Assistance/Subsidy

This account consists of:

	2020	2019
GENERAL FUND		
Subsidy to NGAs	₱362,906.00	₱1,288,000.00
Subsidy to Other LGUs	5,309,860.00	6,368,764.00
Subsidy to Other Funds	15,885,456.60	1,784,010.42
Subsidies - Others	42,500.00	0.00
Total	₱21,600,722.60	₱9,440,774.42

Note 23–Transfers to

This account consists of:

	2020	2019
GENERAL FUND		
Transfers of Unspent Current Year DRRM Funds to the Trust Fund	₱5,410,141.34	₱12,034,848.66
Total	₱5,410,141.34	₱12,034,848.66

Note 24-Reconciliation of Net Cash Flows from Operating Activities to Surplus/(Deficit)

	GENERAL FUND	SPECIAL EDUCATION FUND	TRUST FUND	TOTAL
Surplus/(Deficit)	₱117,776,054.60	₱1,883,153.05	₱0.00	₱119,659,207.65
Depreciation	17,289,114.08	98,958.72	0.00	17,388,072.80
Increase (Decrease) in payables	52,019,336.24	(25,557,548.98)	(7,962,381.35)	18,499,405.91
Decrease (Increase) in current assets	(31,869,858.23)	24,899,873.25	9,305,673.01	2,335,688.03
Adjustments in Equity for the Current Year	3,740,000.00	0.00	0.00	3,740,000.00
Net Cash Flows from Operating Activities	₱158,954,646.69	₱1,324,436.04	₱1,343,291.66	₱161,622,374.39

Note 25–Local Disaster Risk Reduction Management Fund (LDRRMF)

The LDRRMF represents the amount set aside to support the disaster risk management activities pursuant to R.A. No. 10121 otherwise known as the “Philippine Disaster Risk Reduction and Management Act of 2010.” The amount available and utilized during the year totaled ₱96,582,066.47 and ₱80,333,910.06, respectively, broken down as follows:

Particulars	Available	Utilized	Balance
Current Year Appropriation:			
Quick Response Fund	₱6,574,383.62	₱6,574,383.62	₱0.00
Mitigation Fund			
MOOE	20,240,230.00	14,830,088.66	5,410,141.34
Capital Outlay	5,700,000.00	5,700,000.00	0.00
Total	32,514,613.62	27,104,472.28	5,410,141.34
Continuing Appropriation:			
CY 2010	286,230.53	286,230.53	0.00
CY 2011	428,911.80	428,911.80	0.00
CY 2014	55,157.37	55,157.37	0.00
CY 2015	776,500.00	776,500.00	0.00
CY 2016	3,544,890.00	3,544,890.00	0.00
CY 2017	4,849,551.10	4,849,551.10	0.00

Particulars	Available	Utilized	Balance
CY 2018	8,680,604.02	8,680,604.02	0.00
CY 2019	24,298,756.65	14,029,766.96	10,268,989.69
Total	42,920,601.47	32,651,611.78	10,268,989.69
Special Trust Fund:			
Unexpended QRF and MOOE			
CY 2015	841,967.60	841,967.60	0.00
CY 2016	1,679,203.43	1,679,203.43	0.00
CY 2017	2,436,641.40	2,436,641.40	0.00
CY 2018	4,154,190.29	4,154,190.29	0.00
CY 2019	12,034,848.66	11,465,823.28	569,025.38
Total	21,146,851.38	20,577,826.00	569,025.38
Total	₱96,582,066.47	₱80,333,910.06	₱16,248,156.41

The amount transferred corresponding to the unspent LDRRMF for CY 2020 was ₱5,410,141.34. The continuing capital outlay for CY 2019 amounting to ₱24,298,756.65 is composed of the Reprogramming Ordinance No. 347 and Year 2019 Budget Plan.

Note 26-Reconciliation Statement of Actual Amounts Presented in the Statement of Comparison of Budget and Actual Amounts (SCBAA) and in the Statement of Financial Performance for the Year Ended December 31, 2020

	Income	Personal Services	Maintenance and Other Operating Expenses	Capital Outlay
Actual Amounts in SCBAA	₱489,001,901.11	₱135,901,658.95	₱169,505,895.27	₱110,107,718.23
Basis Difference				
Non-cash expenses:				
Depreciation	0.00	0.00	17,289,114.08	0.00
Accounting Recognition Difference	0.00	3,169,752.07	45,359,426.14	0.00
Capital Expenditures	0.00	0.00	0.00	(110,107,718.23)
Per Statement of Financial Performance	₱489,001,901.11	₱139,071,411.02	₱232,154,435.49	₱0.00

The details of the reconciling items are as follows:

Accounting recognized as PS, not included in the Budget	
Accounting Recognition Difference- For Reconciliation	₱ 3,169,752.07
Accounting recognized as MOOE, not included in the Budget	
Transfers of Unspent Current Year DRRM Funds to the Trust Funds	5,410,141.34
MOOE Expenditures-BGCM	30,115,907.00
Budgeted as MOOE, Accounting recorded as inventory:	
Fuel, Oil & lubricants Inventory	1,911,671.00
Other Supplies and Materials Inventory- Water System	1,894,603.62
Chemical and Filtering Supplies Inventory- Water System	270,000.00
MOOE Expenditure as per Supplemental Budget No. 1	7,945,950.00
Accounting Recognition Difference- For Reconciliation	(2,188,846.82)
	₱ 45,359,426.14

DETAILED OBSERVATIONS AND RECOMMENDATIONS

A. Financial and Compliance Audit

Deficiencies in the collection of Real Property Tax/Special Education Tax

- 1. The Municipal Treasurer did not automatically release to the Local School Board the proceeds of the additional one percent (1%) real property tax accruing to the Special Education Fund (SEF) contrary to Section 272 of the Republic Act (R.A.) No. 7160 due to failure to prepare separate Report of Collections and Deposits for Basic Tax and the Additional Tax accruing to the SEF as required by Section 64(A) of the Local Treasury Operations Manual (LTOM). Moreover, the recorded total collections of the basic Real Property Tax (RPT) and Special Education Tax (SET) for CY 2020 have a variance of ₱7,255,861.57 contrary to Section 233 of the R.A. No. 7160.**

Section 272 of the Republic Act (R.A.) No. 7160 or the Local Government Code of 1991 states that “The proceeds from the additional one percent (1%) tax on real property accruing to the Special Education Fund (SEF) shall be automatically released to the local school boards: Xxx”

Section 64(A) of the Local Treasury Operations Manual (LTOM) also provides that “For real property tax payments, separate Report of Collections and Deposits shall be prepared for collections pertaining to the Basic Tax and the Additional Tax accruing to the SEF.”

Contrary to the foregoing provisions, review and verification of the journals and other accounting reports disclosed that the Municipal Treasurer did not prepare separate reports of collections for Real Property Tax (RPT) and Special Education Tax (SET), thus the proceeds of the additional 1% RPT was not automatically transferred to the SEF. The report of collection prepared by the Municipal Treasurer indicated the total amount pertaining to RPT as well as SET collections, however both the RPT and SET collections were still deposited in the General Fund (GF) account. As such, the Municipal Accountant recorded SET collections in the General Journal (GJ) under the GF to the Due to Other Funds account however, it was noted that no corresponding Due from Other Funds account was recorded in the SEF books to recognize the amount of collections due from the GF. The Municipal Treasurer prepares the report of collection for SET only upon receipt of the remittance/transfer of the SET collections from GF and indicated only the whole amount of SET collections for the month. Likewise, the Municipal Accountant only recorded the SET collections in the SEF books upon receipt of the transfer.

Comparison of the recording of RPT and SET Receivable accounts on the GJs under the GF and SEF showed the following monthly collections from January to December 2020:

Table 1.1 RPT/SET Collections during the year

MONTH	GF	SEF
January	₱2,403,231.20	₱ 0.00
February	706,473.06	648,115.70
March	841,443.44	354,727.75
April	46,310.99	225,419.21
May	150,211.00	10,346.57
June	504,177.74	43,703.07
July	171,098.22	144,045.16
August	386,078.61	56,648.63
September	714,544.87	139,948.12
October	198,389.22	225,634.54
November	920,529.41	72,518.19
December	3,774,859.14	1,640,378.39
TOTAL	₱10,817,346.90	₱3,561,485.33

As can be gleaned from the table above, there is a difference of ₱7,255,861.57 (₱10,817,346.90 less ₱3,561,485.33) between the recorded RPT and SET collections. This seemed strange since Section 233 of R.A. No. 7160 provides that the Municipality may collect at a uniform rate of 1% basic RPT and additional 1% for the SET in its locality.

The RPT and SET should be collected simultaneously. The same amount of receivable should be set up for both accounts at the beginning of the year and same amount should be collected thereafter. At any point in time, the RPT and SET Receivable accounts should have equal and the same balances. Although the year-end balances of the RPT and SET Receivables both have ending balances of ₱16,757,326.17, there was still a variance of ₱7,255,861.57 between the recorded collections. This disparity may indicate that there was an error in recording the collections of both basic and additional 1% for SET.

Although the collectibles of SEF from the GF was transferred to the SEF depository account on a monthly basis, the manner of reporting by the Municipal Treasurer, which is preparation of one RCD for both collections of RPT and SET, may have caused confusion in the recording of collections in both the GF and SEF books.

We recommended that the Municipal Treasurer prepare separate reports of collections for RPT and SET and automatically deposit the proceeds of the additional 1% RPT accruing to the SEF depository account, in compliance with Section 272 of R.A. 7160 and Section 64(A) of the Local Treasury Operations Manual. We also recommended that the Municipal Accountant ensure the correctness of the amount of RPT and SET collections of to be credited to both RPT and SET Receivable accounts.

The Management commented that the Municipal Treasurer and Municipal Accountant will adopt the recommendation effective June 2021 and the necessary adjustment for previous periods will be recorded also by June 2021.

Unreliable Due From/Due to Other Funds account balances

2. Disparity of ₱6,185,566.98 in the balances of reciprocal accounts Due from Other Funds and Due to Other Funds as of December 31, 2020 rendered these account balances unreliable.

As defined in COA Circular No. 2015-009 dated December 1, 2015, Due from Other Funds (1-03-04-050) is used to record the amount of advances to other funds while Due to Other Funds (2-03-01-010) is used to record the authorized receipt of funds from one fund to another fund maintained by the same agency. These two accounts are reciprocal, that is, when a receivable is set up in one fund there should be a corresponding payable set up in another fund and vice versa, hence, their balances should tally or reconcile at any given time.

As at December 31, 2020, the balances of Due from Other Funds and Due to Other Funds as disclosed in the Notes to Financial Statement are broken down as follows:

Table 2.1 Breakdown of Due from/to Other Funds by Fund

ACCOUNTS	GF	SEF	TF	TOTAL
Due from Other Funds	₱ 6,185,766.98	₱1,400,154.55	₱ 5,993,065.02	₱ 13,578,986.55
Due to Other Funds	13,578,786.55	0.00	200.00	13,578,986.55

As reciprocal accounts, the balance of the Due from Other Funds account under the GF should be equal to the total balance of the corresponding Due to Other Funds account under the SEF and TF. Likewise, the balance of the Due to Other Funds account under the GF should tally with the total balance of the corresponding Due from Other Funds account under the SEF and TF.

However, based on the balances as at December 31, 2020 as shown in Table 2.1, Due from Other Funds-GF and the corresponding Due to Other Funds under the SEF and TF, as well as Due to Other Funds-GF and the corresponding Due from Other Funds under the SEF and TF both have a variance of ₱6,185,566.98, as follows:

Table 2.2 Variance between Due from/to Other Funds accounts

ACCOUNTS	FUND	AMOUNT
Due from Other Funds	GF	₱ 6,185,766.98
Due to Other Funds	SEF	0.00
	TF	200.00
		200.00
Variance		6,185,566.98
Due to Other Funds	GF	13,578,786.55
Due from Other Funds	SEF	1,400,154.55
	TF	5,993,065.02
		7,393,219.57
Variance		6,185,566.98

Although the total balances of the Due from Other Funds and Due to Other Funds accounts are equal as shown in Table 2.1, it can be inferred from Table 2.2 that the receivable of GF does not have corresponding payable in both SEF and TF books, except that there was a ₱200.00 balance of Due to Other Funds under TF. Likewise, the payable of GF to the other funds exceeded the total receivables of SEF and TF to GF by ₱6,185,566.98.

Discrepancies in the above reciprocal accounts are actually easy to detect because their balances should always tally any time, hence, they should have been corrected by the Municipal Accountant early on because such discrepancies affect the fair presentation of the reciprocal accounts in the financial statements.

We recommended that the Municipal Accountant exert efforts in reconciling the Due from Other Funds and Due to Other Funds accounts in all funds, determine the cause/s of disparity in the balances and record the necessary adjustments in the books to present the correct balances in the financial statements.

The Management commented that the Accounting Office has already reconciled the Due from Other Funds and Due to Other Funds accounts. In the implementation of the e-NGAS, special accounts were set up as separate books under the General Fund (GF) such as 20% Development Fund (DF). The discrepancy of ₱6,185,566.98 pertains to reciprocal account of GF Proper and 20% DF and does not affect the SEF and TF books. The Municipal Accountant provided the Audit Team with the reconciliation schedule showing the breakdown of ₱6,185,566.98.

Based on the reconciliation provided by the Municipal Accountant, the variance of ₱6,185,566.98 represents receivable of GF proper from the 20% DF (wrong checks issued from the GF proper bank account and BIR remittances of the 20%DF paid by GF). The receivable of GF Proper and payable of 20%DF from each other should be properly recorded to the Due from/to Special Accounts.

Doubtful PPE account balance

3. **The existence, completeness and accuracy of Property, Plant and Equipment (PPE) account with net book value of ₱267,482,715.89 as at December 31, 2020 could not be ascertained due to a) absence of physical inventory report duly reconciled with PPE ledger cards and property cards contrary to Chapter IV of the Handbook on Property and Supply Management System and Manual on Property Custodianship, Section 490 of Government Accounting and Auditing Manual (GAAM) and COA Circular No. 2015-008; and (b) unidentified PPE totaling ₱30,628,717.10.**

As of December 31, 2020, the carrying value of PPE accounts amounted to ₱267,482,715.89 (excluding Land and Construction in Progress accounts) under the GF and SEF as presented in the following table.

Table 3.1 Breakdown of PPE by Fund and Account

PPE	GF	SEF
Land Improvements		
Other Land Improvements	₱ 10,094,728.03	₱ 0.00
Infrastructure Assets		
Road Networks	25,972,507.75	0.00
Flood Control Systems	19,050,426.25	0.00
Water Supply Systems	7,108,241.59	0.00
Power Supply Systems	822,268.90	0.00
Seaport Systems	2,816,250.45	0.00
Airport Systems	27,674,925.68	0.00
Parks, Plazas and Monuments	12,781,803.02	0.00
Other Infrastructure Assets	9,295,535.63	0.00
Buildings and Other Structures		
Buildings	76,594,632.35	0.00
School Buildings	26,541,280.63	307,567.68
Hospitals and Health Centers	11,449,692.78	0.00
Markets	25,744,828.34	0.00
Slaughterhouses	1,604,200.39	0.00
Other Structures	7,825,126.10	0.00
Machinery and Equipment		
Machinery	2,208,892.91	0.00
Office Equipment	10,291,372.62	509,094.00
Information and Communication Technology Equipment	21,874,335.57	691,665.00
Communication Equipment	2,734,342.80	0.00
Construction and Heavy Equipment	9,577,646.96	0.00
Disaster Response and Rescue Equipment	5,461,853.49	0.00
Military, Police and Security Equipment	1,017,379.10	0.00
Medical Equipment	857,900.00	0.00
Sports Equipment	100,000.00	0.00
Technical and Scientific Equipment	1,799,262.80	0.00
Other Machinery and Equipment	11,381,297.34	234,800.00
Transportation Equipment		
Motor Vehicles	50,806,134.37	0.00
Watercrafts	650,150.00	0.00
Other Transportation Equipment	2,000,000.00	0.00
Furniture, Fixtures and Books		
Furniture and Fixtures	11,100,414.32	442,991.51
Books	121,100.00	0.00
Other Property, Plant and Equipment		
Work/Zoo Animals	100,000.00	0.00
Other Property, Plant and Equipment	1,755,063.00	0.00
Total Cost	399,213,593.17	2,186,118.19
Less: Accumulated Depreciation	(132,506,609.86)	(1,410,385.61)
Total Net Book Value	₱ 266,706,983.31	₱ 775,732.58

Chapter IV on the Handbook on Property and Supply Management System (PSMS) emphasized the importance of Inventory taking and defined the responsibility of the Chief of Agencies on its implementation:

Inventory taking is an indispensable procedure for checking the integrity of property custodianship. The physical stock - taking and of equipment supplies serves as a basis for preparing accounting reports. At the end of each quarter the Accounting and the Supply/ Property Unit should reconcile their records.

The chief of agencies, are required to take a physical inventory of all the equipment and supplies of their respective offices at a least once year. Supplies and materials in stock, including medicines, drugs and medical supplies exclusively for either commissary, sale, manufacture or relief purposes should be inventoried at least every six (6) months as of June 30 and December 31 of each year. (underscore supplied)

Section 490 of GAAM, Volume I provides that: *Physical stock-taking is an indispensable procedure for checking the integrity of property custodianship. In all cases, the physical inventory-taking which is required semi-annually or annually should be regarded with importance. Xxx. Such inventory shall be made as of December 31 xxx and submitted to the Auditor not later than January 31 of each year.*

Inquiry with the Accounting Office disclosed that the Inventory Committee conducted a physical count of the properties owned by the Municipality and submitted to them an inventory report as of December 31, 2020. The Inventory Committee, however, has yet to submit to the Audit Team the Report on the Physical Count of Property, Plant and Equipment (RPCPPE) duly reconciled with the accounting records because the reconciliation is still on-going.

The Accounting Office was able to submit the schedules of PPE accounts as of December 31, 2020 to support the balances of the account in the financial statements (FS). The schedule shows the property number, date of acquisition, acquisition cost, estimated useful life and accumulated depreciation of each item of the PPE. However, the schedule does not serve the purpose of RPCPPE as it only reflects the recorded balances and does not provide assurance on the physical existence and condition/status of the properties.

COA Circular No. 2015-008 dated November 23, 2015 provides the following duties and responsibilities of the Local Accountant, General Services Officer (GSO), Municipal Engineer and Local Chief Executive (LCE) as regards the reporting guidelines on the Local Road Asset Management System:

VI. Reporting Guidelines

- 3. The Inventory Committee shall prepare the Report on the Physical Count of the Road Network System of the local government unit.*

VII. Duties and Responsibilities

a. Local Accountant:

- 1. Prepare the Journal Voucher (JV) to record the beginning balance of the local road network and its components in the general ledger and the Local Road Network Ledger Card, respectively;*
- 2. Support the JV with the Registry of Public Infrastructures for Roads, working paper on the distribution of costs for the road components, and working paper on the determination of the depreciated replacement cost for road components with no available cost per registry;*
- 3. Keep and maintain subsidiary records for roads and road components for every road network; and*
- 4. Prepare a lapsing schedule for the computation of the depreciation for each component at the end of the year.*

b. General Services Officer

- 1. Maintain a Local Road Inventory and Road Map;*
- 2. Keep a complete Local Road Network Property Card for all roads and its components.*

c. Provincial/City/Municipal Engineer

- 1. Provide the local accountant and GSO with the complete description and cost segregation of road components for road projects*

d. Local Chief Executive

- 1. Enjoin the department heads' compliance with the requirements of the Circular*

Item IX of COA Circular No. 2015-008 states that the complete recognition of the account Local Road Network in the books of accounts should be made within the period of four years, hence, it is expected that the requirements of the Circular are already 100% complied with by the Municipality by the end 2019.

Each depreciable component of the road network should be depreciated separately and regularly assessed for impairment. However, the required depreciation and mandatory reconciliation with the accounting records could not be conducted because the Municipal Engineer still failed to provide the Municipal Accountant of the complete description, specifications and cost segregation of the road components. Hence, there was no disclosure included for the total road network system in the NTFS in contravention of COA Circular No. 2015-008 which provides:

VI. Reporting Guidelines

- 2. The total road network system shall be disclosed in the Notes to Financial Statements of the Agency (NTFS)*

Despite previous year's audit recommendations, no Report on the Physical Count of Local Road Network (RPCLRN) for CY 2020 was submitted to the Audit Team and the Municipal Accountant still failed to provide the necessary information for the account such as length/distance of the road properties, total cost, total expenditures on the local road additions, major repairs and regular maintenance, amount of reductions to the account due to derecognition, amount of impairment and amount of impairment reversed, if any, thus, casting doubts on the accuracy and propriety of the recorded Road Networks totaling ₱25,972,507.75.

Actual physical inventory is essential to verify the existence and actual condition of the assets and would readily identify supplies or properties that are obsolete, damaged, unserviceable or lost, thus proper action may be undertaken. Further, actual physical inventory and reconciliation of property and accounting records would ensure the accuracy of the amounts recorded in the books.

Due to absence of the required RPCPPE and RPCLRN, the existence, completeness and condition of the assets including those that have been fully depreciated as of year-end could neither be determined nor verified.

Further review of the PPE schedules showed a total of ₱30,628,717.10 unidentified PPE or those recorded as either name of materials or generic class of PPE instead of the specific name and description of PPE. The details are shown in this table.

Table 3.2 Schedule of Unidentified PPE

PPE	DETAILS	AMOUNT
General Fund		
Airport Systems	Airport Systems- Runways/Taxiways	₱ 27,674,925.68
Books	Books SN 4903	48,500.00
	Books SN 4904	19,750.00
Construction and Heavy Equipment	Sparepart-Heavy Equipment SN 2806	948,667.16
Furniture and Fixtures	F&F (HRMO) SN 4895	6,000.00
	For reconciliation SN 4866	234,982.26
	Furniture & Fixture (MSWD) SN 4919	13,425.00
	Furniture & Fixture (New Bldg) SN 4804	221,319.00
	Furniture & Fixtures (Batas Health Center) SN 4953	35,000.00
	Furniture & Fixtures (MSWD) SN 4908	17,000.00
	Furniture & fixtures SN 4862	25,878.00
	Furniture & Fixtures SN 4932	18,000.00
	Furniture & Fixtures (Legislative Bldg) SN 4840	388,000.00
	Furniture (MTC) SN 4902	35,500.00
	Furniture and Fixtures SN 4829	15,714.00
	Furniture & Fixture (MHO) 4915	21,000.00
	Furniture & Fixtures (Assessors) SN 4905	39,780.00
	Furniture & Fixtures (MHO) SN 4903	63,500.00
	Furniture & Fixtures SN 4842	6,000.00
Information and Communication Technology Equipment	IT Equipment (Accounting) SN 2142	50,000.00
	IT Equipment (Assessor) SN 2141	59,700.00
	IT Equipment (MGSO) SN 2125	20,000.00
	IT Equipment (OMA) SN 2140	36,500.00
	IT Equipment (Tourism) SN 2109	24,500.00

PPE	DETAILS	AMOUNT
	IT Equipment SN 2082	23,000.00
	IT Equipment SN 2084	46,000.00
	IT Equipment SN 2107	41,000.00
	IT Equipment SN 2108	92,400.00
	IT Equipment SN 2202	60,000.00
	IT Equipment SN 2204	49,750.00
Office Equipment	c/o LBP liquidation SN 2125	196,026.00
	Office Equipment (HRMO) SN 2135	20,000.00
	Office Equipment (MHO) SN 2133	10,000.00
	Office Equipment (OVM) SN 2151	32,900.00
	Office Equipment SN 2165	34,000.00
	TOTAL	₱ 30,628,717.10

Incomplete details in the PPE schedules could cause difficulty during reconciliation of the inventory report with the accounting records.

We reiterated our recommendation that the:

- a. Inventory Committee (i) prepare the Report on the Physical Count of PPE and Report on the Physical Count of the Local Road Network System and immediately complete the reconciliation with the Property Cards, PPE Ledger Cards, Road Network Ledger Cards and other accounting records; and (ii) submit a copy thereof to the Audit Team; and**
- b. Municipal Engineer (i) submit a complete report on the costs, description and specifications and cost segregation of the road components to the Municipal Accountant as bases for disclosures in the NTFS; and (ii) regularly assess each road component for impairment.**

The Management commented that the Municipal General Services Office conducted the physical count at the end of the year, in which the re-issuance/updating of Acknowledgement Receipt of Equipment was done and serviceable PPE were identified. Until this point of time, reconciliation is still on going with the records of the Municipal Accounting Office. The LCE issued a memorandum to concerned offices to fully observe the audit recommendations and submit all required reports.

Unreliable Statement of Comparison of Budget and Actual Amount

- 4. The Statement of Comparison of Budget and Actual Amount for the year 2020 is unreliable due to unreported utilization of the Municipality's Bayanihan Grant (BGCM) and the variances noted in the final budgets of the GAD Fund and Persons with Disability (PWD) Program Fund, resulting in the understatement of both the Final Budgets and Actual Amounts totaling ₱41,299,891.43 and ₱33,703,795.96, respectively.**

The International Public Sector Accounting Standards (IPSAS) 24- Presentation of Budget Information in Financial Statements provides that:

Presentation of a Comparison of Budget and Actual Amounts

14. *Subject to the requirements of paragraph 21, an entity shall present a comparison of the budget amounts for which it is held publicly accountable and actual amounts, either as a separate additional financial statement or as additional budget columns in the financial statements currently presented in accordance with IPSASs. The comparison of budget and actual amounts shall present separately for each level of legislative oversight:*
- a. The original and final budget amounts;*
 - b. The actual amounts on a comparable basis; and*
 - c. By way of note disclosure, an explanation of material differences between the budget for which the entity is held publicly accountable and actual amounts, unless such explanation is included in other public documents issued in conjunction with the financial statements, and a cross reference to those documents is made in the notes*

Presentation and Disclosure

21. *An entity shall present a comparison of budget and actual amounts as additional budget columns in the primary financial statements only where the financial statements and the budget are prepared on a comparable basis.*

The Annual and Supplemental Budgets and augmentations for the General Fund and Special Education Fund for CY 2020 were verified to establish the accuracy of the Statement of Comparison of Budget versus Actual Amount (SCBAA) for CY 2020 submitted by the Municipal Accountant. The audit result showed variances between the reported Final Budgets in the SCBAA and computed amount per audit, details are shown as follows:

Table 4.1 Unreconciled Final Budgets per SCBAA and per Audit

Particulars	SCBAA	Per Computation	VARIANCE
Gender and Development Program (GAD)			
Maintenance and Other Operating Expenses	₱18,325,000.00	₱17,825,000.00	₱500,000.00
Capital Outlay	1,500,000.00	2,408,700.00	(908,700.00)
LDRRMF			
MOOE	26,814,613.62	62,846,135.62	(36,031,522.00)
Capital Outlay	0.00	3,634,900.00	(3,634,900.00)
Person with Disability Program (PWD)			
MOOE	0.00	1,224,769.43	(1,224,769.43)
	46,639,613.62	87,939,505.05	₱(41,299,891.43)

The review of the supplemental budgets (SBudget) and other ordinances enacted for changes in the annual budget of the Municipality in CY 2020 revealed that

the variances identified in the Final Budgets as shown in Table 6.1 were caused by the following:

a. Gender and Development (GAD) Program- Current

The variances under the GAD Program were traced from the SBudget No. 5, of which ₱500,000.00 appropriations from Training and Seminar Expenses declared as savings and available for realignment, was not deducted from the total appropriations of MOOE while the newly identified capital outlay (CO), which was ICT Equipment and Software amounting to ₱826,000.00, was not added to the total appropriations for CO under GAD. The additional fund of ₱82,700.00 for the ICT Equipment and Software sourced from continuing appropriations of GAD covered by Ordinance No. 390 was also not included in the current CO of GAD.

b. Disaster Risk Reduction and Management Fund (DRRMF)- Current

The utilization of the Municipality's BGCM, as well as the realignment of CY 2020 DRRMF (MOOE only) covered by SBudget No. 2 were not reported in the SCBAA, as shown below.

LDRRMF	SCBAA	Not Reported in SCBAA		per Audit
		BGCM	SBudget No. 2	
MOOE	₱26,814,613.62	₱30,331,522.00	₱5,700,000.00	₱62,846,135.62
Capital Outlay	0.00	3,634,900.00	0.00	3,634,900.00

Since the utilization of the BGCM was not reported in SCBAA, the Actual Amounts reported under the LDRRMF were also understated by ₱33,703,795.96 or the total expenditures obligated and paid from the BGCM Fund.

c. Persons with Disability (PWD) Program- Current

The PWD Program was provided with appropriations in the CY 2020 Annual Budget amounting to ₱1,224,769.43. There was no ordinance or augmentation submitted to the Audit Team that would show that this amount was already realigned for another PPA. It must be noted that there was a total obligation of ₱897,516.94 charged against this fund. Reporting a zero amount of appropriation may indicate that the expenditures incurred were not supported with valid appropriations.

Based on the aforementioned discrepancies, the final budgets and actual amounts reported in the submitted SCBAA are unreliable.

We recommended that the Municipal Accountant and the Municipal Budget Officer reconcile their respective records on appropriations and obligations, verify

the resulting discrepancies and exercise due care in preparing budget reports to ensure accurate final budgets and actual amounts in the SCBAA.

The Municipal Accountant and the Municipal Budget Officer (MBO) submitted to the Audit Team their revised CY 2020 SCBAA on which they already effected the necessary adjustments identified during the reconciliation of their records. The Management commented that the Municipal Accounting Office and MBO will conduct reconciliation of their records on a monthly basis for the purpose of generating accurate and reliable reports.

Unsupported Reconciling items of the SCBAA and Statement of Financial Performance

- 5. Reconciling items totaling ₱48,529,178.21 were not itemized in the Reconciliation Statement of Actual Amounts presented in the SCBAA and in the Statement of Financial Performance (SFPer) and the actual amounts in the SFPer presented in the Reconciliation Statement did not include the income and expenditures under the SEF contrary to Paragraph 47 of IPSAS 24, thus the accuracy of the Reconciliation Statement and the actual amounts of Personal Services (PS), Maintenance and Other Operating Expenses (MOOE) and Capital Outlay expenditures presented in the SCBAA could not be determined.**

IPSAS 24 - Presentation of Budget Information in Financial Statements provides that:

47. The actual amounts presented on a comparable basis to the budget in accordance with paragraph 31 shall, where the financial statements and the budget are not prepared on a comparable basis, be reconciled to the following actual amounts presented in the financial statements, identifying separately any basis, timing and entity differences:

- a) If the accrual basis is adopted for the budget, total revenues, total expenses and net cash flows from operating activities, investing activities and financing activities; or*
- b) If a basis other than the accrual basis is adopted for the budget, net cash flows from operating activities, investing activities and financing activities.*

The reconciliation shall be disclosed on the face of the statement of comparison of budget and actual amounts, or in the notes to the financial statements.

The year-end Reconciliation Statement of Actual Amounts presented in the SCBAA and in the Statement of Financial Performance (SFPer) submitted to the Audit team is presented in the following table.

Table 5.1 Reconciliation Statement of Actual Amounts presented in the SCBAA and in the SFPer

	Income	PS	MOOE	Capital Outlay
Actual Amounts in SCBAA	₱489,001,901.11	₱135,901,658.95	₱169,505,895.27	₱110,107,718.23
Basis Difference				
Non-cash expenses				
Depreciation			17,289,114.08	
Accounting Recognition Difference		3,169,752.07	45,359,426.14	
Capital Expenditures				(110,107,718.23)
Per SFPer	₱489,001,901.11	₱139,071,411.02	₱232,154,435.49*	₱0.00

**includes GF -MOOE of ₱187,854,457.47, depreciation of ₱17,289,114.08 and transfers and subsidy to of ₱27,010,863.94*

The details of the reconciling items are as follows:

Accounting recognized as PS, not included in the Budget	
Accounting Recognition Difference - For Reconciliation	₱ 3,169,752.07
Accounting recognized as MOOE, not included in the Budget	
Transfers of Unspent Current Year DRRM Funds to the Trust Funds	5,410,141.34
MOOE Expenditures-BGCM	30,115,907.00
Budgeted as MOOE, Accounting recorded as inventory:	
Fuel, Oil & lubricants Inventory	1,911,671.00
Other Supplies and Materials Inventory- Water System	1,894,603.62
Chemical and Filtering Supplies Inventory- Water System	270,000.00
MOOE Expenditure as per Supplemental Budget No. 1	7,945,950.00
Accounting Recognition Difference- For Reconciliation	(2,188,846.82)
	45,359,426.14
Total	₱ 48,529,178.21

The reconciling items presented above cannot be verified as these were not supported by the lists of identified Obligation Request (ObR) and Journal Entry Voucher (JEV) references making up the variances. The Audit Team requested submission of the details of these reconciling items totaling ₱48,529,178.21, however, no report/document was submitted as of this date. This has been a recurring audit observation, hence should have been addressed by the Management.

Moreover, it was noted that the amounts of income, PS, MOOE and CO per SFPer presented in the Reconciliation Statement pertain only to the General Fund and did not include that of the SEF.

Due to the absence of details or breakdown of reconciling items totaling ₱48,529,178.21 and the non-inclusion of the income and expenditures of the SEF on the amounts presented per SFPer, the accuracy of the Reconciliation Statement and the actual amounts of PS, MOOE and CO expenditures presented in the SCBAA could not be determined.

We recommended that the Municipal Accountant and the Municipal Budget Officer submit the details of reconciling items totaling ₱48,529,178.21 and henceforth reconcile their records on allotments and obligations monthly, verify resulting

discrepancies and submit the required budget reports and reconciliation statement within the prescribed period.

The Management commented that the reconciliation has been done by the Municipal Accounting Office and the Municipal Budget Office. The revised SCBAA was submitted on June 18, 2021 however the reconciliation of the Actual Amounts is still on-going. The Management committed to submit the report to the Audit Team upon completion of the said reconciliation.

Unsubmitted financial transaction documents

- 6. Eighty-three (83) disbursement vouchers and supporting documents of recorded check and cash disbursements totaling ₱23,095,459.77 and 168 journal entry vouchers and supporting documents for non-cash transactions were not submitted to the Audit Team contrary to Section 347 of Republic Act No. 7160 and Section 7.2.1(a) of COA Circular No. 2009-006 dated September 15, 2009, thus precluded evaluation of the validity, legality, completeness and accuracy of the recorded transactions.**

Verification of the general journals (GJ) and inventory of financial transaction documents submitted to the Audit Team during the year revealed that disbursement vouchers (DVs) and supporting documents for the following cash and check disbursements totaling ₱23,095,459.77 were not yet submitted for audit:

Table 6.1 Unsubmitted Transaction Documents

FUND	NO. OF TRANSACTIONS	AMOUNT
Check Disbursements		
GF	38	₱ 577,455.64
SEF	1	19,960.00
TF	5	903,644.35
Total Check Disbursements	44	1,501,059.99
Cash Disbursements GF		
GF	37	21,523,349.78
SEF	2	71,050.00
Total Cash Disbursements	39	21,594,399.78
Total Unsubmitted DVs	83	₱23,095,459.77

(The Management was provided with the detailed list of the above transactions)

Moreover, JEVs and supporting documents for recorded non-cash transactions (collections and deposits are not included) were also not submitted for audit. The details are presented in the following table.

Table 8.2 Unsubmitted JEVs other than check and cash disbursements

JEV NOS.			
GENERAL FUND		SEF	TF
2020-04-001960	2020-09-005888	2020-12-000099	2020-01-000040
2020-04-002068	2020-09-005892-5893	2020-12-000151	2020-01-000042-043
2020-04-002097	2020-09-005922	2020-12-000152	2020-01-000283
2020-04-002859	2020-09-005926	2020-12-000153	2020-01-000285
2020-04-003566	2020-09-006026	2020-12-000154	2020-03-000157
2020-04-003869	2020-09-008215	2020-12-000155	2020-04-000159
2020-04-003887 to 3888	2020-10-005819	2020-12-000156	2020-05-000289
2020-04-003947	2020-10-005822	2020-12-000157	2020-06-000313
2020-05-001828	2020-10-005824		2020-12-000442
2020-05-001830	2020-10-006559		2020-12-000428-0429
2020-05-001833	2020-10-006610		2020-12-000444
2020-05-003567	2020-10-008216		2020-12-000446-0458
2020-05-003574	2020-11-006649		2020-12-000460
2020-05-003584-3586	2020-11-006652		2020-12-000462-0464
2020-05-003786	2020-11-006660		2020-12-000459
2020-05-003789	2020-11-007910		2020-12-000465-0472
2020-05-003885	2020-11-007923		
2020-06-003568	2020-12-007944		
2020-06-003573	2020-12-008131		
2020-06-003770	2020-12-008150		
2020-06-003778	2020-12-008192		
2020-06-003780	2020-12-008213-8214		
2020-06-003783	2020-12-008511		
2020-06-003791	2020-12-008521		
2020-06-003873	2020-12-008549		
2020-06-003877	2020-12-008685		
2020-06-003886	2020-12-008742		
2020-06-003889	2020-12-008748		
2020-07-003579	2020-12-008767		
2020-07-003645	2020-12-008773		
2020-07-003953-3955	2020-12-008850		
2020-07-004934	2020-12-008864-8865		
2020-07-004945	2020-12-008876		
2020-07-004956	2020-12-008880		
2020-08-003960	2020-12-008882-8883		
2020-08-004910	2020-12-008885-8888		
2020-08-004933	2020-12-008890-8901		
2020-08-004935	2020-12-008903-8905		
2020-08-004952	2020-12-008911-8912		
2020-08-005036	2020-12-008914		
2020-08-005039	2020-12-008917-8918		
2020-08-005049-5050	2020-12-008920		
2020-09-005643-5644	2020-12-008924		
2020-09-005846	2020-12-008926		
2020-09-005859-5861	2020-12-008930-8940		
121 JEVs		8 JEVs	39 JEVs
TOTAL: 168 JEVs			

Non-submission of the required DVs and supporting documents for the above recorded transactions is contrary to Section 347 of R.A. No. 7160 and Section 7.2.1(a) of COA Circular No. 2009-006 dated September 15, 2009 which state that:

Section 347 of R.A. No. 7160. Rendition of Accounts. - Local treasurers, accountants and other local accountable officers shall render their

accounts within such time, in such form, style, and content and under such regulations as the Commission on Audit may prescribe. Xxx.

Section 7.2.1(a) of COA Circular No. 2009-006 dated September 15, 2009 states that *The Chief Accountant, Bookkeeper or other authorized official performing accounting and/or bookkeeping functions of the audited agency shall ensure that the reports and supporting documents submitted by the accountable officers are immediately recorded in the books of accounts and submitted to the Auditor within the first ten (10) days of the ensuing month.*(underscoring supplied)

Failure to submit the DVs, ObRs, JEVs and supporting documents that were already recorded in the books and reflected in the financial statements precluded evaluation of the validity, legality and accuracy of the recorded transactions.

We recommended that the Municipal Accountant immediately submit the disbursement vouchers, obligation requests, journal entry vouchers and supporting documents for the subject transactions since these transactions were already recognized in the books; and henceforth, ensure strict adherence to the provisions of Section 347 of R.A. No. 7160 and Section 7.2.1(a) of COA Circular No. 2009-006 on the timely submission of accounts to the Auditor.

On June 18, 2021, the Municipal Accountant already submitted the JEV No. 2020-12-8868 amounting to ₱14,206,000.00 (cash disbursements) supported with paid payrolls and other documents for the liquidation of the cash advance granted for financial assistance to individuals in crisis during COVID-19 pandemic, however, this liquidation is still subject for review of the Audit Team. The Municipal Accountant also informed the Audit Team that the list of unsubmitted DVs included 26 unclaimed and stale checks totaling ₱217,722.64. She provided the list/details and copies of DVs for these unreleased checks.

Utilization of the Disaster Risk Reduction and Management Fund

- 7. The Municipality was not fully compliant with the provisions of R.A. No. 10121 or the “The Philippine Disaster Risk Reduction and Management (DRRM) Act of 2010” and COA Circular No. 2012-002 dated September 12, 2012 as manifested by the (a) non-transfer of the unexpended balance of the CY 2020 DRRMF–MOOE amounting to ₱5,410,141.34 to the LDRRMF Special Trust Fund (STF) bank account; (b) non-recording of donation from OKADA for COVID19-related purposes amounting to ₱250,000.00 to the Trust Liabilities–DRRMF account; and (c) non-maintenance of Subsidiary Ledgers (SLs) for the Trust Liabilities–DRRMF account and variances between the available, utilized and unexpended balances of DRRMF presented in the Notes to Financial Statements and in the Monthly Report on the Sources and Utilization of the DRRMF.**

Review of the utilization, accounting and reporting of LDRRMF for CY 2020 revealed the following:

a. Non-transfer of the unexpended DRRMF–MOOE for CY 2020 to the LDRRMF STF bank account - ₱5,410,141.34

Section 5.1.10 of COA Circular No. 2012-002 dated September 12, 2012 provides that *All unexpended/unobligated balance of the QRF and the DRRMF–MOOE shall be transferred to the Special Trust Fund under the account “Trust Liability–DRRM” in the Trust Fund books.*

Annex C of the same Circular, as amended by COA Circular No. 2015-009 dated December 1, 2015, provides the following pro-forma entries in accounting for the transfer of unexpended QRF and DRRMF–MOOE:

Particulars	LGU Books	
	General Fund	Trust Fund
Transfer of unexpended Quick Response (QRF) and Mitigation Funds – MOOE at the end of the year	Dr. Transfer of Unspent Current Year DRRM Funds to the Trust Funds Cr. Cash	Dr. Cash Cr. Trust Liabilities–DRRMF (with subsidiary for the source and year)

Based on the Notes to Financial Statements, the unexpended balances of the QRF and DRRMF–MOOE for CY 2020 are as follows:

Particulars	Available	Utilized	Balance
CY 2020			
QRF	₱6,574,383.62	₱6,574,383.62	₱0.00
MOOE	20,240,230.00	14,830,088.66	5,410,141.34
Total	₱26,814,613.62	₱21,404,472.28	₱5,410,141.34

The Municipal Accountant recognized payables under the GF corresponding to the unexpended CY 2020 DRRMF–MOOE amounting to ₱5,410,141.34 to be transferred to TF and recorded in the TF books the receivable from GF. There was no actual transfer of cash to the LDRRMF STF bank account contrary to Section 5.1.10 of COA Circular No. 2012-002 dated September 12, 2012 thereby exposing the funds to risk of misuse.

b. Non-recording of fund received from other source to Trust Liability–DRRMF account - ₱250,000.00

During the year, the Municipality received fund amounting to ₱250,000.00 from OKADA for COVID-19-related purposes. Review of the GJ revealed that the Municipal Accountant recorded this receipt in the TF books in the Other Payables account, instead of the Trust Liabilities–DRRMF account. Further, receipt and utilization of this fund were not included in the Monthly Report of Sources and Utilizations of DRRM fund.

This is contrary to Section 5.2.4 of COA Circular No. 2012-002 which provides that funds received from private or international donors as a result of the request for

assistance provided in Sec. 2 of Rule 14 of the IRR of R.A. 10121 shall be duly receipted by the concerned LGU and treated as special trust liability using the account “Trust Liability–DRRM” in the Trust Fund books of the receiving LGUs.

c. *Non-maintenance of Subsidiary Ledgers for the Trust Liabilities–DRRMF account and variances between the amounts of the available, utilized and unexpended balances of DRRMF for the year presented in the NTFS and Monthly Report on the Sources and Utilization of the DRRMF*

Rule 6 of the Implementing Rules and Regulations (I.R.R.) of the R.A. No. 10121 provides guidelines in the functions of the DRRM Officer of the Local DRRM Office, to wit:

Section 4. Functions – The provincial, city and municipal DRRMOs or BDRRMCs, in coordination with concerned national agencies and instrumentalities, shall perform the following functions with impartiality, given the emerging challenges brought by disaster of our times:

- (25) Prepare and submit, through the LDRRMC and the LDC, the report on the utilization of the LDRRMF and other dedicated disaster risk reduction and management resources to the local Commission on Audit provincial/city level and internal audit for municipal and component city level, copy furnished the Regional Director of the OCD and the Local Government Operations Officer of the DILG.*

COA Circular No. 2012-002 provides the following:

- 5.1.5 A Report on Sources and Utilization of DRRMF using the format in Annex B shall be prepared and certified correct by the Local Accountant. The Local Disaster Risk Reduction and Management Officer (LDRRMO) shall submit the report on or before the 15th day after the end of each month through the LDRRMC and Local Development Council (LDC) to the COA auditor of the LGU.*
- 5.1.12 The account Trust Liability-DRRM in the Trust Fund books shall be used to record transfers of the agency’s unutilized QRF and the DRRMF-MOOE of the previous years, receipts of NDRRMF, DRRMF from other LGUs and other sources. Subsidiary ledgers shall be maintained for transfers of agency’s unutilized DRRMF to the special trust fund by year of transfer, receipts of NDRRMF by transferring agency, DRRMF from other LGUs by LGU and other sources by donor.*
- 5.1.16 The amount and details of the unexpended balance of LDRRMF shall be discussed in the Notes to Financial Statements.*

Contrary to the foregoing provisions, the Accounting Office failed to maintain the SLs of the account Trust Liabilities–DRRMF for the transfers of the unexpended DRRMF to the STF by year of transfer. The SL maintained by the Accounting Office was for the whole amount of the Trust Liabilities–DRRMF and not by year of transfer.

The Monthly Report on the Sources and Utilization of the DRRM Fund for January to December 2020 were submitted to the Audit Team. Likewise, the NTFS included a disclosure on the amount and details of the unexpended balance of LDRRMF. However, there were variances noted between the stated amounts of the available fund, utilizations and balances of the LDRRMF in the NTFS and monthly report on sources and utilization. Details are as follows:

**Table 7.1 Reported balances in the NTFS vs
in the Monthly Report on the Sources and Utilization of the DRRMF**

	NTFS	Monthly Utilization Report
Available:		
Current Year Appropriation	₱32,514,613.62	₱ 32,514,613.62
Continuing Appropriation	42,920,601.47	26,311,644.87
Special Trust Fund	21,146,851.38	21,146,851.38
Total	96,582,066.47	79,973,109.87
Utilization:		
Current Year Appropriation	27,104,472.28	42,281,145.74
Continuing Appropriation	32,651,611.78	
Special Trust Fund	20,577,826.00	
Total	80,333,910.06	42,281,145.74
Balance:		
Current Year Appropriation	5,410,141.34	37,691,964.13
Continuing Appropriation	10,268,989.69	
Special Trust Fund	569,025.38	
	₱16,248,156.41	₱37,691,964.13

Moreover, the balance of the STF amounting to ₱5,979,166.72 (CY 2020 balance of ₱5,410,141.34 plus CY 2019 balance of ₱569,025.38) in the NTFS also differed from the year-end balance of the Trust Liabilities–DRRMF account in the Statement of Financial Position amounting to ₱5,410,141.34 or a variance of ₱569,025.38.

The foregoing cast doubts on the accuracy of the presented available balances of the LDRRM Fund current and continuing appropriations, and the unexpended QRF and MOOE transferred to the STF, and of the amounts utilized during the year as well as the balances as of year-end.

We recommended that a) the Municipal Accountant and the Municipal Budget Officer immediately reconcile their records on DRRMF in coordination with the MDRRM Officer; b) the Municipal Accountant immediately (i) reconstruct the

SLs for all transfers of unexpended DRRMF to the STF by year of transfer; (ii) record necessary adjustments in the books to reflect the correct balance of the Trust Liabilities-DRRMF account and to present the correct amounts in the NTFS and in the Monthly Report on the Sources and Utilization of the DRRM Fund; and (iii) henceforth, record the DRRM funds received from other sources to the Trust Liabilities-DRRMF account; and iv) the Municipal Accountant and the Municipal Treasurer cause the immediate transfer of the unexpended DRRMF to the LDRRMF STF bank account.

The Management commented that the Municipal Accountant and the Municipal Budget Officer were instructed to immediately reconcile their records on DRRMF in coordination with the MDRRM Officer and comply with the audit recommendations such as reconstruction of the SL for all transfers of unexpended DRRMF to the STF, adjustments in the books to reflect the correct balance of Trust Liabilities-DRRMF account, presentation of the correct amounts in the NTFS and in the monthly report on the sources to the Trust-Liabilities-DRRMF account.

On June 17, 2020, the Municipal Accountant and the Municipal Treasurer caused the immediate transfer of the unexpended DRRMF to the LDRRM Special Trust Fund bank account. The Management also submitted the revised Report on the Utilization of DRRM Funds for the month of December 31, 2020.

Utilization of DRRM Funds for COVID-19 related PPAs

- 8. Several lapses were noted in the utilization of DRRMF such as: (a) funding for COVID-19 related PPAs covered by Supplemental Budget No. 2, s-2020 was sourced from CY 2015-2019 unutilized DRRMF balances (from Special Trust Fund) and CY 2020 DRRMF (General Fund); (b) incomplete documentary requirements contrary to Section 4.1 of GPPB Circular No. 01-2020; (c) unsubmitted disbursement vouchers under the Trust Fund amounting to ₱19,795,475.99; and (d) variance of 6,846 sacks of rice between the MDRRMO reported quantity and per audit and absence of proof of receipt and distribution to intended beneficiaries.**

During the year, due to the Corona Virus Disease (COVID-19) pandemic, a state of calamity was declared throughout the country through Presidential Proclamation No. 929 dated March 16, 2020. In connection with the said declaration, the Municipality mobilized its prior years' and current LDRRMF to provide funds for necessary preventive and response measures to contain the spread of the COVID-19 and minimize its effects to the Municipality.

Item 2.5.6 of the Department of Budget and Management (DBM) Local Budget Circular (LBC) No. 124 dated March 26, 2020 provides:

Further, the unexpended balances of the LDRRMF that accrued to the special trust fund pursuant to Section 21 of RA No. 10121 may be used to address the disaster response requirements of the COVID-19 emergency,

among the other purposes sanctioned by the law (i.e., disaster prevention and mitigation, preparedness, and rehabilitation and recovery), provided that the same is consistent with the approved LDRRMP as incorporated in the AIP, and following the procedures under COA Circular No. 2012-002 and NDRRMC-DBM-DILG JMC No. 2013-1.

Review of the utilization of the DRRM Funds for CY 2020 disclosed the following observations:

- a. The CY 2020 DRRMF under the GF and CY 2015-2019 unutilized DRRMF balances from SEF totaling ₱20,224,439.21 and ₱13,195,751.38, respectively, were realigned/reprogrammed to COVID-19-related PPAs thru enactment of Ordinance No. 365 or Supplemental Budget No. 2, s-2020, which caused confusion in the monitoring and charging of the related expenditures of LDRRMF***

The Sanggunian Bayan (SB) enacted Ordinance No. 363 or Supplemental Budget (SBudget) No. 1 dated March 18, 2020 approving the use of the unexpended balances of the CYs 2015-2019 DRRMF totaling ₱21,146,851.38 for projects, programs and activities (PPAs) in response to COVID-19 pandemic. On April 6, 2020, the Sanggunian enacted Ordinance No. 365 or SBudget No. 2 approving the use of unexpended balances of PPAs funded by SBudget No. 1 amounting to ₱13,195,751.38 and realignment of CY 2020 Quick Response Fund (QRF), DRRMF-Capital Outlay and MOOE totaling ₱20,224,439.21 to allocate funds for newly identified COVID19-related PPAs totaling ₱33,420,190.59. Details of the realignment are as follows:

Table 8.1 Available Funds covered by SBudget Nos. 1 and 2

Particulars	SBudget No. 1	SBudget No. 2	FUNDS FOR EACH PPA
Sources of Funds (SBudget No. 1):			
CY 2015 Unexpended Balance of DRRMF	₱ 841,967.60		
CY 2016 Unexpended Balance of DRRMF	1,679,203.43		
CY 2017 Unexpended Balance of DRRMF	2,436,641.40		
CY 2018 Unexpended Balance of DRRMF	4,154,190.29		
CY 2019 Unexpended Balance of DRRMF	12,034,848.66		
Sources of Funds (SBudget No. 2):			
CY 2020 DRRMF Savings (Realigned PPAs)		₱20,224,439.21	
Savings from SBudget No. 1 totaling ₱13,195,751.28 (see deductions against PPAs of SBudget No. 1 below)			
New PPAs- SBudget No. 1			
Other Supplies and Materials Expenses	4,053,101.38	(4,003,601.38)	₱ 49,500.00
Food Supplies Expenses	9,000,000.00	(1,098,400.00)	7,901,600.00
*Drugs and Medicine Expenses	1,000,000.00	(1,000,000.00)	0.00
*Trainings Expenses	1,298,225.00	(1,298,225.00)	0.00
Consultancy Services	300,000.00	(300,000.00)	0.00
Insurance Expenses	150,000.00	(150,000.00)	0.00
Printing and Binding Expenses	50,000.00	(50,000.00)	0.00
Laboratory and Dental Expenses	144,750.00	(144,750.00)	0.00

Particulars	SBudget No. 1	SBudget No. 2	FUNDS FOR EACH PPA
Other MOOE	100,000.00	(100,000.00)	0.00
Land Acquisition	5,050,775.00	(5,050,775.00)	0.00
New PPAs- SBudget No. 2			
Food Supplies Expenses		31,320,190.59	31,320,190.59
Repairs and Maintenance- Service Vehicle		1,500,000.00	1,500,000.00
Fuel, Oil and Lubricant Expenses		600,000.00	600,000.00
	₱21,146,851.38	₱20,224,439.21	₱41,371,290.59

Item 6.5 of the National Disaster Risk Reduction and Management-DBM-Department of the Interior and Local Government (NDRRMC-DBM-DILG) Joint Memorandum Circular (JMC) No. 2013-1 dated March 25, 2013 states that *the unexpended balances of the LDRRMF may be released and utilized for new expenditure items upon submission of a revised AIP as approved by the local sanggunian and Local Chief Executive (LCE) upon recommendation of the LDRRMC in accordance with the approved LDRRMP.*

Based from the above provision, the requirement for the utilization of the unexpended balances of the LDRRMF from CYs 2015-2019 was the sanggunian-approved revised/supplemental Investment Plan for the newly identified PPAs to be funded under LDRRMF. The supplemental AIP for LDRRMF may be approved thru enactment of an ordinance by the Sanggunian. An “appropriation” ordinance is not needed because the unutilized DRRMF balances of prior years have already accrued to the Special Trust Fund (STF) or no longer part of the GF Proper, thus may not be subject to/available for appropriation.

However, upon review of the realignment of the PPAs from prior year’s unexpended balances, both Ordinance No. 363 and 365 declared the prior years’ unexpended DRRMF balances as “available for appropriation” to fund the newly identified PPAs instead of merely approving the revised or supplemental DRRM Investment Plan.

Providing “appropriation” for the newly identified COVID19-related PPAs using the unexpended balances of DRRMF from prior years may require that the utilization of the fund should be under the General Fund and supported with signed ObR in every disbursements. However, it should be emphasized that the unexpended balances of DRRMF from prior years had already accrued to the STF and the corresponding cash backup was retained in the STF bank account.

For SBudget No. 1 amounting to ₱21,146,851.38, although an appropriation was declared, the Municipality can still continue to utilize the fund in the STF and exclude the appropriations and obligated amounts pertaining to SBudget No. 1 in the SCBAA and the SAAOB since the related ordinance could not be considered a change in the Annual Budget. However, in the case of SBudget No. 2, there were two different sources of funds, to wit:

Table 8.2 Fund Sources and New PPAs in the SBudget No. 2

Particulars	AMOUNT
Savings from 2020 MDRRMF (GF)	₱20,224,439.21
Savings from SBudget No. 1 (STF)	13,195,751.38
Total Sources	₱33,420,190.59
PPAs funded:	
Food Supplies Expense	31,320,190.59
R&M- Service Vehicle	1,500,000.00
Fuel, Oil & Lubricant Expenses	600,000.00
	₱33,420,190.59

As can be gleaned from the above table, SBudget No. 2 did not specify as to which particular new PPAs were funded by the CY 2020 DRRMF amounting to ₱20,224,439.21 and which PPAs were funded by the STF totaling ₱13,195,751.38. The source and utilization of the funds for COVID19-related expenditures should have been well defined in the SBudget as well as in the supplemental LDRRMIPs or the SB could have a separate approval for SBudget for the ₱20,224,439.21 current DRRMF and revised/supplemental DRRMIP for those funded from STF.

Based on the registries maintained by MBO for PPAs with funds sourced from the SBudget Nos. 1 and 2, a total of ₱41,011,962.12 was obligated against the funds during CY 2020.

Table 8.3 Charges against funds covered by SBudget Nos. 1 and 2

JEV No.	Supplier	Paid by STF	Paid by GF
SBudget No. 1			
<i>Food Supplies Expenses</i>			
STF 04-0080	NFA	₱ 1,250,000.00	
STF 04-0109	NFA	1,150,000.00	
STF 04-0110	ZMJ Trading	4,763,600.00	
GF 04-1374 but paid by TF after	Garlan's Grill Bar & Resto	732,900.00	
<i>Other Supplies and Materials Expenses</i>			
STF 04-0108	ZMJ Trading	49,500.00	
SBudget No. 2			
<i>Food Supplies Expenses</i>			
TF 05-0152	ZMJ Trading	8,373,050.00	
TF 05-0160	Western Fortune Trading	4,258,526.00	
GF 04-1111	NFA		₱ 1,150,000.00
GF 06-2492	ZMJ Trading		11,388,100.00
GF 06-2387	Western Fortune Trading		6,146,758.00
<i>R&M- Service Vehicle</i>			
GF 08-4393	Western Fortune Trading		1,188,700.00
GF 12-7670	DPL Trading		310,022.00
<i>Fuel, Oil and Lubricant Expenses</i>			
Accounts Payable in December	M. Lim Service Station	250,806.12	
	Total Obligated Amount	20,828,382.12	20,183,580.00
	Savings re-appropriated per fund	21,146,851.38	20,224,439.21
	Remaining Balance	₱318,469.26	₱40,859.21

As shown in Table 8.3, a total amount of ₱20,828,382.12 and ₱20,183,580.00 was charged against the STF and GF, respectively. Two different bank accounts were used to pay for expenditures due to unclear funding covered by SBudget No. 2 such that the total appropriations for newly funded PPAs amounting to ₱33,420,190.59 were both fund sourced from the current (GF) and prior years' DRRMF (STF). The specific PPAs to be retained and monitored in the GF and in the STF were not properly defined in the SBudget, resulting in mixed-up charges in both funds. However, the Municipal Accountant made sure that the actual charges from both funds would not exceed the funding source or the savings re-appropriated per fund, as can be seen from the remaining balance in Table 10.3.

b. *Incomplete documentary requirements contrary to Section 4.1 of GPPB Circular No. 01-2020;*

On April 6, 2020, the Government Procurement Policy Board (GPPB) issued Circular No. 01-2020 prescribing the guidelines for emergency procurement under the *Bayanihan to Heal as One Act* which declared the existence of a national emergency from the COVID-19 disease. The Circular was formulated in order to expedite the procurement of highly needed supplies, materials, equipment, utilities, telecommunications, and other critical services at the most advantageous price to the government with the necessary safeguards for the prevention of abuses and corruption in the procurement process.

Item 4.1 thereof provides the documentary requirements needed in the conduct of emergency procurement. Based on the said Circular, the Procuring Entity (PE) shall require the submission from the bidder of several documents in printed copies or by electronic mail or facsimile, at any time before award of contract or after award but before payment.

Provided hereunder are the documentary requirements required by Item 4.1 of the said GPPB Circular based on the Approved Budget of the Contract (ABC) (for goods only):

Projects with ABC of ₱500,000.00 and Below	Projects with ABC Above ₱500,000.00
1. Mayor's or Business Permit	
A copy of the recently expired Mayor's or Business Permit and the Official Receipt as proof of application and payment for the renewal of the permit is allowed, <u>subject to submission of the Mayor's Permit after award of contract.</u>	
	2. Income Tax Returns (Annual Income Tax Return of the preceding tax year) OR Business Tax Returns (Value Added Tax or Percentage Tax Return covering the previous six months)
	3. Omnibus Sworn Statement
	The PE may accept a copy of an unnotarized OSS, subject to submission of the original notarized OSS after award of contract but before payment.

Review of the transaction documents pertaining to expenditures related to COVID-19 operation revealed that some vouchers for procurement of goods conducted under the emergency cases were not sufficiently supported with the above-mentioned requirements as shown below.

Lacking Documents: a) Mayor's Permit; b) Income/Business Tax Returns (ITR); c) Omnibus Sworn Statement (OSS);

Table 8.4 Disbursements with Lacking Documents

JEV	PAYEE	PARTICULARS	AMOUNT	Lacking Documents		
				a	b	c
With ABC of above ₱500,000						
20-04-1374	Garlan's Grill Bar and Restaurant	Meals and snacks for frontliners (30 days, 70 pax)	₱ 732,900.00	√	2018	x
With ABC of ₱500,000 and below						
20-04-1342	Mom Lin's Restaurant and Catering Services	Meals and snacks- emergency meeting of skeletal workforce	7,350.00	x	NA	NA
20-04-0108	ZMJ Commercial	Supplies of MDRRMO (rubbing alcohol, 70%, 50 gal	49,450.00	x	NA	NA
			₱ 789,700.00			

From the sampled DVs, two POs with contract amount below ₱500,000.00 were not supported with Mayor's or Business Permit. The OSS attached to JEV No. 20-04-1374 do not conform with the OSS format required in Appendix 1 of GPPB Circular No. 01-2020. Instead, the format used was for regular procurement.

In lieu of the requirement on posting of performance security, the OSS was required which obliges the supplier to perform and deliver all the obligations and undertakings, including warranty provisions under the contract covering the procurement. Therefore, it is imperative for the Management to ensure that the submitted OSS conforms with the format required in the said Circular to ensure that the supplier is answerable in case of defects or non-performance.

c. Unsubmitted disbursement vouchers under the Trust Fund amounting to ₱19,795,475.99

The Audit Team reviewed the transactions obligated in the registries maintained by the MBO for LDRRMF as well as the recorded disbursements in journals prepared by the Accounting Office. It was found that the following DVs were not yet submitted to the Audit Team:

Table 8.5 Unsubmitted DVs

DATE	JEV NO.	SUPPLIER	PARTICULARS	AMOUNT
05/27/20	03-0080	NFA	1000 sacks of rice	₱1,250,000.00
04/03/20	04-0109	NFA	1000 sacks of rice	1,150,000.00
04/06/20	04-0110	ZMJ Commercial	Assorted goods	4,763,599.99
05/08/20	05-0152	ZMJ Commercial	3563 sacks of rice	8,373,050.00
05/11/20	05-0160	Western Fortune Trading	Assorted goods	4,258,826.00
			TOTAL	₱19,795,475.99

Non-submission of the above transaction documents precluded the Audit Team from reviewing the validity and regularity of the supporting documents and compliance of the procurement with the GPPB Circular No. 1-2020 and other guidelines related to the COVID-19 operation.

d. Variance of 6,846 sacks of rice between MDRRMO reported quantity and per audit and absence of proof of receipt and distribution to intended beneficiaries

Based on the Food Supplies Distribution report submitted by the MDRRM Officer, a total of 13,625 sacks of rice (50 kilos per sack) were procured for distribution to intended beneficiaries. However, based on the review of the DVs, journals and registries, the Municipality procured a total of 20,471 sacks of rice during CY 2020, showing a variance of 6,846 sacks of rice against the reported quantity by the MDRRMO. Details are presented below.

Table 8.6 Unreported Number of Sacks Procured

JEV No.	NO. OF SACKS	FUND	UNREPORTED Number Of Sacks
GF-06-2492	4,846	SBudget No. 2, paid by GF	4,846
TF-05-0152	3,563	SBudget No. 2, paid by TF	
TF-04-0080	1,000	SBudget No. 1, paid by TF	1,000
TF-04-0109	1,000	SBudget No. 1, paid by TF	1,000
GF-04-1111	1,000	SBudget No. 2, paid by GF	
GF-04-1375	1,000	BGCM (Bayanihan Grant)	
GF-05-3790	1,000	BGCM	
GF-05-2972	2,000	BGCM	
GF-06-2403	5,062	BGCM	
	20,471		6,846

In our letter to the Municipal Mayor dated January 11, 2021, the Audit Team requested for a complete list of beneficiaries of relief goods with proof of receipt and distribution. However, as of this date, the distribution list was not yet provided to the Audit Team, hence there was no proof that rice and other welfare goods were actually distributed to all intended beneficiaries which is not in keeping with the promotion of transparency and accountability in government transactions.

We recommended that the:

- a. MDRRM Officer, upon recommendation of the MDRRM Council, i) facilitate the preparation of the revised/supplemental investment plan for newly identified PPAs to be funded by the reprogramming from special trust fund (STF) and from DRRMF in the general fund (GF); ii) ensure that the supplemental investment plan for PPAs funded by STF is approved by the sanggunian and the realignment/reprogramming funded by the current 5% and continuing appropriations of DRRMF in the GF is covered by a supplemental budget duly enacted by the sanggunian; and submit explanation on the variance of 6,846 sacks of rice between MDRRMO report and per audit. For proper monitoring and reporting purposes, the PPAs funded by**

STF should be identified separately from the PPAs funded by the current year 5% DRRMF in the GF; and.

- b. Municipal Accountant i) thru the BAC and other concerned offices, submit the lacking documents discussed in Table 8.4 as well as the rice and other welfare goods distribution list; ii) submit the DVs enumerated in Table 8.5; and iii) thoroughly review the disbursements, as part of the internal audit system of the Municipality to determine the completeness and propriety of supporting documents before certifying the DVs.**

The Management provided the following comments on the noted lapses in the utilization of DRRM Funds:

- On audit finding letter “a”- Sources of fund for SBudget No. 2 were both from Special Trust Fund and CY 2020 DRRMF under GF

With the onslaught of COVID-19 pandemic, the LGU was overwhelmed and forced to immediately respond by providing the necessary measures to contain the spread of the virus. In adherence to the fundamental principle of Section 305 of R.A. No. 7160 which states that: *(a) No money shall be paid out of the local treasury except in pursuance of an appropriations ordinance or law; Xxx and (e) Trust funds in the local treasury shall not be paid out except in fulfillment of the purpose for which the trust was created or the funds received;*, the Supplemental Budget Nos. 1 and 2 were approved and expended. Although, trust fund and general fund were pooled together to create a total fund, its purpose remains the same. However, the Management understands that for monitoring and reporting purposes, separate books should have been maintained.

- On audit finding letter “b”- Incomplete documentary requirements

The BAC acknowledges the observation made by the Audit Team regarding the Omnibus Sworn Statement (OSS) of Garlan’s Grill Bar and Restaurant, and from hereon, will be more prudent in its scrutiny of documents in compliance to new GPPB issuances.

Previous audit recommendations have prompted the BAC to ensure that basic documentary requirements as specified by R.A. No. 9184, its I.R.R. and applicable GPPB issuances are complied with. The Management stated that there is a high likelihood that the mayor’s permits of Mom Lin’s Restaurant and Catering Services and ZMJ Commercial got inadvertently detached from its vouchers. The latest Mayor’s Permits of the two suppliers were submitted to the Audit Team for review.

- On audit finding letter “c”- Unsubmitted DVs under TF

The Municipal Accountant informed the Audit Team that these vouchers were filed in one folder and were inadvertently separated from the other vouchers paid from

TF, hence was not immediately submitted to the Audit Team along with the transaction documents of CY 2020. On June 18, 2021, the Management already submitted these five DVs amounting to ₱19,795,475.99, which are still for review of the Audit Team.

- On audit finding letter “d”- Absence of proof of receipt and distribution to beneficiaries

On June 18, 2021, the Management submitted various proof of receipts during first to third wave of distribution of welfare goods to beneficiaries of Taytay, Palawan, however, these documents are still for further review of the Audit Team.

Utilization of the Bayanihan Grant to Cities and Municipalities

- 9. Various lapses were noted in the utilization of the Municipality’s Bayanihan Grant such as: (a) expenditures totaling ₱1,123,112.96 were not recorded in the special account in the general fund (SAGE); (b) seven DVs totalling ₱22,325,480.00 were not supported with supplier’s Income Tax Return for CY 2019 as required by Section 4.1 of GPPB Circular No. 01-2020; (c) incomplete details on the purchase orders for the procurement of welfare goods and equipment contrary to COA Circular No. 96-010; (d) non-submission of the monthly fund utilization and status of implementation of PPAs; and (e) posting of the updated Annual Procurement Plan (APP) and Notice of Award (NOA) using other name instead of the Municipality’s accounts in the GPPB Online Portal for Emergency Procurement under the Bayanihan Act.**

Due to the continuing rise of confirmed cases of COVID-19 and the serious threat to the health, safety and livelihood of the people, a State of National Emergency was declared over the entire country. Thereafter, the Senate and Congress enacted Republic Act (R.A.) No. 11469, also known as Bayanihan to Heal as One Act, effective March 24, 2020 granting the President the power to adopt various temporary emergency to respond to crisis brought about by the COVID-19 pandemic.

In relation to this, the DBM issued LBC No. 125 dated April 07, 2020 which provides the guidelines and procedures on the release and utilization of the Bayanihan Grant to Cities and Municipalities (BGCM). Each LGU was given BGCM equivalent to one-month FY 2020 Internal Revenue Allotment (IRA) which will be utilized for the duration of the State of Calamity.

Based on Annex A of LBC No. 125, an amount of ₱33,966,422.00 was allocated for the Municipality of Taytay, Palawan. The receipt of the grant on April 16, 2020 was recorded in JEV No. 2020-04-002868 under the special account created for BGCM.

Post-audit of transaction documents disclosed that an aggregate amount of ₱33,703,795.96 was charged against the BGCM or a utilization rate of 99.23% as of December 31, 2020. Details are provided in the following table.

Table 9.1 Utilization of BGCM for CY 2020

JEV No.	PAYEE	PARTICULARS	CHARGES PER REGISTRY
Food Supplies Expenses, Total Budget ₱23,813,920.00			
04-1375	NFA	1000 sacks of rice (50kls/sack)- WD2	₱ 1,150,000.00
05-3790		1000 sacks of rice (50kls/sack)- WD1	1,250,000.00
05-2972		2000 sacks of rice (50kls/sack)- WD1	2,500,000.00
06-2403	Futuristic Trading and Construction	5,062 sacks of rice (50kgs/sack)	12,148,800.00
06-3784	Western Fortune Trading	1250 cases of sardines (100pcs/case), 2084 cases of coffee 50g (24pcs/case), 750 sacks of sugar (50kgs/sack)	6,565,680.00
10-6123		560 packs of MNP powder (30s/packs) and 8000 packs of LNS Nutributter for children (20g/sachet)	199,440.00
		Sub-total	23,813,920.00
Drugs and Medicines, Total Budget ₱4,166,254.00			
06-3007	Princemark Drugmark distributor	Medicines	4,166,254.00
		Sub-total	4,166,254.00
Other Supplies Expense, Total Budget ₱806,135.00			
06-2630	New ZMJ Trading	72 units infrared Thermometer and 200 sets of PPE	345,100.00
06-3075	ZMJ Commercial	Assorted COVID-related Supplies	222,635.00
06-3076	New ZMJ Trading	3 units portable power sprayer and 10 sets of 100-watts solar lights for isolation facility	23,400.00
06-3240	MDIC Trading	10 units hospital beds, 30 sets of beddings, 60 pcs of dining tables, 100 pcs monobloc chairs, 15 pcs stand fan and 10 pcs of wall fan	75,000.00
09-5458	Princemark Drugmark	PPE, Medical Supplies	140,000.00
		Sub-total	806,135.00
Transportation Expenses of Medical and Frontliner Personnel, Total Budget ₱346,970.00			
05-3787	Jacqueline Llana	TEV- SAP Distribution	34,000.00
06-3792		TEV- SAP Distribution	23,500.00
06-3782	Imlyn Parapina	TEV- Social Pension payment distribution	4,150.00
06-3779	Romy Salvame	Reimbursement of Van Hire- PPC to Taytay (to service LSIs)	21,000.00
09-4954	Joseph Cuaton	Reimbursement of pumpboat hire- to deliver food assistance to quarantined LSIs and ROFWs, assist in monitoring bgy quarantine facilities and COVID IEC campaign	19,150.00
04-1178	Jonalyn Salmorin	TEV- SAP Form Distribution and Survey	6,000.00
04-1188	Marwin Rondain		10,400.00
04-1165			4,700.00
04-1142	Cesar Astoriano		7,400.00
04-1097	Leo Maghari	TEV- SAP Form Distribution and Survey	6,000.00
04-1121	Odelon Padasas		8,100.00
04-1340	Leo Maghari		3,000.00
04-1362	Gary Gutierrez		6,000.00
04-1360	Hernan Fenix		6,000.00
05-1725	Kem Gerald Cabebe		3,550.00
05-1659	Kathleen May Enopia		7,000.00
05-1656	Raffil Baylon		3,000.00
05-1654	Eunice Rapsing		1,500.00
05-1651	Lerson Lota		3,200.00
05-1636	Cherie Anne Rodriguez		5,250.00
05-1634	Jake Arrelano		4,200.00
05-1629	Jhosua Avelino		4,700.00
05-1736	Jose Dalingding		5,500.00
05-1748	Darren Loyd Abis		1,900.00
05-1749	Johamme Sheena Enriquez		5,150.00
05-2160	Kris Carissa Ferrer		14,250.00
05-1953	Roy Abian		2,000.00
05-2949	Joel Parapina		3,620.00

JEV No.	PAYEE	PARTICULARS	CHARGES PER REGISTRY
09-4758	Dante Lanoy	TEV- to PPC	4,800.00
09-5042	Arnold Acebedo II	TEV- Bgys	17,950.00
10-5265		TEV- to PPC	4,400.00
10-5391	Rochelle Cabebe	Van Hire- Transportation of LSI, APOR and ROF	70,000.00
10-5774		Van Hire	25,600.00
		Sub-total	346,970.00
Other MOOE, Total Budget ₱1,198,243.00			
06-3766	Garlan's Grill Bar and Restaurant	Meals and snacks during distribution and preparation of liquidation report of SAP, 4Ps and Social Pension (18 days)	426,478.00
06-3059	Pems Pension and Restaurant	Catering services- for volunteers and frontliners	556,150.00
		Sub-total	982,628.00
Water Supply System for Isolation Center, Total Budget ₱570,000.00			
07-3317	Carlos Cabillera and co.	Wages- Sitio Malapajo Water Supply System	19,200.00
07-3318	RoseLLeu Abrina and co.	Wages 87.55% SWA- MDRRM Water Supply System	47,450.00
11-6946	Jade Cabilleda and co.	Wages 23.49% SWA- Sitio Malapajo Water Supply System	11,660.00
08-4030	Carlos Cabilleda and co.	Labor	14,000.00
09-4540	RBD Hardware	Construction materials for the water supply system for isolation center, So. Malapajo and MDRRM Complex, So. Culanga	250,465.00
09-4540		Construction materials for the water supply system for isolation center, So. Malapajo and MDRRM Complex, So. Culanga	174,470.00
12-7967	M. Lim Service Station	Fuel (Accounts Payable in December)	9,942.96
		Sub-total	527,187.96
Power Supply System for Isolation Center, Total Budget ₱1,800,000.00			
08-4626	Eltra Electric Power Control System	2 units 35kva generator set and 1 unit 20kva generator set	1,645,980.00
06-3076	New ZMJ Trading	3 units portable power sprayer and 10 sets of 100-watts solar lights for isolation facility	151,540.00
		Sub-total	1,797,520.00
Medical Equipment, Total Budget ₱368,900.00			
06-2630	New ZMJ Trading	Thermal Scanner	368,900.00
		Sub-total	368,900.00
Furniture and Fixtures in the Isolation Center, Total Budget ₱480,000.00			
06-3240	MDIC Trading	Dining Table and Monobloc Chairs	230,000.00
06-3240	MDIC Trading	Beds	250,000.00
		Sub-total	480,000.00
Other PPE for Isolation Center, Total Budget ₱416,000.00			
08-4621	RBD Hardware	2 sets of Hand Washing Facility and 10 sets tents	294,750.00
06-3075	ZMJ Commercial	Stove and Utensils	49,661.00
06-3240	MDIC Trading	Electric Fan	69,870.00
		Sub-total	414,281.00
		GRAND TOTAL	₱33,703,795.96

Based on the foregoing, the Municipality has given importance in the utilization of its BGCM Fund for the immediate procurement of welfare goods, medical supplies and equipment and services. The actual expenditures incurred are within the budget provided for each PPA.

However, the following deficiencies were noted by the Audit Team, to wit:

a. Disbursements totaling ₱1,123,112.96 were not recorded in the special account in the general fund (SAGF)

Item 3.7 of DBM LBC No. 125 provides:

The utilization of the BGCM shall be subject to the usual local budgeting process pursuant to the pertinent provisions of the Local Government Code of 1991 (R.A. No. 7160).

For easy monitoring/tracking of the utilization of the allocation of each city and municipality, a **special account in the general fund (SAGF) for the BGCM shall be created through an ordinance by the local sanggunian** pursuant to Section 313 of RA No. 7160. The creation of an SAGF for the BGCM may also be done by the local sanggunian through inclusion in the pertinent appropriation ordinance authorizing a supplemental budget covering the BGCM. (Emphasis ours)

Item 3.7 of LBC No. 125 is anchored on Section 313 of R.A. No. 7160 or the Local Government Code of 1991, to wit:

Section 313. Special Accounts to be Maintained in the General Fund. - Local government units shall maintain special accounts in the general fund for the following:

- (c) Development projects funded from the share of the local government unit concerned in the internal revenue allotment and **such other special accounts which may be created by law or ordinance**. Receipts, transfers, and expenditures involving the foregoing special accounts shall be properly taken up thereunder. xxx (Emphasis supplied)

In compliance therewith, Appropriation Ordinance No. 367 was enacted by the local sanggunian to authorize Supplemental Budget No. 3 intended to support PPAs related to COVID-19 emergency operations. Section 3 thereof provides the following provision:

Xxx, a SAGF is hereby created as repository of the herein appropriated funds. Receipts, transfers and expenditures involving the foregoing special accounts shall be properly taken up thereunder.

Although there was no financial statement submitted to the Audit Team for the utilization of the BGCM, it was still verified from the eNGAS backup of the Municipality that the Municipal Accountant was able to maintain separate journals for the receipt and charges against the fund. However, the total expenditures recorded

under the special account for BGCM was only ₱32,580,683.00, which has a variance of ₱1,123,112.96 from the reported total utilized amount of ₱33,703,795.96.

Review of the registries maintained by the Municipal Budget Officer for the utilization of the BGCM, covered by SBudget No. 3, revealed that the following expenditures were recorded by the Accounting Office in the GF proper instead in the special account created for BGCM:

Table 9.2 Expenditures of the BGCM not recorded in the SAGF

JEV No.	PAYEE	PARTICULARS	AMOUNT
06-2630	New ZMJ Trading	Medical Supplies	₱345,100.00
09-5458	Princemark Drugmark	PPE, Medical Supplies	140,000.00
04-1178	Jonalyn Salmorin	Travelling Expenses- SAP Form Distribution and Survey	6,000.00
04-1188	Marwin Rondain		10,400.00
04-1165			4,700.00
04-1142	Cesar Astoriano		7,400.00
04-1097	Leo Maghari		6,000.00
04-1121	Odelon Padasas		8,100.00
04-1340	Leo Maghari		3,000.00
04-1362	Gary Gutierrez		6,000.00
04-1360	Hernan Fenix		6,000.00
05-1725	Kem Gerald Cabebe		3,550.00
05-1659	Kathleen May Enopia		7,000.00
05-1656	Raffil Baylon		3,000.00
05-1654	Eunice Rapsing		1,500.00
05-1651	Lerson Lota		3,200.00
05-1636	Cherie Anne Rodriguez		5,250.00
05-1634	Jake Arrelano		4,200.00
05-1629	Jhosua Avelino		4,700.00
05-1736	Jose Dalingding		5,500.00
05-1748	Darren Loyd Abis		1,900.00
05-1749	Johamme Sheena Enriquez		5,150.00
05-2160	Kris Carissa Ferrer		14,250.00
05-1953	Roy Abian		2,000.00
05-2949	Joel Parapina		3,620.00
09-4758	Dante Lanoy	TEV- to PPC	4,800.00
09-5042	Arnold Acebedo II	TEV- barangays	17,950.00
10-5265	Arnold Acebedo II	TEV- to PPC	4,400.00
10-5391	Rochelle Cabebe	Van Hire	70,000.00
10-5774	Rochelle Cabebe	Van Hire	25,600.00
08-4030	Carlos Cabilleda and co.	Labor	14,000.00
12-7967	M. Lim Service Station	Fuel	9,942.96
06-2630	New ZMJ Trading	Thermal Scanner	368,900.00
		TOTAL	₱1,123,112.96

The purpose of creating an SAGF for the BGCM received by the LGU was to facilitate the monitoring and tracking of its utilization as the list of assets acquired and the expenses incurred can be easily generated at any given time. However, the objective of providing accurate information regarding the assets and expenditures of the fund was not fully achieved due to incomplete BGCM disbursements recorded in the SAGF. The monthly report on fund utilization and status of implementation of

PPAs that would be generated from the general journals of the BGCM account would be incorrect/incomplete thus, would not present the true and correct BGCM transactions during the year.

b. Failure to support seven DVs with Income Tax Returns of the preceding tax year as required by Section 4.1 of GPPB Circular No. 01-2020 - ₱22,325,480.00

With the need for urgent procurement of goods and services to contain the transmission of COVID-19 virus, the Municipality, thru Bids and Awards Committee (BAC) Resolution No. 6 dated March 23, 2020, decided to use the Negotiated Procurement under Emergency Cases as the mode of procurement of goods for the BGCM.

Contrary to Item 4.1 of the GPPB Circular No. 01-2020, audit of disbursements disclosed that DVs covering payment for various emergency procurements totaling ₱22,325,480.00 were not sufficiently supported with the above-mentioned requirements as shown below.

Lacking Documents:

a) Mayor's Permit; **b)** Income/Business Tax Returns (ITR); **c)** Omnibus Sworn Statement (OSS);

Table 9.3 Disbursements with Lacking Documents

JEV No.	PAYEE	PARTICULARS	GROSS AMOUNT	Lacking Documents		
				a	b	c
With ABC of above ₱500,000						
06-2403	Futuristic Trading and Construction	5,062 sacks of rice (50kgs/sack)	₱12,148,800.00	√	2018	√
06-3784	Western Fortune Trading	1250 cases of sardines, 2084 cases of coffee and 750 sacks of sugar	6,565,680.00	√	2018	√
08-4626	Eltra Electric Power Control System	2 units 35kva generator set and 1 unit 20kva generator set	1,645,980.00	√	2018	√
06-2630	New ZMJ Trading	72 units infrared Thermometer and 200 sets of PPE	714,000.00	√	2018	√
06-3240	MDIC Trading	10 units hospital beds, 30 sets of beddings, 60 pcs of dining tables, 100 pcs monobloc chairs, 15 pcs stand fan and 10 pcs of wall fan	624,870.00	√	2018	√
06-3059	Pems Pension and Restaurant	Catering services- for volunteers and frontliners	556,150.00	√	2018	√
With ABC of ₱500,000 and below						
10-5391	Rochelle Cabebe	Van Hire- Transportation of LSI, APOR and ROF from PPC to Taytay	70,000.00	x	NA	NA
		TOTAL	₱22,325,480.00			

All the above DVs were supported by purchase request (PR), price quotation, Notice of Award (NOA), purchase order (PO), inspection and acceptance report (IAR),

official receipt and requisition issue slip. However, the payment for the van rental used for transportation of the Locally Stranded Individuals (LSIs), Authorized Persons Outside Residence (APORs) and Returning Overseas Filipinos (ROFs) amounting to ₱70,000.00 was not supported with a copy of the Mayor's or Business Permit of the payee.

It was also noted in audit that the ITR attached to DVs pertained to CY 2018 and not for CY 2019 which is the preceding tax year of CY 2020 as required by the GPPB Circular, thus the Municipality failed to provide proof that the contracts were awarded to eligible suppliers who already paid their tax obligations for CY 2019.

c. Incomplete details on the POs for the procurement of welfare goods and equipment, contrary to COA Circular No. 96-010

Further review of the DVs revealed that some POs lacked the complete detailed specification of the goods/items procured. Complete details in the PO is important to commit the supplier to deliver the specific goods/items they offered during negotiation and to ensure that the LGU will receive goods with quality equivalent to the agreed contract price.

POs without complete details and product specification is not compliant with the requirements of COA Circular No. 96-010 dated August 15, 1996 and hinders validation of the reasonableness of the prices of the goods paid to the suppliers.

d. Non-submission and non-posting of the monthly fund utilization and status of implementation of PPAs

Item 4 of DBM LBC No. 125 requires the BGCM beneficiaries to:

- 4.2 Prepare a monthly report on fund utilization and status of implementation of PPAs using the prescribed format (Annex C);
- 4.3 Post the accumulated reports on the LGU's website and in at least three (3) conspicuous public places in the locality at the end of every month; and
- 4.4 The local chief executive (LCE) of the implementing city/municipality shall send a written notice when said reports have been posted on its website to the DBM, House of Representatives, Senate of the Philippines, House Committee on Appropriations, Senate Committee on Finance, and other offices where the submission of reports is required under existing laws, rules, and regulations.

In our letter to the Municipal Mayor dated January 11, 2021, the Audit Team requested for copies of the Monthly Reports on Fund Utilization and Status of Implementation of PPAs of the BGCM pursuant to Section 4.2 of DBM LBC No. 125, yet no report was submitted as of this date.

The Audit Team visited the LGU's website and noted that only the December 2020 report was uploaded, hence shows that the Municipality was not fully compliant with the reporting requirement of LBC No. 125, which is preparation and posting of the report for BGCM on a monthly basis.

e. Posting of the updated Annual Procurement Plan (APP) and Notice of Award (NOA) relative to the procurement activities undertaken through Negotiated Procurement using other name instead of the Municipality's account in the GPPB Online Portal for Emergency Procurement under the Bayanihan Act

An online GPPB portal was established to promote accountability and transparency in the conduct of Emergency Procurement under the *Bayanihan Act*. For information purposes, Item 9 of the GPPB Circular No. 01-2020 requires the PE to post in the GPPB online portal the updated APP, NOA and other information relative to the procurement projects undertaken pursuant to the same Circular. The online portal for emergency procurement shall be the source of data or information which shall be used by the GPPB and its Technical Support Office to comply with the reportorial requirements under the *Bayanihan Act*.

During post-audit, it was noted that the printed screenshot of the posting of NOA was attached to the DV as proof of compliance by the Municipality to the requirement of Item 9 of the said Circular. But based on the Audit Team's walkthrough of the GPPB Online Portal for Emergency Procurement at <https://gppbgovph.com/awardedcontracts.php> and <https://gppbgovph.com/app.php>, there was no awarded contract posted under the name of the Municipality of Taytay.

Using the downloaded excel file of the list of awarded contracts from the GPPB online portal, the Audit Team searched therein using a particular name of contract awarded by LGU Taytay as reference and it was found out that the NOAs, contracts and APP of LGU Taytay was posted under the name of "Jorome".

Although the LGU complied on the posting requirement, transparency in the conduct of Emergency Procurement under the *Bayanihan Act* was not fully promoted because the public cannot immediately verify results of the procurement of the LGU since the uploaded NOAs, POs and APP was tagged to a private account instead of the name of the procuring entity, which is the Municipality of Taytay. This could affect the completeness and correctness of data or information which shall be used by the GPPB and its Technical Support Office to comply with the reportorial requirements under the *Bayanihan Act*.

We recommended that the:

- a. Municipal Accountant i) ensure that all receipts and utilization of funds under a special account are properly recorded in the SAGF; ii) thru the BAC and other concerned offices, submit the lacking documents discussed in Table 9.3;**

and iii) thoroughly review the disbursements, as part of the internal audit system of the Municipality to determine completeness and propriety of supporting documents before certifying the DVs;

- b. **Municipal Mayor (i) require the Local Finance Committee to prepare the monthly report on fund utilization and status of implementation of PPAs using the prescribed format (Annex C) pursuant to Item 4 of DBM LBC No. 125; and (ii) thru the BAC Secretariat, ensure that the complete and detailed item description is included in the Purchase Order, in accordance with the provisions of COA Circular No. 96-010; and**
- c. **BAC, i) thru the BAC Secretariat, create an account in the GPPB online portal using the name of the Municipality of Taytay as “Procuring Entity” so that the uploaded NOA, POs, APP and other information would be properly reported under the name of the Municipality of Taytay; and ii) continue to comply with the posting requirements of GPPB Circular 2020-001 for information purposes to promote transparency and accountability in the government transactions.**

The Management provided the following comments on the noted lapses in the utilization of BGCM:

- On audit finding letter “a”- Vouchers totaling ₱1,123,112.96 were not recorded in the SAGF

The LCE directed the Municipal Accountant to correct the error committed on the posting of transactions totaling ₱1,123,112.96.

- On audit finding letter “b”- Absence of CY 2019 ITR

Under the Tax Code, the mandatory deadline for filing and payment of the previous year’s Income Tax Returns (ITRs) is every April 15. However, due to the extension of community quarantine restrictions in 2020, the filing and payment deadline of 2019 Annual ITRs was extended by the BIR, through Revenue Regulation No. 11-2020, to June 14, 2020 including the Audited Financial Statements, which was extended to June 30, 2020. In view of the urgent necessity of the procurement covered, at the time of negotiations until the award of contracts, the available ITR of suppliers, which is of the immediate proceeding year (2018), were considered as valid for procurement purposes and therefore the said suppliers were considered by the BAC as eligible.

The Management submitted to the Audit Team the copies of CY 2019 ITRs of the six suppliers mentioned in this finding.

- On audit finding letter “c”- Incomplete details on PO

The HOPE took note of the observation made by the Audit Team regarding the POs and will discuss the matter in the next BAC meeting to ensure that the complete and detailed item descriptions are included in the POs in accordance to the “basic data which should invariably appear in the P.O.” as provided for in COA Circular No. 96-010.

- On audit finding letter “d”- Posting on the GPPB Online Portal

To avoid any confusion in terms of compliance of the Procuring Entity (PE) to GPPB Circular No. 01-2020, Management will instruct the BAC to coordinate with GPPB Technical Support Office and to request for assistance in fixing the municipality’s registered account in the GPPB Online Portal. Despite entering the “Municipality of Taytay” under the field of “Name of procuring entity”, the user name of the BAC Secretariat, “Jorome”, was instead reflected in the system as the PE.

Management will likewise adhere to the audit recommendation on continued compliance to posting requirements, particularly mandatory posting on the GPPB Online Portal of procurement projects undertaken by Emergency Procurement taking into consideration the extension of the Bayanihan to Recover as One Act until June 30, 2021 and applicable GPPB issuances.

Implementation of Government Programs, Projects and Activities

- 10. Deficiencies were noted in the implementation of infrastructure projects funded by the 20% DF, Local Government Support Fund (LGSF), Gender and Development (GAD) Fund, DRRM Fund and General Fund proper such as: (a) implementation of 152 projects were not reported by the Municipal Engineer contrary to COA Circular No. 2013-004 dated January 30, 2013; (b) 121 projects with project costs totaling ₱109,869,138.77 remained unimplemented while 56 projects were still on-going as of December 31, 2020; (c) lacking documents required for the technical evaluation and inspection of infrastructure projects as well as absence of reliable CIP subsidiary ledgers for projects implemented by “administration”, hence the total costs incurred to date could not be validated; (d) unreliable yearend balances of CIP accounts totaling ₱201,695,257.73 due to absence of subsidiary schedules; and (e) advances and progress billings paid to the contractor of Construction of Evacuation Center totaling ₱32,170,253.03 were directly debited to Due to National Government Agencies (NGAs) account, thereby understating the CIP and Advances to Contractors account as of yearend.**

The following deficiencies were noted in the audit of the implementation of infrastructure project during the year 2020:

a. List of projects reported by the Municipal Engineer was incomplete

In line with the State's policy of full disclosure of all transactions involving public interest and recognizing the right of the people to information on matters of public concern COA Circular No. 2013-004 dated January 30, 2013 requires that:

- 2.1 At the beginning of the year, all government agencies shall provide their respective assigned Supervising Auditors (SAs) and Audit Team Leaders (ATLs) with a list of all on-going government projects/programs/activities ("PPA") and those that are to be implemented during the year. The list shall include the project name; implementing unit, office or division if it is not the agency as a whole; brief description of the PPA; contractor or supplier, if any; mode of procurement; funding source; cost or approved budget; project duration including start and completion date; and location. Other information on the PPA may be requested by the SA or ATL anytime for audit purposes.*
- 3.1 The Head of Agency shall inform its SA and ATL within ten (10) days after the award of the infrastructure project or before the start of the program/activity that the appropriate project signboards and/or public notices are already posted, and the SA and ATL shall validate the same.*
- 3.2 Based on the data sourced from the monthly monitoring report prepared by the agency and verified by the Technical Audit Specialist of this Commission, the Project Status (in Annex "A") should be maintained as current as possible and updated, xxx.*

Contrary to the above-cited provisions, the Municipal Engineer failed to provide at the beginning of the year the required list of all on-going municipal infrastructure projects and those that are to be implemented during the year 2020. There was also no "quarterly" report submitted on the status of implementation of the LGU's projects during year 2020, which precluded the Audit Team from conducting timely verification of the project implementation.

It was only on February 15, 2021 that the Municipal Engineer submitted the consolidated status report on the implementation of infrastructure projects funded by the CYs 2018-2020 20% DF. By this time, the Municipal Engineer was able to submit also the list of projects to be implemented by the Municipality for CY 2021.

To review the completeness of the status report of projects submitted by the Municipal Engineering Office (MEO), the Audit Team checked the annual and supplemental budgets, CY 2020 Statement of Appropriations, Allotments, Obligations and Balances (SAAOB) as well as the registries submitted by the Municipal Budget Officer (MBO) to account for projects with obligated expenditures (ongoing projects)

and projects with appropriations that remained unutilized/unobligated (not yet implemented/started) as of December 31, 2020. It was noted that 152 projects (marked as NR or “not reported” in Table 10.1) were not included in the report, thus the status of implementation of these projects could not be verified.

Table 10.1 List of Infrastructure Projects

FUND	PROJECTS	APPROVED BUDGET	
COMPLETED PROJECTS			
CY 2020- 20%DF, DRRMF and LGSF-AM	Construction of Evacuation Center Phase II- Bgy. Poblacion, Taytay	₱26,661,155.33	C
CY 2020- 20%DF and LGSF-AM	Construction of Evacuation Center Phase I- Bgy. Poblacion, Taytay	14,790,965.07	C
CY 2020- 20%DF	Cementing of Road for Bgy. Calawag	1,000,000.00	
CY 2020- 20%DF	Completion of Regional Trial Court-Taytay Building, Bgy. Poblacion	500,000.00	
CY 2020- 20%DF	Completion of Bgy. Pancol Health Center	400,000.00	
CY 2020- 20%DF	Completion of Sitio Delmar MPH, Bgy. Calawag	450,000.00	
CY 2020- 20%DF	Construction of Two-Rooms MPH, Bgy. Liminangcong	2,300,000.00	C
CY 2019- LGSF	Const. of Local Access Road, So. Danao, Bgy. Poblacion	6,155,000.00	C
CY 2019, 20%DF	Alacalian- Construction of MPH (Sitio Pinaggala)	2,300,000.00	C
CY 2019, 20%DF	Banbanan- Construction of MPH	2,300,000.00	C
CY 2019, 20%DF	Busybees- Construction of MPH	2,300,000.00	C
CY 2019, 20%DF	Depla- Construction of MPH	2,000,000.00	C
CY 2019, 20%DF	Pamantolon- Construction of MPH	2,000,000.00	
CY 2019, 20%DF	Poblacion- Construction of MPH (Sitio Nalbot)	2,000,000.00	C
CY 2019, 20%DF	Poblacion- Construction of MPH (Sitio Arado)	2,300,000.00	C
CY 2019, 20%DF	Pularaquen- Completion of MPH (Cum Evac. Center)	1,000,000.00	C
CY 2019, 20%DF	Pularaquen- Construction of MPH (Senior High School)	2,300,000.00	
CY 2019, 20%DF	San Jose- Construction of MPH	1,400,000.00	C
CY 2019, 20%DF	Silanga- Construction of MPH (Elem. School)	2,300,000.00	C
CY 2019, 20%DF	Pularaquen- Construction of MPH	1,100,000.00	C
CY 2019, 20%DF	Talog- Construction of MPH (OSCA Center)	1,100,000.00	C
CY 2019, 20%DF	Biton- Construction of MPH (OSCA Center)	1,100,000.00	C
CY 2019, 20%DF	Abongan- Concreting of Sitio Crossing Multi-purpose Pavement	500,000.00	
CY 2019, 20%DF	Bantulan- Construction of MPP Sitio Sader	500,000.00	
CY 2019, 20%DF	Paglaum- Construction of Farm to Market Road	500,000.00	
CY 2019, 20%DF	Pancol- Construction/Concreting of Road/FMR	800,000.00	
CY 2019, 20%DF	Sandoval- Construction of Farm to Market Road	800,000.00	
CY 2019, 20%DF	Concreting of Road- Sto. Domingo Street Near DBP Building, Poblacion	650,000.00	
CY 2019, 20%DF	Concreting of Road- Ali Street Near National Highway Intersection, Poblacion	130,000.00	
CY 2019, 20%DF	Concreting of Road- Magsaysay Street Near Bgy. Hall Intersection, Poblacion	340,000.00	
CY 2019, 20%DF	Biton- Construction of Concrete Bridge (Biton Causeway)	600,000.00	
CY 2019, 20%DF	Calawag- Const. of MPH (Phase I)	500,000.00	
CY 2019, 20%DF	Completion of MPH, Bgy. Pangpang	150,000.00	
CY 2018, 20%DF	Completion of MPB- Bgy. Sandoval	1,500,000.00	
CY 2018, 20%DF	Completion of MPB- Maytegued	1,000,000.00	
CY 2018, 20%DF	Construction of MPB- Pularaquen (Cum Evac. Center)	1,600,000.00	
CY 2018, 20%DF	Construction of MPH- Paglaum per Ordinance No. 351-19 (SC. Hall)	900,000.00	
CY 2018, 20%DF	Construction of MPH- Debangon per Ordinance No. 351-19 (SC. Hall)	900,000.00	
CY 2018, 20%DF	Establishment and Const. of Sanitary Landfill Facility (SLF)	2,000,000.00	
CY 2018, 20%DF	Const. of Concrete Box Culvert and cementing of roads, Bgy. Poblacion	3,500,000.00	
CY 2018, 20%DF	Construction of Drainage Canal, Purok Masagana, Liminangcong	600,000.00	
CY 2018, 20%DF	Construction of Concrete Bridge (Causeway, Biton)	583,000.00	
	Total reported completed projects in CY 2020	95,810,120.40	
ON-GOING PROJECTS			
CY 2020- 20%DF	Concreting of Farm-to-Market Road from Bgy. Proper to Crossing Malinao, Bgy. Libertad	3,000,000.00	

FUND	PROJECTS	APPROVED BUDGET	
CY 2019, 20%DF	Maytegued- Concreting of Farm to Market Road	800,000.00	
CY 2018, 20%DF	Construction of Access Road to CLR Airport	4,145,830.00	
CY 2018, 20%DF	Construction of FMR Arado Faith Adventist Academy, Poblacion	3,808,740.00	
CY 2018, 20%DF	Construction of FMR, Libertad per Ordinance No. 329-19	4,045,430.00	
CY 2020- 20%DF	Construction of Roads, Bgy. Tumbod	500,000.00	
CY 2019, 20%DF	Construction of FMR Sitio Quilala to Sitio Tabuyo, Poblacion	8,311,137.80	
CY 2020- 20%DF	Concreting of Barangay Roads, Bgy. Calawag (Ordinance No. 393)	800,000.00	NR
CY 2020- GAD	Rehabilitation of DCC, So. Ipil, Bgy. Bato	507,000.00	NR
CY 2020- GAD	Rehabilitation of DCC, Bgy. Paglaum	633,000.00	NR
CY 2020- GAD	Rehabilitation of DCC, Bgy. Old Guinlo	260,000.00	NR
CY 2020- BGCM	Water Supply System for Isolation Center (BGCM)	570,000.00	NR
CY 2020- BGCM	Power Supply System for Isolation Center (BGCM)	1,800,000.00	NR
CY 2020- LGSF FY 2019	Rehabilitation, Repair and Improvement of Slaughterhouse	2,000,000.00	NR
CY 2019, 20%DF	Liminangcong- Const. of 2-Barrel Box Culvert	800,000.00	NR
CY 2019, 20%DF	Construction of Access Road to Alacalian National High School	465,000.00	NR
CY 2019, GF	Rehabilitation of Highway-Junction-Libertad Road	1,400,000.00	NR
CY 2019, GF	Rehabilitation of Bgy. Bato Roads	1,500,000.00	NR
CY 2019, GF	Bgy. Poblacion, Street Lighting Program	200,000.00	NR
CY 2018, 20%DF	Construction of DCC- Sitio Malinao, Libertad	700,000.00	NR
CY 2018, 20%DF	Const. of MPB covered court/Evacuation Center (Phase 2)	1,080,000.00	NR
CY 2018, 20%DF	BDAF- Old Guinlo MPH per Ordinance No. 352-19	200,000.00	NR
CY 2018, 20%DF	BDAF- Pularaquen per Ordinance No. 352-19	200,000.00	NR
CY 2018, 20%DF	Rehabilitation of MPB, Bgy. Alacalian	719,994.00	NR
CY 2018, 20%DF	Proposed 2-Storey MPB, Bgy. Pamantolon, Sandoval, Calawag and Pularaquen	2,500,000.00	NR
CY 2017, 20%DF	BDAF- Old Guinlo MPH per Ordinance No. 352-19	200,000.00	NR
CY 2017, 20%DF	BDAF- Pularaquen per Ordinance No. 352-19	200,000.00	NR
CY 2017, 20%DF	Construction of Talog DCC	218,000.00	NR
CY 2016, 20%DF	Riprapping/Backfilling of Liminangcong Public Market	1,000,000.00	NR
CY 2015	Construction of FMR, Bgy. Busy Bees to Water Source	8,996,328.00	NR
CY 2013, 20%DF	Establishment of Stock Room	200,000.00	NR
CY 2007-2012, 20%DF	Improvement of Public Market (Electrification/Perimeter Fence and Facilities)	387,650.00	NR
TMWWSDP	Alacalian River Water System	2,997,914.70	NR
TMWWSDP	Banbanan Water Fall System	2,966,595.01	NR
TMWWSDP	Baras/Pangpang Deepwell Water System	4,501,687.54	NR
TMWWSDP	Batas Deepwell Water System	4,408,625.85	NR
TMWWSDP	Biliran Fall Water System (Calawag)	3,219,841.07	NR
TMWWSDP	Canique Water Fall System	3,385,268.25	NR
TMWWSDP	Casian Deepwell Water System	8,778,213.30	NR
TMWWSDP	Debanan Deepwell Water System	3,763,338.25	NR
TMWWSDP	Depla Deepwell Water System	3,907,503.02	NR
TMWWSDP	East Danaolake Water System	5,097,502.85	NR
TMWWSDP	Ilotan River Water System (Pancol)	3,228,025.74	NR
TMWWSDP	Liminangcong Deepwell Water System	11,200,591.13	NR
TMWWSDP	Malinao River Water System (Busy Bees)	2,209,356.00	NR
TMWWSDP	Maytegued River Water System	4,730,713.20	NR
TMWWSDP	Minapla Deepwell Water System	3,772,314.05	NR
TMWWSDP	New and Old Guinlo Deepwell Water System	4,512,658.18	NR
TMWWSDP	Paly Deepwell Water System	7,496,153.38	NR
TMWWSDP	Silanga Deepwell Water	3,953,729.49	NR
TMWWSDP	San Jose Water System	2,660,799.92	NR
TMWWSDP	Talog Deepwell Water System	9,837,190.04	NR
TMWWSDP	Timburan Water System	3,609,578.34	NR
TMWWSDP	Toytotin Water System (Cataban)	1,915,727.42	NR
TMWWSDP	West Danao Lake Water System	10,554,379.43	NR
TMWWSDP	Municipal Wide Water System Development Project (Agency to Agency)	32,428,686.32	NR
	Total on-going projects	197,284,502.28	

FUND	PROJECTS	APPROVED BUDGET	
UNIMPLEMENTED PROJECTS			
CY 2019, 20%DF	Tumbod- Construction of MPH Phase I	1,600,000.00	
CY 2020- 20%DF	Construction of Two (2) Storey Evacuation Center, Bgy. Biton	3,000,000.00	
CY 2020- 20%DF	Concreting of Road from Purok 1 to 4, Bgy. Debangon	3,000,000.00	
CY 2020- 20%DF	Rehabilitation of Creek, Bgy. Liminangcong	3,000,000.00	
CY 2020- 20%DF	Construction of Evacuation Center, Bgy. Maytegued	1,500,000.00	
CY 2020- 20%DF	Renovation of Evacuation Center, Bgy. Pamantolon	500,000.00	
CY 2020- 20%DF	Construction of Drainage Canal, Bgy. Pamantolon	1,000,000.00	
CY 2020- 20%DF	Construction of Two (2) Storey Evacuation Center, Bgy. Pangpang	3,000,000.00	
CY 2020- 20%DF	Construction of Boat Landing Mini-Wharf Phase II, Bgy. Sandoval	3,000,000.00	
CY 2020- 20%DF	Construction of Boat Landing, Bgy. Tumbod	2,000,000.00	
CY 2020- 20%DF	Local Government Unit Counterpart to PRDP	15,000,000.00	
CY 2020- 20%DF	Completion of MPH, Bgy. Tumbod	1,500,000.00	
CY 2020- 20%DF	Completion of Municipal Agriculture Training Center	820,000.00	
CY 2020- 20%DF	Road Development Program	3,448,093.60	
CY 2020- 20%DF	Concreting of Barangay Road, Bgy. San Jose	500,000.00	
CY 2020- 20%DF	Health Facility Enhancement Program- Construction of Maternal Home	3,000,000.00	
CY 2019, 20%DF	Casian- Construction/Concreting of MPP- Proper	800,000.00	
CY 2019, 20%DF	Talog- Construction of MPP- Sitio Magsasaka	800,000.00	
CY 2020- 20%DF	Construction of Tourist Information Center	4,092,554.00	NR
CY 2020- 20%DF	Rehab of Arado II Bridge, Bgy. Poblacion	300,000.00	NR
CY 2020- 20%DF	Completion of Health Center, Bgy. Poblacion	300,000.00	NR
CY 2020- 20%DF	Construction of Farm to Market Road (Sitio Binuan to Ilaya Binuan Falls)	600,000.00	NR
CY 2020- 20%DF	Construction of Multi-purpose Pavement, Bgy. Talog	400,000.00	NR
CY 2020- 20%DF	Construction of Barangay Roads, Bgy. Silanga	600,000.00	NR
CY 2020- 20%DF	Construction of Barangay Roads, Bgy. Tumbod	1,000,000.00	NR
CY 2020- 20%DF	Construction of MPB, Bgy. Debangon	3,000,000.00	NR
CY 2020- 20%DF	Completion of New Guinlo MPB (Barangay Hall)	340,000.00	NR
CY 2020- GAD	Construction of Lactation Station- Nutrition Program	800,000.00	NR
CY 2020- GF	Renovation of Public Market	3,346,397.70	NR
CY 2019, 20%DF	Batas- Construction of MPH	2,300,000.00	NR
CY 2019, 20%DF	Bato- Construction of MPH	500,000.00	NR
CY 2019, 20%DF	Libertad- Construction of MPH	1,400,000.00	NR
CY 2019, 20%DF	New Guinlo- Construction of Sitio Minara MPH	750,000.00	NR
CY 2019, 20%DF	Minapla- Concreting of MPP within Barangay Plaza	500,000.00	NR
CY 2019, 20%DF	Banbanan- Construction of Small Water Impounding (Sitio Calapa)	500,000.00	NR
CY 2018, 20%DF	Construction of DCC- Sitio Calabucay, Bato	700,000.00	NR
CY 2018, 20%DF	Construction of MPB- Sitio Luyo, Casian	500,000.00	NR
CY 2018, 20%DF	Construction of DCC- Sitio Bulalo, San Jose	700,000.00	NR
CY 2018, 20%DF	Construction of Senior Citizen's Hall- Casian	300,000.00	NR
CY 2018, 20%DF	Construction of MPB within Poblacion Area	2,985,987.60	NR
CY 2018, 20%DF	BDAF- Abongan	200,000.00	NR
CY 2018, 20%DF	BDAF- Bantulan MPH per Ordinance No. 352-19	200,000.00	NR
CY 2018, 20%DF	BDAF- Batas	200,000.00	NR
CY 2018, 20%DF	BDAF- Bato Community Learning Center per Ordinance No. 352-19	200,000.00	NR
CY 2018, 20%DF	BDAF- Biton	200,000.00	NR
CY 2018, 20%DF	BDAF- Busybees	200,000.00	NR
CY 2018, 20%DF	BDAF- Casian MPH per Ordinance No. 352-19	200,000.00	NR
CY 2018, 20%DF	BDAF- Debangon	200,000.00	NR
CY 2018, 20%DF	BDAF- Liminangcong	200,000.00	NR
CY 2018, 20%DF	BDAF- Maytegued MPH per Ordinance No. 352-19	200,000.00	NR
CY 2018, 20%DF	BDAF- Minapla	200,000.00	NR
CY 2018, 20%DF	BDAF- Paglaum	200,000.00	NR
CY 2018, 20%DF	BDAF- Paly	200,000.00	NR
CY 2018, 20%DF	BDAF- Pamantolon MPH per Ordinance No. 352-19	200,000.00	NR
CY 2018, 20%DF	BDAF- Pancol	200,000.00	NR

FUND	PROJECTS	APPROVED BUDGET	
CY 2018, 20%DF	BDAF- Pangpang	200,000.00	NR
CY 2018, 20%DF	BDAF- Sandoval	200,000.00	NR
CY 2018, 20%DF	BDAF- San Jose	200,000.00	NR
CY 2018, 20%DF	Construction of Nutrition Center- Depla	500,000.00	NR
CY 2018, 20%DF	Construction of Barangay Stage- Banbanan	600,000.00	NR
CY 2018, 20%DF	BDAF- Alacalian Road Gravelling per Ordinance No. 352-19	200,000.00	NR
CY 2018, 20%DF	Tourism Development Program	3,500,000.00	NR
CY 2018, 20%DF	Road Link to Success 2018	1,000,000.00	NR
CY 2017, 20%DF	BDAF- Batas (Fencing/Pathway/Backfilling of Barangay Hall Compound)	200,000.00	NR
CY 2017, 20%DF	Fencing of Bantulan Site Extension	100,000.00	NR
CY 2017, 20%DF	Rotonda Improvement (Proper Bantulan)	200,000.00	NR
CY 2017, 20%DF	Fencing of Cataban Plaza	100,000.00	NR
CY 2017, 20%DF	BDAF- Maytegued MPH per Ordinance No. 352-19	200,000.00	NR
CY 2017, 20%DF	Municipal Anti-drug Abuse Program 2017	1,000,000.00	NR
CY 2017, 20%DF	Construction of Pangpang DCC	257,550.00	NR
CY 2017, 20%DF	Construction of Tumbod DCC	549,000.00	NR
CY 2017, 20%DF	BDAF- Casian MPH per Ordinance No. 352-19	200,000.00	NR
CY 2017, 20%DF	BDAF- Debangon Counterpart to KALAH! CIDDs Evacuation Center	200,000.00	NR
CY 2017, 20%DF	Construction of Paly MPB (1 Classroom Highschool Building)	554,000.00	NR
CY 2017, 20%DF	Completion of San Jose Barangay Stage	100,000.00	NR
CY 2017, 20%DF	Completion of Paly Barangay Stage	100,000.00	NR
CY 2017, 20%DF	Construction of Depla School Stage	300,850.00	NR
CY 2017, 20%DF	Construction of Grill Fence	100,000.00	NR
CY 2017, 20%DF	Rabies Control Program	214,716.07	NR
CY 2017, 20%DF	Construction of Casian MPP	400,000.00	NR
CY 2017, 20%DF	Rehabilitation of Roads- So. Paulengan, Caruroy, Calabucay, Calumpang, Amoguez, Bgy. Calawag per Ordinance No. 329-19 (Closed 2019)	1,268,533.18	NR
CY 2017, 20%DF	Rehabilitation of Roads- So. Igang, PSU Road, San Lorenzo, Senior High School Road, Purongyawan, Langayan, Malaipit, Nalbot, Montevista, Boulevard, Bgy. Poblacion per Ordinance No. 329-19	251,749.49	NR
CY 2017, 20%DF	Rehabilitation of Roads of Pamantolon, So. Ibanglan, Timburan, So. Angalan, Bgy. Pularaquen per Ordinance No. 329-19	632,970.65	NR
CY 2017, 20%DF	Rehabilitation of Roads of Bgy. Bantulan per Ordinance No. 329-19	328,776.88	NR
CY 2017, 20%DF	BDAF- Minapla Drainage Canal	200,000.00	NR
CY 2017, 20%DF	Construction of San Lorenzo Drainage Canal	235,727.40	NR
CY 2017, 20%DF	Water Development Program 2017	1,571,305.00	NR
CY 2017, 20%DF	BDAF- San Jose Electrification	200,000.00	NR
CY 2017, 20%DF	Cementing of Causeway (Biton)	300,000.00	NR
CY 2017, 20%DF	Binhian ng Bayan	1,321,150.00	NR
CY 2017, 20%DF	Road Link to Success	1,000,000.00	NR
CY 2017, 20%DF	Tourism Development Program	2,500,000.00	NR
CY 2017, 20%DF	BDAF- Abongan	200,000.00	NR
CY 2017, 20%DF	BDAF- Bantulan	200,000.00	NR
CY 2017, 20%DF	BDAF- Biton Pathway	200,000.00	NR
CY 2017, 20%DF	BDAF- Busybees	200,000.00	NR
CY 2017, 20%DF	BDAF- Paglaum	200,000.00	NR
CY 2017, 20%DF	BDAF- Paly	200,000.00	NR
CY 2017, 20%DF	BDAF- Pangpang	200,000.00	NR
CY 2017, 20%DF	BDAF- Sandoval	200,000.00	NR
CY 2017, 20%DF	Rehabilitation of Liminangcong Public Market	1,000,000.00	NR
CY 2016, 20%DF	BDAF- Batas (Fencing/Pathway/Backfilling of Barangay Hall Compound)	200,000.00	NR
CY 2016, 20%DF	Waterproofing of Municipal Annex Building	1,300,000.00	NR
CY 2016, 20%DF	Municipal Anti-drug Abuse Program 2016	1,000,000.00	NR
CY 2016, 20%DF	BDAF- Sandoval MPB	200,000.00	NR
CY 2016, 20%DF	Construction of Birthing Facility	378,037.00	NR
CY 2016, 20%DF	Construction of Debangon Barangay Stage	276,158.60	NR
CY 2016, 20%DF	Construction of MPP- Calabugdong, Casian	500,000.00	NR

FUND	PROJECTS	APPROVED BUDGET	
CY 2016, 20%DF	BDAF Busybees (Gravelling of Road, Sitio Tagumpay)	100,000.00	NR
CY 2016, 20%DF	BDAF- Minapla Drainage Canal	200,000.00	NR
CY 2016, 20%DF	Road Link to Success	1,000,000.00	NR
CY 2016, 20%DF	BDAF- Abongan	200,000.00	NR
CY 2016, 20%DF	BDAF- Bantulan	200,000.00	NR
CY 2016, 20%DF	BDAF- Paglaum	200,000.00	NR
CY 2016, 20%DF	Reforestation Program (2016)	1,000,000.00	NR
CY 2016, 20%DF	BDAF- Cataban Rice Mill Machine	100,000.00	NR
CY 2013, 20%DF	Completion of Montevista DCC	300,000.00	NR
CY 2013, 20%DF	Construction of Sea Wall Protection	494,491.60	NR
CY 2013, 20%DF	SALVAME Program	1,500,000.00	NR
CY 2007-2012, 20%DF	Community Watershed Network	148,350.00	NR
CY 2007-2012, 20%DF	Improvement of Protective Sea Wall	602,740.00	NR
	Total Unimplemented Projects	109,869,138.77	
		P402,963,761.45	

TMWWSDP- Taytay Municipal Wide Water System Development Program

NR- Status of Implementation not reported by Engineering Office

C- implemented thru straight contract

DCC- Day Care Center

MPB/MPH- Multi-purpose Building/Hall

b. Unimplemented and on-going projects as of yearend

It can also be seen from Table 10.1 that 121 projects with approved budgets totaling ₱109,869,138.77 remained unimplemented (includes projects with no obligated amounts based on the MBO's registries) while 56 projects were still on-going as of December 31, 2020. Based on the report submitted by the MEO, there are seven unimplemented projects funded by the 20%DF which are due for reprogramming.

From the list of unimplemented projects, the Audit Team noted that the following 13 programs funded by the 20% DF are rather broad or generic in nature. The specific infrastructure projects or capital outlays to be funded by these programs as well as the project location were not identified, hence the non-implementation.

Table 10.2 20% DF Programs that are broad in nature

FUND SOURCE	PROGRAM	BUDGET
CY 2020, 20%DF	Road Development Program	₱3,448,093.60
CY 2018, 20%DF	Tourism Development Program	3,500,000.00
CY 2018, 20%DF	Road Link to Success 2018	1,000,000.00
CY 2017, 20%DF	Municipal Anti-drug Abuse Program 2017	1,000,000.00
CY 2017, 20%DF	Rabies Control Program	214,716.07
CY 2017, 20%DF	Water Development Program 2017	1,571,305.00
CY 2017, 20%DF	Binhian ng Bayan	1,321,150.00
CY 2017, 20%DF	Road Link to Success	1,000,000.00
CY 2017, 20%DF	Tourism Development Program	2,500,000.00
CY 2016, 20%DF	Municipal Anti-drug Abuse Program 2016	1,000,000.00
CY 2016, 20%DF	Road Link to Success	1,000,000.00
CY 2016, 20%DF	Reforestation Program (2016)	1,000,000.00
CY 2013, 20%DF	SALVAME Program	1,500,000.00
	TOTAL	₱20,055,264.67

Without identified infrastructure project and/or capital outlay, the eligibility of the related expenditures to be charged against the 20% DF (except for the road construction projects) is doubtful. The Management must be mindful of the requirement that all developmental projects to be funded by the 20%DF should partake the nature of investment or capital expenditure and are among the priority development projects enumerated in DILG-DBM JMC No. 2017-1 dated February 22, 2017.

Morover, post-audit revealed that the actual implementation period of the projects, as evidenced by the paid payrolls of the laborers, are way beyond the target number of calendar days (CDs) to complete a project per Program of Works (POW). Sample illustration is provided below.

Sample Project: *CY 2018- 20%DF- Const. of MPB cum
Evacuation Center, Bgy. Pularaquen*

Estimated Duration per POW (in calendar days)	-	128
Period Covered by Paid Payrolls (January 16 to March 30, May 4 to December 30, 2020)	-	313
VARIANCE		<u>185CDs</u>

Further review of the status report submitted by MEO also revealed that the estimated project duration reported therein differs from the number of CDs indicated in the POWs. Sampled projects are shown below.

	POW	MEO Report	DIFF.
CY 2018- Completion of MPB, Bgy. Maytegued	60	150	90
CY 2018- 20%DF- Const. of Drainage Canal (Phase I), Bgy. Liminangcong	40	90	50
CY 2018-20%DF- Establishment and Const. of Sanitary Landfill Facility (SLF)	84	150	66
	Variance		206CDs

Only few infrastructure projects were implemented thru straight contract while majority of the projects were implemented “by administration”. The labor components of the projects were undertaken by in-house personnel and job-order contracts. With the information shown in Table 10.1, the MEO failed to administer and supervise all the priority infrastructure projects that the Municipality has planned to implement in the current as well as those in the previous years. For projects that are to be realigned to new projects, this may also indicate that the Management has failed to properly plan and select priority projects before providing appropriation therefor.

For projects funded and planned to be implemented in CY 2020, it may be understood that the COVID19 pandemic had negatively affected the timely implementation of projects due to travel restrictions, limited workforce and availability of construction materials and supplies. However, this would not justify the delayed implementation of projects funded from years prior to CY 2020. The fact that these projects were included in the Annual Investment Program (AIP) of the Municipality

means that these are priority PPAs that need to be implemented within each budget year.

While it can be argued that in doing projects by administration, the Municipal Government was able to save on cost and the profit due to a private contractor, however, poor planning and snail-paced implementation caused the constituents to suffer from delayed delivery of projects or slow improvement/development.

The lack of proper planning and adequate monitoring/evaluation of infrastructure projects may have prevented the management from ensuring the efficiency of operations and taking necessary actions to address delays in project implementation. In relation to this, we cite the following pertinent provisions of the R.A. No. 7160, as follows:

1. Section 476(b) *The **planning and development coordinator** shall take charge of the planning and development office and shall:*
 - (4) *Monitor and evaluate the implementation of the different development programs, projects, and activities in the local government unit concerned in accordance with the approved development plan;*
2. Section 477(b) *The **engineer** shall take charge of the engineering office and shall:*
 - (3) *Administer, coordinate, supervise, and control the construction, maintenance, improvement, and repair of roads, bridges, and other engineering and public works projects of the local government unit concerned;*

Attention is also invited to the Section 3.2 of DBM-DOF-DILG JMC No. 2020 No. 1 dated November 4, 2020, which is the revised guidelines on the appropriation and utilization of the 20% DF:

- 3.2 The LGUs are enjoined to observe the following policies and guidelines in the appropriation and utilization of the 20% DF:

3.2.3 The LGUs shall ensure that the development projects to be funded out of the 20% DF are well-planned and procurement-and-implementation-ready. (emphasis ours)

c. *Lacking technical documents and subsidiary ledgers for CIP accounts*

As previously mentioned, the Municipal Engineer belatedly submitted the status report on the implementation of the infrastructure projects during CY 2020, yet was not marked received by the Audit Team pending compliance by the Municipal Engineer and the Municipal Accountant on the Audit Team's letter dated March 11,

2021 requesting the submission of the SLs of the Construction-in-Progress account per project and copies of the following technical documents for projects implemented by “administration”:

Table 10.3 Technical Documents for projects implemented by administration

<i>For completed projects:</i> • Program of Works (POW) • Plans and Drawings (with technical specifications) • Statement of Work Accomplishment (SWA) • Fuel Consumption Report • Equipment Utilization Report • PERT-CPM or Construction Schedule • Certificate of Completion • Inspection Report • As-built Plan • Labor- contract and paid payroll of job order personnel • Materials- Purchase order/contract, Purchase Request, Inspection and Acceptance Report (POs, PRs and IARs) • Pictures- properly labeled and with coordinates to describe the exact location (particularly road construction projects)	<i>For on-going projects:</i> • POW • SWA
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Without the schedules or SLs showing the JEV numbers, payees/suppliers and amounts per expenditure of each project as well as the SWA duly signed by the Municipal Engineer, the Audit Team could not validate the paid vouchers related to the projects as well as verify the percentage of completion or the reported total costs incurred to date for each project implemented by administration.

The Audit Team also requested for the copies of the payrolls for the labor component paid and POs, PRs and IARs pertaining to materials procured because each project involves numerous payrolls (labor was paid per work item, not as whole project), various vouchers for materials with consolidated procurement with other projects and various expenditures aged more than one year (includes 2018 expenditures). SWA attached to paid payrolls during year 2020 (CY 2019 and below were not supported with accomplishment reports) pertained only to the item/s worked by the laborers/operators/helpers/drivers and does not cover the material component of the project. The SWA required should indicate percentage of completion for both materials and labor component, or the project as a whole.

As of this date, the Municipal Engineer has not yet complied with the Audit Team’s request. On the other hand, the Municipal Accountant provided technical documents for four projects implemented thru straight contract and two projects implemented by administration. However, the Audit Team was not able to request for technical evaluation of these projects due to lacking as-built plans for straight contracts

and SWA, Inspection Report, Certificate of Project Completion, pictures and as-built plans for projects implemented “by administration”.

Moreover, it was also noted from the review of the technical documents attached to the vouchers for Construction of Evacuation Center Phases I and II, Bgy. Poblacion with contracts amounting to ₱14,790,965.07 and ₱26,661,155.32, respectively, that the following documents were unsubmitted:

Table 10.4 Lacking Documents for the Construction of Evacuation Center

Phase I: - SWA for the 100% completion	Phase II: - plans and drawings (attached was for Phase I) - S-curve or construction schedule
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Furthermore, despite the observation from previous year, no SWA was submitted on the 23 water supply systems that constitute the Taytay Municipal-Wide Water System Development Project (TMWSDP) with total appropriations of ₱190,550,000.00. In addition, based on the contract with the supplier, Atlanta Industries Inc., the material components of the TMWSDP totaling ₱145,201,377.30 should have been delivered by March 14, 2017 but as of even date, the Inspection and Acceptance Reports, Delivery Receipts and Charge Invoices for the amount of ₱145,201,377.30 were not yet submitted for audit and inspection contrary to Section 6.9 of COA Circular No. 2009-002 dated May 18, 2009 which requires the agency officials concerned to furnish the auditor copies of delivery documents within 24 hours after acceptance of deliveries of goods and services.

Non-submission of the aforementioned documents precluded the conduct of evaluation as to engineering and technical aspects including the determination of the reasonableness of the projects costs, inspection/validation of work accomplishments on infrastructure projects and determination of validity of expenditures incurred thereon.

d. Unreliable year-end balances of CIP accounts totaling ₱201,695,257.73

The CIP- Infrastructure Assets and CIP- Buildings and Other Structures accounts amounting to ₱107,246,240.72 and ₱94,449,017.01, respectively, as of December 31, 2020 were not supported with schedules of subsidiary ledger (SL) balances. The year-end balances per project were not also reconciled with the records on the obligations of the Budget Office.

Although the e-NGAS generates SL based on the entries made by the Accounting Office, these SLs could not be relied upon since it was found out in audit that multiple SLs were maintained for one project or the related expenditures of each project were separately entered into two to four different SLs, or in some cases, projects implemented by administration have separate SLs for materials and for labor component. This happened due to the different project “names” that were encoded per JEV in the system even if the expenditures pertain to one and the same project, thus the

purpose of maintaining the SL was not served, contrary to Section 114(2) of Presidential Decree (P.D.) No. 1445 which requires that *subsidiary records shall be kept where necessary*. Ideally, the SL of PPE is on a per item/PPE basis to easily facilitate the recognition and derecognition in the books upon procurement and retirement/disposal, respectively.

Due to absence of reliable schedule of SL balances, the Audit Team could not immediately verify the accuracy of the actual work accomplishment reported per project by the MEO.

- e. advances and progress billings paid to the contractor of Construction of Evacuation Center totaling ₱32,170,253.03 were directly debited to Due to National Government Agencies (NGAs) account, thereby understating the CIP and Advances to Contractors account as of yearend***

The Construction of Evacuation Center at Bgy. Poblacion was funded by the Local Government Support Fund- Assistance to Municipalities (LGSF-AM). The LGU counterpart for the implementation of Phase I was charged against the 20%DF while LGU counterpart for Phase II was sourced from both 20%DF and DRRMF. Both contracts for Phases I and Phase II were awarded to Futuristic Trading and Construction.

Phase I of the project with contract of ₱14,790,965.07 was already completed and the final billing of the contractor was already paid. Although Phase II was also reported by the MEO as completed project, the final billing was not yet paid as of yearend. Review of the JEVs related the the aforesaid project showed that the following payments were recorded in the Trust Fund book as a debit to the Due to NGAs account instead of a debit to an asset account.

Table 10.5 Total Amount debited to Due to NGAs account

	PHASE I	PHASE II	TOTAL
Advance Payment	₱ 2,218,644.76	₱ 3,999,173.30	₱ 6,217,818.06
Total Progress Billings	12,572,320.31	13,380,114.66	25,952,434.97
	₱14,790,965.07	₱17,379,287.96	₱32,170,253.03

It must be noted that the Due to NGAs is only debited or closed when there is already a submission of the liquidation report and the purpose of the fund has been fulfilled. Recording the full amount of ₱32,170,253.03 directly to the Due to NGAs account understates the Advances to Contractors account by ₱3,999,173.30¹ and CIP-Buildings account by ₱28,171,079.73 (₱14,790,965.07 plus ₱13,380,114.66) as of yearend.

¹ The understatement of the Advances to Contractors was still the whole amount of ₱3,999,173.30 because the recoupment of 15% from the 1st progress billing was appropriately credited to the SL of Futuristic Trading. In effect, the SL of Futuristic Trading had a negative balance of ₱2,007,017.19

We recommended that the:

- a. LCE, through the Municipal Engineer and Municipal Planning and Development Coordinator (MPDC), (i) reevaluate the number of infrastructure projects which were identified to be undertaken “by administration” and assess whether the Municipality’s limited manpower and equipment as well as the technical capability to undertake is sufficient to allow project implementation and completion within the time schedule; and (ii) fast track the implementation of the infrastructure projects and make sure that all projects are strictly monitored and implemented in accordance with plans and schedules;**
- b. MPDC and the Local Development Council establish priorities during investment programming and include in the Annual Investment Program only those programs and projects which are feasible, specifically identified and with resource requirements that are based on duly approved POWs and Detailed Cost Estimates;**
- c. Municipal Engineer ensure that the status report of all infrastructure projects of the municipality is complete and supported with SWA and other documents required for technical evaluation and inspection;**
- d. Municipal Accountant (i) review the SLs of the CIP account and make sure that each project will only have one SL; (ii) submit the schedule of the SL balances of the CIP account as well as the schedule of the related expenditures of completed projects already transferred to PPE account to facilitate validation of the reported actual work accomplished per project; and (iii) use the proper accounts and make the necessary adjustments to reflect the correct CIP and Advances to Contractors account balances in the Trust Fund; and**
- e. Municipal Accountant and the Municipal Engineer (i) submit the technical documents enumerated in Table 10.3 and 10.4; and (ii) maintain a complete set of technical documents (refer to Table 10.3 for projects implemented by “administration”) per project for easy monitoring of the project implementation.**

The Management commented that one of the goals under the new administration of Hon. Christian V. Rodriguez is to deliver basic services specifically to the Infrastructure Sector, in partnership with the Local Development Council (LDC) of the Municipality of Taytay. The LDC convened for a meeting last January 12, 2021 relative to the updates and status of the 20% DF projects of the Municipality, whereas the council agreed to reprogram some of the previously funded 20% DF projects, of which some are on-going, not yet started and/or unimplemented. The unutilized 20%DF are made available for reprogramming for the purchase of heavy equipment necessary for the implementation of the infrastructure projects of the LGU. The council also agreed to submit the list of the reprogrammed projects to the Sangguniang Bayan (SB) for their approval.

Further, the LCE issued Memorandum No. 047 dated March 11, 2021 which states that all funded infrastructure projects costing ₱500,000.00 and above shall be subjected to competitive public bidding.

The Management further stated that the Municipal Engineer was instructed to accomplish all required technical documents to be submitted to the Audit Team and the Municipal Engineer expressed his commitment to accomplish it before the 3rd quarter of CY 2021 ends.

The Municipal Accountant also commented that the necessary adjustments were done already to correct the CIP account. Proof of recording or the JEVs will be submitted to the Audit Team as evidence of the corrections made.

The Management also assured that they will take appropriate steps and establish priorities during budget preparation and investment planning to ensure the full implementation of the policies/strategies and programs/projects outlined in the plan for the benefit of all constituents of the Municipality of Taytay.

Liquidation and Implementation of Trust Funds

- 11. Unused balances totaling ₱484,067.60 were not returned to the source agencies after completion of the project contrary to the provisions of Section 4.9 of COA Circular No. 94-013 dated December 13, 1994. Moreover, fund transfers from national agencies totaling ₱7,437,621.65 remained not fully utilized thereby defeating the objectives of the fund transfers and depriving intended beneficiaries of the benefits that could be derived therefrom.**

COA Circular No. 94-013 dated December 13, 1994 prescribes the rules and regulations in the grant, utilization and liquidation of funds transferred to implementing agencies. Section 4.9 thereof provides that *“The Implementing Agency (IA) shall return to the Source Agency (SA) any unused balance upon completion of the project.”*

Contrary to the aforementioned provision, it was noted that the Due to NGAs account as of December 31, 2020 still included unutilized balances of various completed projects totaling ₱549,509.36 which were not yet returned to the source agency. Details are presented in the table below.

Table 11.1 Unutilized Balances not yet returned to Source Agencies

Name of Project	Amount	Remarks
BUB 2016- Combine Harvester	₱ 2,000.00	Balance since 2017
BUB 2016- Flatbed Dryer	305,500.00	
BUB 2016- Handtractor w/ trailer	28,000.00	
Liminangcong MPB	166,547.40	Balance since 2017; ₱150,196.26 per FUR
DOT Pancol Tourism Viewdeck	68.00	Balance since 2019
DOLE IV-B Feeds Making	50.00	Balance since 2018

Name of Project	Amount	Remarks
DENR-Materials Recovery Facility	55.00	Balance since 2017
DSWD Bahay PAG-ASA	47,288.96	Balance since 2018; Refunded w/ Check No. 59889186 dtd 5/17/21
Total	₱ 549,509.36	

Moreover, it was also noted that various projects with balances totaling ₱7,437,621.65 remained on-going or unimplemented for a long period of time. The Municipal Accountant informed the Audit Team of the status and of the reasons for the delayed or non-implementation of the following projects, to wit:

Table 11.2 Status on the Utilization of Funds provided by NGAs

Name of Project	Amount	Remarks
BUB 2016- Small Diversion Dam (SDD)	₱ 840,000.00	Balance since 2016; Not yet implemented (Fund is not enough for 3 SDD)
PAMANA Hall	1,500,000.00	Balance since 2017; Not yet implemented - no specific location
Covered Gym 2nd Floor Municipal Extension	1,000,964.67	Balance since 2016; Not yet implemented (Waiting for the approval of the revised Program of Work)
Provision for Housing- Calamity Victims	650,000.00	Balance since 2016; Not implemented - refunded w/ Check No. 59889175 dtd 3/23/2021
DSWD- SLP Hog Raising	175,070.00	Balance since 2016; On-going 95% completed
BUB Agri 2013	1,791,726.57	Balance since 2018; On-going
BUB Fisheries	691,473.30	Balance since 2018; On-going
BUB 2015- Rice Production	1,700.10	Balance since 2017; On-going
BUB 2015- Organic Vegetable Production	159,500.00	Balance since 2017; On-going
BUB 2015- Pancol Food Processing	83,941.00	Balance since 2019; On-going
BUB 2016- Banbanan Birthing Facilities	213,434.00	Balance since 2018; On-going
BUB 2016- Integrated Comm Food Production	230,380.00	Balance since 2019; On-going
Masaganang Ani c/o George	99,432.01	Balance since 2018; On-going
Total	₱ 7,437,621.65	

The failure of the Municipality to fully implement the abovementioned projects defeated the goals and objectives of the fund transfers and deprived the intended beneficiaries of the benefits that could be derived therefrom.

We recommended that the Municipal Mayor, i) thru the Municipal Accountant, review the Memoranda of Agreement pertaining to the aforesaid unutilized balances of completed projects and communicate with the source agencies for the immediate return of such balances; and ii) thru the MPDC, coordinate with

the implementing offices of the abovementioned on-going and unimplemented projects so that appropriate actions may be undertaken thereon for effective and efficient utilization of the funds.

The Management commented that the Municipal Accountant was instructed to review the Memoranda of Agreement pertaining to the aforesaid unutilized balances of completed projects and communicate with the source agencies for purpose of validating the appropriateness of unliquidated balances prior to facilitating their return. The MPDO, during Department/Section Heads meeting held last June 22, 2021, has committed to coordinate with the concerned implementing offices of the identified on-going and unimplemented projects to ascertain key areas for appropriate action and recommend measures for management to adopt for the purpose ensuring effective utilization of funds.

Utilization of Local Government Support Fund-Other Financial Assistance to LGUs

- 12. Deficiencies were noted in the implementation of the Improvement of Slaughter House with approved budget of ₱2,000,000.00 funded by the FY 2019 Local Government Support Fund-Other Financial Assistance (LGSF-FA) to LGUs such as: (a) delayed implementation of the project which may result in the possible cancellation of the project; (b) payments for construction materials and labor component totaling ₱1,557,533.97 were directly debited to Due to NGAs account, thereby understating the CIP account balance as of yearend; (c) non-reporting and non-posting of the fund utilization and status of program/project implementation using the prescribed format of DBM LBC No. 199 dated July 15, 2019; and (d) failure to secure a certificate of registration from the Bureau of Animal Industry in violation of Section 2 of the R.A. No. 8485, otherwise known as “The Animal Welfare Act of 1988”.**

DBM LBC No. 119 dated July 15, 2019 was issued to prescribe guidelines and procedures on the release and utilization of the FY 2019 Local Government Support Fund-Other Financial Assistance (LGSF-FA) to LGUs consistent with the Fiscal Year (FY) 2019 General Appropriations Act, R.A. No. 11260.

The Municipality of Taytay has an existing slaughterhouse located at Barangay Poblacion. The slaughterhouse was established in CY 2015 and is a Locally Registered Meat Establishment (LRME) under a single “A” category. Single “A” category slaughterhouses have facilities and procedures of minimum adequacy that the livestock and fowls slaughtered therein are suitable for distribution and sale only within the city or municipality where the slaughterhouse is located².

The LGU requested financial assistance from the DBM for the funding of the Rehabilitation, Repair and Improvement of the Slaughter House, which is one of the eligible projects enumerated in Item 1.0 of LBC No. 119, and the request for funding was approved on October 10, 2019 in the amount of ₱2,000,000.00.

² Section 2 of Executive Order No. 137 dated November 28, 1993

The following are the results of the review of the utilization of the fund:

a. delayed implementation of the project which may result in the possible cancellation of the project

Item 3.14 of DBM LBC No. 119 dated July 15, 2019, as amended by LBC No. 199-B dated September 4, 2020, states that:

The LGSF-FA to LGUs shall be recorded as trust by the LGUs for the specified purpose(s) for which the funds were received. **Funds which remain unutilized as of December 31, 2020 shall be reverted to the National Treasury by the recipient LGUs.** However, if at any point before December 31, 2020, the LGU determined that the fund can no longer be utilized, e.g, when the program(s) and/or project(s) cannot be implemented for any reason, the amount received by the same LGU from the LGSF-FA to LGUs shall be immediately reverted to the National Treasury. (emphasis supplied)

The DBM informed the LGU Taytay that the Notice of Cash Allocation (NCA) for the project funded by LGSF was already issued to the Bureau of Treasury under NCA No. NCA-O-20-0003055 dated March 9, 2020. The actual receipt of the fund amounting to ₱2,000,000.00 was recorded in the Trust Fund (TF) book on June 30, 2020 covered by JEV No. 2020-06-0277.

Based on the POW prepared by the Municipal Engineer, the Improvement of Slaughter House will be constructed in Sitio Langayan, Bgy. Poblacion, Taytay, with 90 calendar days to complete the project. The project was implemented by administration and the Invitation to Bid for the procurement of the construction materials was only posted on September 25, 2020. The opening of bids was on October 16, 2020 while the actual receipt of the construction materials per Inspection and Acceptance Report was only on December 9, 2020. Meanwhile, the laborers, hired thru job order contract, already started the work on November 16, 2020 (based on the first payroll).

The latest payroll paid for laborers was supported by a Statement of Work Accomplished (SWA) which indicated that the percentage of work accomplished (labor component only) for the project was only 34.13% as of December 29, 2020. As at yearend, the total charges against the FY 2019-LGSF amounted to ₱1,557,533.97, leaving a balance of ₱442,466.03. The Management must be aware that Item 3.14 of the LBC No. 119 requires that the unutilized funds as of December 31, 2020 must be reverted to the National Treasury by the recipient LGU. Since the LGU was already informed of the NCA dated March 9, 2020 and the funds were already received on June 30, 2020, the procurement of goods should have been planned and set on an earlier date to give time for the 90-day construction period and the full utilization of the fund before December 31, 2020.

Nevertheless, the construction commenced on November 16, 2020, hence, the project should have been completed on February 14, 2021 (90th day). But based on the latest submitted physical accomplishment of the project by the Municipal Engineering Office, the project is still 78.95% completed as of March 18, 2021.

The foregoing condition is an indication that the LGU failed to properly plan and undertake the project, monitor and take necessary actions to avoid delays in its implementation. This may have adverse effect on the LGU's compliance with the guidelines of the LGSF-FA to LGUs which could result in possible cancellation of the project and the reversion of the unused balance as of December 31, 2020.

b. Payments for construction materials and labor component totaling ₱1,557,533.97 were directly debited to Due to National Government Agencies (NGAs) account, thereby understating the Construction-in-progress (CIP) account as of yearend

Payments for construction materials and labor component of the Improvement of Slaughter House totaling ₱1,557,533.97 were recorded in the TF book as follows:

JEV NO.	ACCOUNT TITLE	DEBIT	CREDIT
2020-12-0437	Due to NGAs	₱1,386,833.97	
	Cash in Bank- LCCA		₱1,298,670.95
	Due to BIR		74,294.68
	Guaranty/Security Deposits Payable		13,868.34
	<i>Payment of construction materials purchased from DPL Trading</i>		
2020-12-0438	Due to NGAs	56,460.00	
	Advances for Payroll		56,460.00
	<i>Wages of Cris Igam and co. from November 16-30, 2020</i>		
2020-12-0439	Due to NGAs	61,880.00	
	Advances for Payroll		57,200.00
	Due to GOCCs		4,680.00
	<i>Wages of Cris Igam and co. from December 1-15, 2020</i>		
2020-12-0440	Due to NGAs	52,360.00	
	Advances for Payroll		52,360.00
	<i>Wages of Cris Igam and co. from December 16-29, 2020</i>		
		₱1,557,533.97	₱1,557,533.97

As shown in the table, all expenditures paid against the fund were recorded as a debit to the Due to NGAs account instead of a debit to an asset account. It must be noted that the Due to NGAs is only debited or closed when there is already a submission of the liquidation report and the purpose of the fund has been fulfilled.

The usual practice of the Accounting Office in recording payment of construction materials for a project (other than TF) was to directly debit CIP account instead of inventory because the materials, upon delivery to the LGU, are immediately released to the implementing department. Hence, the CIP account was understated by ₱1,557,533.97 as of December 31, 2020 due to outright closing of expenditures to the Due to NGAs account.

c. *non-reporting and non-posting of the fund utilization and status of program/project implementation using the prescribed format of DBM LBC No. 199 dated July 15, 2019*

Item 6.2 of the DBM LBC No. 199 also requires the preparation of the quarterly reports on fund utilization and status of program/project implementation using the prescribed format in Annex C of the LBC, certified correct by the Local Finance Committee and attested by the Municipal Mayor. Item 6.3 of the LBC further states that “Consistent with the Full Disclosure Policy of the DILG, post such reports on the LGUs website within twenty (20) days from the end of each quarter and in at least three (3) conspicuous public places in the locality”

During CY 2020, the LGU Taytay received two different “LGSF-FA to LGUs”, one was FY 2019 LGSF amounting to ₱2,000,000.00 (receipt recorded on June 30, 2020) while the other one was FY 2020 LGSF amounting to ₱10,989,753.00 (receipt recorded on November 30, 2020). The FY 2019 fund was for the Improvement of Slaughter House whereas the FY 2020 was for the Expansion and Rehabilitation of Pamantolon and Poblacion Water System Level III.

Verification of the LGU’s compliance with Items 6.2 and 6.3 of LBC disclosed that the utilization and status of the project implementation of LGSF FYs 2019-2020 were both not reported and posted in the LGU’s website. Non-compliance of the Management to the reporting and posting requirement is not reflective of its commitment to transparency and good governance.

d. *failure to secure a certificate of registration from the Bureau of Animal Industry in violation of Section 2 of the Republic Act No. 8485, otherwise known as “The Animal Welfare Act of 1988”.*

The existing slaughter house was already in operation since year 2015 yet the Management failed to secure a certificate of registration from the Bureau of Animal Industry. This is in violation of Section 2 of R.A. No. 8485 which provides that:

No person, association, partnership, corporation, cooperative or any government agency or instrumentality including slaughter houses shall establish, maintain and operate any pet shop, kennel, veterinary clinic, veterinary hospital, stockyard, corral, stud farm or stock farm or zoo for the breeding, treatment, sale or trading, or training of animals without first securing from the Bureau of Animal Industry a certificate of registration therefor.

The certificate shall be issued upon proof that the facilities of such establishment for animals are adequate, clean and sanitary and will not be used for, nor cause pain and/or suffering to the animals. The certificate shall be valid for a period of one (1) year unless earlier cancelled for just cause before the expiration of its term by the Director

of the Bureau of Animal Industry and may be renewed from year to year upon compliance with the conditions imposed hereunder. The Bureau shall charge reasonable fees for the issuance or renewal of such certificate.

We recommended that the:

- a. Municipal Mayor i) instruct the Municipal Engineer to fast track the Improvement of the Slaughter House to avoid cancellation of the project; ii) thru the Local Finance Committee (LFC), ensure strict compliance with the quarterly reporting and posting of the fund utilization and status program/project implementation as required by the guidelines of LGSF-FA to LGUs; and iii) thru the Municipal Agriculturist, secure the required certificate of registration from the Bureau of Animal Industry as required by R.A. No. 8485 or the “Animal Welfare Act of 1988”;**
- b. Municipal Accountant make the necessary adjustments to reflect the correct CIP and Due to NGAs account balances in the Trust Fund; and**
- c. BAC and other concerned offices properly plan the procurement of the goods, services and infrastructure projects to achieve timely implementation and/or fulfillment of the purpose of fund received by the Municipality from the national government.**

The Management informed the Audit Team that the Improvement of Slaughter House Project funded out of the LGSF-FA to LGUs was already completed this year. The Management stated that they will ensure strict compliance with the quarterly reporting and posting of the fund utilization and status program/project implementation as required by the guidelines of LGSF-FA to LGUs. The Municipal Accountant also agreed with the audit recommendation of the Audit Team and will make the necessary adjustments to reflect the correct CIP and Due to NGAs account balances in the Trust Fund. Further, the concern on the required certificate of registration was also raised during the meeting of department heads. The Municipal Agriculturist will provide supplemental comment on their compliance with R.A. No. 8485.

Unnecessary and Excessive Travelling Expenses

- 13. Travelling expenses of ₱476,880.00 incurred for private purposes such as employees’ medical examination and personal government transactions and reimbursement of pumpboat hires totaling ₱1,745,720.00 and ₱2,107,670.00 were found unnecessary and excessive, respectively, pursuant to COA Circular No. 2012-003 dated October 29, 2012.**

COA Circular No. 2012-003 dated October 29, 2012, otherwise known as the “Updated Guidelines on the Prevention and Disallowance of Irregular, Unnecessary,

Excessive, Extravagant and Unconscionable Expenditures”, provides the definition for the following types of expenditures:

- 4.1 *The term “unnecessary expenditures” pertains to expenditures which could not pass the test of prudence or the diligence of a good father of a family, thereby denoting non-responsiveness to the exigencies of the service. Unnecessary expenditures are those not supportive of the implementation of the objectives and mission of the agency relative to the nature of its operation. This would also include incurrence of expenditure not dictated by the demands of good government, and those the utility of which cannot be ascertained at a specific time. An expenditure that is not essential or that which can be dispensed with without loss or damage to the property is considered unnecessary. The mission and thrust of the agency incurring the expenditures must be considered in determining whether or not an expenditure is necessary.*
- 5.1 *The term “excessive expenditures” signifies unreasonable expense or expenses incurred at an immoderate quantity and exorbitant price. It also includes expenses which exceed what is usual or proper, as well as expenses which are unreasonably high and beyond just measure or amount. They also include expenses in excess of reasonable limits.*

a. Travelling expenses incurred for personal purposes

Post-audit of the transaction documents for CY 2020 of the Municipality revealed that the following travelling expenses for private purposes such as employees’ medical examination and transactions with government offices in Puerto Princesa City (e.g. GSIS, Pag-IBIG, PhilHealth transactions and renewal of professional licences) were charged against the funds of the Municipality (the Management was provided with the detailed list of vouchers paid for personal purpose).

Table 13.1 Personal travels paid by LGU

DVs	FARE	PER DIEM	TOTAL
156 vouchers	₱64,160.00	₱412,720.00	₱476,880.00

Rule XVI of the Omnibus Rules on Leave, Implementing Book V of Executive Order (E.O.) No. 292, provides the following:

Sec. 21 Special Leave Privileges- In addition to vacation, sick, maternity and paternity leave, officials and employees Xxx are granted the following special leave privileges subject to the conditions hereunder stated: e) **Personal transactions to cover the entire range of transactions an individual does with the government and private offices such as paying taxes, court appearances, arranging a housing loan, etc**

Sec. 53 Application for sick leave- Xxx. Sick leave may be applied for in advance in cases where the official or employee will undergo **medical examination** or operation or advised to rest in view of ill health duly supported by a medical certificate. (emphasis ours)

It is clear from the above rules of Civil Service Commission (CSC) that leave of absence must be applied by the employee for personal transactions (special leave privilege) and medical examination (sick leave). These kind of transactions are personal and should not be treated as official government transaction. However, instead of applying for leave, the immediate supervisors or department heads requested from the Municipal Mayor (Vice Mayor in the case of sanggunian) that their employee be authorized to travel to Puerto Princesa City on official business trip. The requests for authority to travel were approved even if it was explicitly stated therein that the purpose was for medical check up or personal trip.

Undoubtedly, the Municipal Government of Taytay is very supportive to and cares for the wellbeing of its employees. Aside from paying the LGU's share on PhilHealth contributions, the Municipality is also paying for employees' health insurance from a private insurance company. It is unreasonably excessive that the employees were allowed to travel outside the Municipality on official business and claim traveling allowance albeit the purpose of travel was personal. Their leave credits were untouched, yet they were paid their salary despite their absence from work. Payment for the travelling expenses and granting per diems in relation to personal activities of the concerned local officials and employees is already considered unnecessary expenditures pursuant to Item 4.1 of the COA Circular No. 2012-003. The foregoing condition is also in violation of Section 305(b) of the R.A. No. 7160 which states that *Local government funds and monies shall be spent solely for public purposes*.

b. Unnecessary and excessive claims for pump boat hires

For CY 2020, the Municipality incurred a total amount of ₱19,274,313.23 for travelling expenses. Out of this amount, post audit revealed that a substantial amount of ₱10,228,995.00 was paid for pump boat hires reimbursed by municipal officials and employees who travelled to various island barangays of Taytay. Even before COVID-19 pandemic, large portion of the municipal funds were expended every year for boat rentals reimbursed by various officials and employees.

On December 3, 2018, the Sangguniang Bayan of Taytay enacted Ordinance No. 311, s.2018, and approved by the former Municipal Mayor on April 16, 2019, an ordinance revising the rules and regulations for the operations of motorized banca/pumpboat in the Municipality of Taytay and adopting the 2019 effective rates of pump boat rental per route.

From the sampled paid travel expense vouchers (TEVs), the Audit Team already accounted ₱1,745,720.00 pump boat rentals reimbursed by various municipal officials and employees that were found in audit as unnecessary expenditures. The detailed list of these paid TEVs provided to the Management showed that various municipal officials and employees have same travel dates yet hired different boatman or pump boat operator and

claimed pump boat rentals using separate official receipts or RERs. The Management already informed the Audit Team that there was no regular commercial trip in every island barangays of Taytay, hence they opted to hire pump boats, which is costly on the part of the LGU. Nevertheless, the LGU's expenses could have been minimized had the employees with the same destination and travel dates and time just hired one motorized banca/pumpboat for their trip to island barangays.

To illustrate the above condition, the Audit Team selected from the list of TEVs totaling ₱1,745,720.00 the following claims for boat hire, to wit:

Table 13.2 Pump boat rentals with same departure dates

PAYEE	OFFICE	DATE	DEPARTURE TIME	ROUTE	AMOUNT	TRANSPORTATION
Personnel 1	SBO/VMO	01/23/20	4:30PM	Paly-Poblacion	₱2,000.00	UB
Personnel 10	SBO/VMO	01/23/20	5PM		2,000.00	UB
Personnel 11	SBO/VMO	01/23/20	5PM		2,000.00	UB
Personnel 14	MO	02/04/20	4PM	Calawag-Poblacion	2,400.00	Darwin Jay TBS
Personnel 26	SBO/VMO	02/04/20	4PM		2,350.00	UB
Personnel 10	SBO/VMO	02/04/20	5PM		2,400.00	UB
Personnel 8	SBO/VMO	02/12/20	4:45PM	Paly-Poblacion	2,000.00	UB
Personnel 7	SBO/VMO	02/12/20	4PM		2,000.00	UB
Personnel 13	SBO/VMO	02/12/20	4PM		2,000.00	UB
Personnel 22	MO	02/12/20	6AM	Poblacion-Paly	2,000.00	UB
Personnel 42	SBO/VMO	02/12/20	7AM		2,000.00	UB
Personnel 33	SBO/VMO	02/12/20	6AM		2,000.00	UB
Personnel 19	SBO/VMO	02/12/20	6AM		2,000.00	UB
Personnel 17	MO	02/13/20	4:30PM	Debanagan- Poblacion	1,300.00	UB
Personnel 18	SBO/VMO	02/13/20	3:30PM		2,150.00	UB
Personnel 9	SBO/VMO	02/13/20	4:30PM		2,050.00	UB
Personnel 22	MO	02/13/20	6AM	Poblacion-Pangpang	2,050.00	UB
Personnel 5	SBO/VMO	02/13/20	6AM		2,050.00	UB
Personnel 26	OVM	02/13/20	6AM		2,050.00	UB
Personnel 26	SBO/VMO	02/19/20	7AM	Poblacion-Paly	2,000.00	Eightbrothers Sr TBS
Personnel 24	MENRO	02/19/20	8AM		2,000.00	UB
Personnel 38	MO	02/19/20	7AM		2,000.00	UB
Personnel 10	SBO/VMO	02/19/20	6AM		2,000.00	UB
Personnel 35	SBO/VMO	02/19/20	7AM		2,000.00	UB
Personnel 22	MO	06/19/20	6AM	Poblacion-Batas	4,500.00	Darwin Jay TBS
Personnel 3	SBO/VMO	06/19/20	6:30AM		3,000.00	Eightbrothers Sr TBS
Personnel 30	DILG	06/19/20	6:30AM		3,000.00	Eightbrothers Sr TBS
Personnel 33	SBO/VMO	06/19/20	8AM		3,000.00	Eightbrothers Sr TBS
Personnel 4	MTO	09/14/20	7AM	Poblacion-Batas	4,500.00	Adrian BRS
Personnel 28	MTO	09/14/20	7AM		4,500.00	Adrian BRS
Personnel 37	MO	09/14/20	7AM		4,500.00	Eightbrothers Sr TBS
Personnel 26	SBO/VMO	09/26/20	4PM	Depla-Poblacion	3,500.00	St. Rafael TBR
Personnel 8	SBO/VMO	09/26/20	4PM		2,000.00	St. Rafael TBR
Personnel 10	SBO/VMO	09/26/20			2,050.00	Justin Mae TBR
Personnel 23	Assesor's	10/30/20	7AM	Poblacion-Batas	4,500.00	M/BCA Chenjun
Personnel 6	MDRRMO	10/30/20	7AM		3,500.00	Justin Mae TBR
Personnel 32	MO	10/30/20	7AM		4,500.00	NNB Boat Rental
Personnel 35	SBO/VMO	11/06/20	4PM	Paly-Poblacion	2,850.00	Eightbrothers Sr TBS
Personnel 1	SBO/VMO	11/06/20	3:35PM		2,850.00	Eightbrothers Sr TBS

PAYEE	OFFICE	DATE	DEPARTURE TIME	ROUTE	AMOUNT	TRANSPORTATION
Personnel 16	SBO/VMO	11/06/20	4PM	Pangpang-Paly	2,850.00	Eightbrothers Sr TBS
Personnel 41	MO	11/06/20	4PM		3,500.00	NNB Boat Rental
Personnel 35	SBO/VMO	11/06/20	12PM		2,100.00	Eightbrothers Sr TBS
Personnel 1	SBO/VMO	11/06/20	11:AM		2,100.00	Eightbrothers Sr TBS
Personnel 16	SBO/VMO	11/06/20	12PM	Poblacion-Batas	2,100.00	Eightbrothers Sr TBS
Personnel 5	SBO/VMO	11/21/20	6AM		3,500.00	Eightbrothers Sr TBS
Personnel 9	SBO/VMO	11/21/20	8AM		4,500.00	Eightbrothers Sr TBS
Personnel 31	SBO/VMO	11/24/20	7Am		3,500.00	Eightbrothers Sr TBS
Personnel 19	SBO/VMO	11/25/20	6AM	Poblacion-Paly	2,500.00	Adrian BRS
Personnel 31	SBO/VMO	11/25/20	7AM		2,850.00	Eightbrothers Sr TBS
Personnel 34	MPDO	11/25/20	8AM		3,500.00	NNB Boat Rental
Personnel 25	VMO	11/27/20	7:45AM	Agpay-San Jose	2,950.00	UB
Personnel 41	MO	11/27/20	7:30AM		2,900.00	UB
Personnel 8	SBO/VMO	11/27/20	7:40AM		2,950.00	UB
Personnel 15	MACCO	11/27/20	6:40Am		2,900.00	UB
Personnel 26	SBO/VMO	12/16/20	7AM	Agpay-Sigpit	2,350.00	UB
Personnel 40	SBO/VMO	12/16/20	7Am		2,350.00	UB
Personnel 35	SBO/VMO	12/16/20	6:20AM		2,350.00	UB
Personnel 21	MO	12/16/20	7AM	Poblacion-Depla	3,550.00	UB
Personnel 39	SBO/VMO	12/16/20	7:30AM		3,550.00	Eightbrothers Sr TBS
Personnel 42	SBO/VMO	12/16/20	6AM	Poblacion-Depla	2,850.00	Eightbrothers Sr TBS
Personnel 10	SBO/VMO	12/16/20	7AM		2,850.00	Justin Mae TBR
Personnel 3	SBO/VMO	12/16/20	6AM	Poblacion-Sandoval	3,200.00	Eightbrothers Sr TBS
Personnel 20	SBO/VMO	12/16/20	6AM		4,000.00	Eightbrothers Sr TBS
Personnel 1	SBO/VMO	12/16/20	6AM		3,200.00	NNB Boat Rental
Personnel 10	SBO/VMO	12/17/20	6:20AM	Agpay-Liminangcong	3,300.00	UB
Personnel 40	SBO/VMO	12/17/20	6:50AM		3,300.00	UB
Personnel 8	SBO/VMO	12/17/20	6:30AM		3,300.00	UB
Personnel 10	SBO/VMO	12/18/20	6:20AM	Agpay-Minapla	4,800.00	UB
Personnel 40	SBO/VMO	12/18/20	7:30AM		4,800.00	UB
Personnel 16	SBO/VMO	12/18/20	7AM		4,800.00	UB
Personnel 11	SBO/VMO	12/18/20	7AM		4,800.00	UB
Personnel 18	SBO/VMO	12/19/20	6AM	Poblacion-Batas	3,400.00	Eightbrothers Sr TBS
Personnel 36	Admin off.	12/19/20	6AM		4,500.00	NNB Boat Rental
Personnel 19	SBO/VMO	12/19/20	6:30AM		4,600.00	Adrian BRS
Personnel 30	DILG	12/19/20	7AM		3,500.00	NNB Boat Rental
Personnel 20	SBO/VMO	12/19/20	6AM		3,500.00	NNB Boat Rental
Personnel 26	SBO/VMO	12/21/20	6AM		4,500.00	Eightbrothers Sr TBS
Personnel 27	MO	12/21/20	7AM	Poblacion-Batas	4,500.00	NNB Boat Rental
Personnel 2	MHO	12/21/20	8AM		2,850.00	NNB Boat Rental
Personnel 12	MO	12/21/20	7AM		4,500.00	NNB Boat Rental
Personnel 8	SBO/VMO	12/21/20	6AM		2,800.00	Eightbrothers Sr TBS
Personnel 11	SBO/VMO	12/21/20	6AM		3,200.00	Eightbrothers Sr TBS
Personnel 29	SBO/VMO	12/21/20	6AM		2,650.00	Adrian BRS

MO- Mayor's Office

SBO/VMO- Sanggunian Bayan Office

UB- Unregistered Boatman

TBS/TBS- Tourist Boat Service/Rental

BRS- Boat Rental Services

As shown in Table 13.2, two or more persons travelled on same dates, same departure time, and in most cases, same boat operator, yet they have separate claims for

boat rentals. The Audit Team found it doubtful because most have the same purpose of travel such as “transact/consult/confer with barangay officials”, hence it can be safely assumed that they have knowledge on the travel of the other co-employee and it is not impossible that they have met in the port of origin or in the island destination, particularly in the barangay hall. The above Table also shows that the officials and employees who travelled on the same dates are also reporting in the same department or office. Had the departments/offices properly planned/scheduled their activities in the barangays, there is no reason for them to individually hire separate motorized bancas. Yet, it was noted in audit that only few offices had been observing economical transportation expenses for their staff like hiring of one banca for the whole group.

Since the employees travelling on the same dates can rent one pump boat for use of the whole group, the expenditures incurred for the other pump boat rentals are considered unnecessary pursuant to Item 4.1 of the COA Circular No. 2012-003.

It was also discovered in the review of the paid TEVs that the actual pump boat rates claimed by various officials and employees were excessive and not compliant with the standard rates established or provided in the Ordinance No. 311, s.2018. Sample TEV with excessive claim is provided below.

Table 13.3 Sample excessive claim of pumpboat fare

	Date of Travel	ROUTE	AMOUNT CLAIMED	PER ORDINANCE	VARIANCE
One payee	05/11/20 (day trip only)	Poblacion to Casian	2,850.00	1,425.00**	1,425.00
		Casian to Maytegued	4,400.00	1,725.00**	2,675.00
		Maytegued to Poblacion	3,700.00	1,500.00**	2,200.00
			₱10,950.00	₱4,650.00	₱6,300.00

** Round trip fares indicated in the Ord. No. 311 were converted to one-way fare

Section 14 of the Ordinance No. 311, s.2018 states that *Approved pumpboat rates are **round trip** hire within a day.* It is clear from the ordinance that the rates are equivalent to two-way trip, however, various claims for each route, although with RERs/ORs, were based on the round trip fare instead of the equivalent one way trip fare, resulting in excessive reimbursements of boat fares totaling ₱2,107,670.00 (the Management was provided with the detailed list of vouchers with excessive claims).

It was very much apparent that prudence in the disbursement of government funds was not regularly observed by the concerned municipal officials and employees in the transactions involving pump boat hire.

The Management must be mindful of the provisions of Section 7 of the E.O. No. 77 dated March 15, 2019 states that:

- a. The agency head concerned or the designated officials shall determine the mode of transportation xxx to be availed, **which in all cases shall be the most economical and efficient.**

- b. As a general rule, only the ordinary public conveyance or customary modes of transportation shall be used. The use of chartered trips, special hires of public utilities, garage cars, water vessels and other extraordinary means of transportation shall not be allowed unless justified by the prevailing circumstances, such as but not limited to, carrying large amount of cash, bulky equipment and important documents, inclement weather, accompanying dignitaries or high level government officials, or when time is of essence.

We recommended that the Local Chief Executive (LCE), (i) thru the Municipal Accountant and HRM Officer, discontinue charging personal travels against the funds of the Municipality and instead, require them to submit application for leave of absence; (ii) enjoin all department heads to properly plan/schedule their activities in the barangays to minimize the transportation costs incurred by the Municipality particularly the rentals of motorized bancas; and (iii) thru the Municipal Accountant and immediate supervisors of the employees claiming pumpboat rentals, strictly implement the standard rates established by Ordinance No. 311, s.2018.

For the non-availability of a regular transportation in the island barangays, the LCE and the concerned department heads were also encouraged to strategize and utilize the municipal funds to address the problem of sea transportation such as budget proposal for the purchase of additional watercrafts in the ensuing year, which can ferry officials and employees from the official station to their destination and vice-versa, as well as those barangay constituents who cannot afford to hire pumpboat services for their travel to mainland Taytay.

The Management believes that the travel expenses incurred by the concerned officials and employees were made in accordance to their offices' mandates. The Management commented that the travels with same date, same time, same destination and similar purposes may be true and may invite doubts but the Management assured that such are without harmful or ill intentions.

The travel claims for medical and other personal reasons had long been discontinued by the Management starting from the time of the Audit Team's verbal notice to the Accounting Office.

Furthermore, the Management committed to pursue and exercise prudence on the context of pumpboat rentals by engaging in strategic planning of barangay activities thereby cutting down on transportation costs.

Compliance with Tax Laws and Remittances to GSIS/Pag-Ibig/HDMF

- 14. Amounts due to GSIS, Pag-IBIG and PhilHealth totaling ₱233,773.22 were not remitted intact within the period prescribed in Section 6 of R.A. No. 8291, Section E.4 of HDMF Circular No. 275 dated January 22, 2010 and PhilHealth Circular No. 0001,**

s.2014. Moreover, the year-end balances included negative balances totaling ₱275,949.44 which connotes over-remittances while balances totaling ₱20,910.40 were not supported with subsidiary schedules indicating the name of employees and period covered by the unremitted contributions and loan amortizations.

Due to BIR, GSIS, Pag-IBIG and PhilHealth accounts showed a total balance of ₱3,064,362.14 as of December 31, 2020, to wit:

Table 14.1 Schedule of Due to BIR/GSIS/Pag-Ibig/PhilHealth

Account	Bal. per Subsidiary Schedules	Negative Balances	Remitted in January 2021
Due to BIR			
<i>General Fund</i>			
Individual Withholding Tax	₱ 343,967.63	₱ (77,405.16)	₱ 343,967.67
1% EWT	99,545.08	0.00	92,672.33
2% EWT	85,670.59	0.00	92,543.34
3% Non VAT	148,042.90	0.00	147,390.73
5% VAT	466,902.89	0.00	467,555.06
3% EWT-Rental	782.60	0.00	782.60
<i>Special Education Fund</i>			
1% EWT	178.15	0.00	178.16
2% EWT	(0.02)	(0.02)	0.00
5% VAT	890.76	0.00	890.83
<i>Trust Fund</i>			
1% EWT	12,382.45	0.00	12,382.45
5% VAT	61,912.23	0.00	61,912.23
Sub-total	1,220,275.26	(77,405.18)	1,220,275.40
Due to GSIS			
<i>General Fund</i>			
Life and Retirement (Personal Share)	606,701.99	(38,752.53)	506,985.03
Life and Retirement (Government Share)	774,188.88	(56,230.18)	675,980.04
Employees Compensation Contribution	25,094.28	(2,561.76)	21,519.60
Consolidated Loan	17,192.89	(46,199.89)	0.00
Policy Loan	8,108.02	(12,391.98)	0.00
Optional Loan	274.17	(444.95)	0.00
Educational Assistance Loan	21,633.67	(866.68)	0.00
Calamity/Emergency Loan	10,188.96	(1,611.12)	0.00
Optional Life	393.12	(1,249.46)	359.56
GFAL Loan	(9,634.44)	(9,634.44)	0.00
For reconciliation	(10,202.66)	(10,202.66)	0.00
Sub-total	1,443,938.88	(180,145.65)	1,204,844.23
Due to Pag-IBIG			
<i>General Fund</i>			
Personal Premiums	119,889.81	(275.92)	118,869.12
Government Premiums	119,889.81	(275.92)	118,869.12
Multi-Purpose Loan	(1,000.00)	(1,000.00)	0.00
For reconciliation	(16,846.77)	(16,846.77)	0.00
Sub-total	221,932.85	(18,398.61)	237,738.24
Due to PhilHealth			

Account	Bal. per Subsidiary Schedules	Negative Balances	Remitted in January 2021
<i>General Fund</i>			
Personal Premiums	86,041.55	0.00	83,865.08
Government Premiums	86,034.57	0.00	83,865.97
For reconciliation	6,139.03	0.00	0.00
Sub-total	178,215.15	0.00	167,731.05
Total	₱3,064,362.14	₱ (275,949.44)	₱2,830,588.92

As shown in the preceding table, negative balances totaling ₱275,949.44 were noted in the subsidiary schedules which connote over-remittances or erroneous recording of transactions. Also, balances totaling ₱20,910.40 were not supported with subsidiary schedules containing the list of individual employees with the corresponding amount of contributions and loan amortizations which make up the unremitted or negative balances causing difficulty in its remittance to the respective government agencies and/or for the necessary adjustments, as appropriate. Moreover, the municipal government remitted only the amount of ₱2,830,588.92 in January 2021 leaving a balance of ₱233,773.22 contrary to GSIS, Pag-IBIG and PhilHealth issuances quoted below.

R.A. No. 8291 or the Government Service Insurance System (GSIS) Act of 1997 provides that:

SECTION 6. Collection and Remittance of Contributions. Xxx. (b) Each employer shall remit directly to the GSIS the employees' and employers' contributions within the first ten (10) days of the calendar month following the month to which the contributions apply. The remittance by the employer of the contributions to the GSIS shall take priority over and above the payment of any and all obligations, except salaries and wages of its employees.

Home Development Mutual Fund (HDMF) Circular No. 275 dated January 22, 2010 provides that:

E. REMITTANCE OF CONTRIBUTIONS AND EMPLOYEES' LOAN AMORTIZATIONS

- Employers shall remit the required monthly employer and employee contributions to the nearest Pag-IBIG branch or its authorized collecting banks, together with the duly accomplished Membership Contribution Remittance Form (MCRF), in accordance with the following remittance schedule:*

<i>First Letter of employer's name</i>	<i>Due date</i>
<i>A to D</i>	<i>10th to the 14th day of the month following the period covered</i>
<i>E to L</i>	<i>15th to the 19th day of the month following the</i>

	<i>period covered</i>
<i>M to Q</i>	<i>20th to the 24th day of the month following the period covered</i>
<i>R to Z, Numeral</i>	<i>25th to the end of the month following the period covered</i>

Failure or refusal of the employer to pay or to remit the contributions herein prescribed shall not prejudice the right of the covered member to the benefits under the Fund. Such employer shall be charged a penalty equivalent to 1/10 of 1% per day of delay of the amount due starting on the first day immediately following the due date until the date of full settlement.

Philippine Health Insurance Corporation (PhilHealth) Circular No. 0001, s.2014 provides that:

Pursuant to Section 18 of the Implementing Rules and Regulations of the National Health Insurance Act of 2013 which states that "The monthly premium contribution of employed members shall be remitted by the employer on or before the date prescribed by the Corporation," the payment schedule for the applicable month starting March 2014 onwards for the Formal Sector, specifically all Government and Private Employers, is hereby revised as follows:

<i>Existing</i>	<i>New Payment Schedule</i>	
<i>Every 10th day of the month following the applicable period</i>	<i>Employers with PENs ending in 0-4</i>	<i>Every 11th -15th day of the month following the applicable period</i>
	<i>Employers with PENs ending in 5-9</i>	<i>Every 16th -20th day of the month following the applicable period</i>

Submission of reports shall be within five (5) days after payment. Consistent to PhilHealth Circular No. 27 s.2010, should the date due fall on a weekend or on a holiday, payment and report submission shall be made on the next working day.

Furthermore, Section 11 of the same law prescribes that "Failure to remit the appropriate contribution shall be subject to interest and penalties as prescribed by the Corporation without prejudice to other applicable penalties ..."

Upon inquiry with the Municipal Accountant, she remarked that one of the reasons for the unremitted contributions and loan amortizations as well as the incurrence of negative balances was due to the difference between the amount of contributions and loan

amortizations computed by the Human Resource Management Office (HRMO) in the payroll and the amount in the billing sent by the GSIS, Pag-IBIG and PhilHealth. The systems used by these agencies do not accept payments unless it is of the same amount as the billing they sent, therefore the Municipality remits only the stated amount in the billing albeit different from their computation and records. This caused the unremitted and/or negative balances in the Accounting Office records because their basis in recording the amounts withheld/deducted is the payroll while payments are being recorded based on the actual payments as billed.

We recommended that the a) Municipal Accountant reconcile the records on Due to GSIS, Pag-IBIG and PhilHealth and provide subsidiary schedules for balances totaling ₱20,910.40 to facilitate remittance to the concerned agencies; b) HRM Officer immediately determine the cause/s of the discrepancies between the computed contributions and loan amortizations and the amounts on the billing sent by these agencies and inform the individuals concerned in order to facilitate the necessary adjustments; and c) Municipal Accountant and the Municipal Treasurer ensure that funds collected by the municipal government in behalf of other government agencies are remitted to them fully and within the prescribed due dates to avoid incurrence of interests and penalties.

The Management provided the following causes of the discrepancies on the deductions against remittances to GSIS, Pag-IBIG and PhilHealth:

- a. Due to sudden death of the former Municipal Mayor on November 2020, appointments of co-terminous employees were automatically terminated and new employees were hired that time. The Agency Authorized Officer submitted the report on separation last December 2, 2020 and the report of re-employment were only submitted to the GSIS on December 29, 2020. The GSIS Electronic Billing Collection System sent the billing to the LGU Accounting Office for the month earlier than the effectivity of salary adjustments uploaded by the LGU agency authorized office.

The Accounting Office prepares payroll based on Notice of Salary Adjustment (NOSA) being issued by the HRMO and remittances are based on the GSIS electronic billing statement sent as such there are discrepancies on premiums as well as loans being deducted from employees' payroll due to time difference of GSIS with that of HRMO reports.

- b. Discrepancies on Pag-IBIG loan were due to absence of billing statements from the Pag-IBIG Office. Deductions made by the Accounting Office for premiums were based again on the NOSA issued by the HRMO. Pag-IBIG membership identification number (MIN) is a primary requirement in sending e-remittance. Newly appointed personnel were not able to process on time their MIN, as such discrepancies occurred.

- c. Payroll master automatically deducts premium from every employee's respective payroll but some newly-hired employees failed to submit their correct PhilHealth Identification Number, a mandatory requirement in the e-remittance, which caused their exclusion from the remittance report.
- d. Due to Data Privacy Act of 2012, the Agency Authorized Officer and Accounting personnel can no longer access individual employees' account for reconciliation of their record at GSIS, Pag-IBIG and PhilHealth. Instead, they provide certification of payroll deductions and remittances made or any documents needed to be presented by an individual employee as proof for them to reconcile their account personally.
- e. For Due to the BIR, the negative balance of ₱77,405.18 represents withholding tax refund to employees who are either retired, passed away and resigned before the yearend.

The Management further commented that the LGU remittances to the aforementioned national government agencies are done within the prescribed due date. The concerned offices were instructed by the LCE to have close coordination and proper communication regularly and abide by the audit recommendations to lessen or zero out the discrepancies.

Gender and Development Fund

- 15. The Municipality has not institutionalized the mechanisms in the implementation of the Magna Carta of Women due to a) non-maintenance of complete sex-disaggregated data or Gender and Development (GAD) database; and b) non-formulation of an updated GAD Code, contrary to the provisions of the Philippine Commission on Women (PCW)-DILG-DBM and the National Economic and Development Authority (NEDA) JMC No. 2013-01 dated July 18, 2013, thus gender issues and concerns identified in the GAD Plan and Budget may not be fully addressed towards the attainment of gender equality and women's empowerment.**

The PCW-DILG-DBM-NEDA JMC No. 2013-01 dated July 18, 2013 on the Guidelines on the Localization of Magna Carta of Women. The JMC prescribes, among others, the policies and procedures in mainstreaming gender perspectives in local planning, programming and budgeting; local legislation; project development, implementation, monitoring and evaluation under RA No. 9710 or the Magna Carta of Women.

Inquiry with the GAD Focal Person and assessment of the documents submitted to the Audit Team disclosed the following observations regarding the Municipality's compliance with the said JMC:

a. Non-maintenance of complete sex-disaggregated data or GAD database

Pertinent provisions of the said JMC provide:

B) Establishment and Maintenance of GAD Database

- 1) LGUs, through their Local Planning and Development Offices (LPDO), shall spearhead the setting up and maintenance of the GAD database to serve as basis for gender-responsive planning, programming and policy formulation. The GAD database, which can either be manually operated or developed through software, shall form part of the overall management information system (MIS) of the LGU.
- 2) Sex-disaggregated data and GAD-related information may be derived and/or sourced from the local National Statistics Office (NSO), academe, CSOs as well as from studies, surveys and administrative reports of the local offices of NGAs such as, but not limited to the following: the Department of Agriculture (DA), Department of Environment and Natural Resources (DENR), Department of Agrarian Reform (DAR), Department of Labor and Employment (DOLE), Department of Trade and Industry (DTI).

The sex-disaggregated data and results of the Community-Based Monitoring System (CBMS), the National Household Targeting System for Poverty Reduction (NHTS-PR) and Local Governance Performance Management System (LGPMS) may form part of the GAD database.

- 3) The LGU GFPS or its TWG shall provide technical assistance to the LPDO in ensuring that the GAD Database is operational.
- 4) Provinces, cities, municipalities and barangays shall be capacitated to develop and/or enhance their GAD Databases. Barangay GFPS shall gather and process sex-disaggregated data and GAD-related information for submission to the city and/or municipality. The city and/or municipality shall consolidate the same for data processing, data analysis and data updating and maintenance of their GAD databases. The consolidated city and/or municipal data shall be submitted to provinces for updating and maintenance of their respective GAD databases.

Review and verification of the report generated by the GAD database maintained by the Municipality disclosed that the same is incomplete. Data and information reported therein are only for the social and economic development subsectors, specifically, demography, health, income and poverty and labor and employment. The sex-disaggregated data on the infrastructure sector, environmental sector, and institutional sector were not included in the database. Moreover, inquiry with the GAD Focal Person

revealed that they were not able to complete the data gathering during CY 2020 because of the COVID-19 pandemic.

The GAD database serves the following purposes:

- To aid in gender analysis of the local government unit (LGU) situation by surfacing gender gaps and/or differences among women and men in terms of their access to basic services and facilities, control of resources and enjoyment of rights, privileges, benefits and rewards. Information resulting from gender analysis shall be considered and integrated into the GAD Plan and Budget, gender-responsive Comprehensive Land Use Plan/ Comprehensive Development Plan/Executive and Legislative Agenda and the LGU GAD Code as provided for in the said JMC.
- To inform the LGU on the extent of implementation and/or attainment of gender equality and women's empowerment goals and outcomes. The GAD Database shall help monitor progress made in the implementation of international commitments and national laws on GAD, including the results of said implementation.
- To provide baseline data on the status of women and men in the LGU.

It must be noted that a complete and updated GAD database, containing information crucial for evidence-based planning and policy-making, is needed to address the current gender issues specifically identified in the annual GPB. The maintenance of an incomplete GAD database may result in GAD issues that may not be addressed and a plan or policy that may not materialize.

b. Non-formulation of and updated GAD Code

The formulation of the GAD Code is required in the said JMC, to wit:

E. Formulation/Enhancement and Implementation of the LGU GAD Code

- 1) All LGUs shall formulate and pass their GAD Codes or ordinances to support the LGU's efforts in promoting, protecting and fulfilling women's human rights, women's economic empowerment and gender-responsive governance towards the attainment of gender equality and women's empowerment.
- 2) The LGU GFPS shall assist the Local Sanggunian in the formulation of a GAD Code or ordinance.
- 3) Funding requirements in the formulation and implementation of the Code shall be charged to the LGU GAD budget.
- 4) LGUs shall ensure that the pertinent provisions of the GAD Code are integrated in local development plans.

Also, the Guidelines on the Formulation, Implementation, Monitoring and Evaluation of a GAD Code issued by the PCW provided a recommended process in formulating GAD Code and one of these stated that to sustain the GAD Code's relevance in the LGU and amend it when necessary, periodic monitoring and evaluation must be conducted by officials and other stakeholders.

The GAD Focal Person informed the Audit Team that the Municipality has formulated the LGU GAD Code on June 17, 2012 however, this Code has not been updated, thus the integration of gender-related PAPs, which are of relevance to the Municipality, in the local development plan may not be prioritized. During CY 2020, they have already started drafting the amended GAD Code but were not able to finish due to the COVID-19 pandemic.

We recommended that the Municipal Mayor instruct the:

- a. MPDC, with the assistance of the GFPS, to establish a complete and updated GAD database, and conduct gender analysis to serve as a basis for addressing gender issues and concerns in GAD planning and budgeting for the ensuing years; and**
- b. Local Sanggunian to formulate an updated GAD Code or ordinances that will support the Municipality's efforts in promoting, protecting and fulfilling women's human rights, economic empowerment and gender-responsive governance towards the attainment of gender equality and women's empowerment.**

The Management commented that the revision of the GAD Code has been among the top priorities of the Municipality particularly at the level of the Sangguniang Bayan (SB). Their eagerness to revise the Code is reflected from the list of priority PPAs of the council in its current and previous years' AIP. The Management also provided the following information:

On March 16, 2020, to ensure that the revision/updating of the code will be expedited, the SB enacted Ordinance No. 360 s.2020 entitled "*An Ordinance Prescribing the Creation of a Technical Working Group (TWG) for the Revision of the Gender and Development Code, Children's Code And Women's Code of Taytay, Palawan, Providing its Duties and Responsibilities, Funds and for Other Purposes.*" However, very shortly after the enactment of the ordinance, the entire country was shocked by the national lockdown imposed to arrest and mitigate the spread of COVID-19.

Back then, following the direction of the national government, the local government of Taytay, and all LGUs for that matter, had no choice but to recalibrate its priorities and realign its resources. Government resources and efforts were all attuned into the containment of the virus and the distribution of needed

assistance to the communities during the imposition of national lockdown, and thus, revision of the GAD Code was once again set aside.

On November 26, 2020, seeing the urgency for the immediate crafting of the GAD Code, then Vice Mayor, in his capacity as Acting Municipal Mayor, issued E.O. No. 46, s 2020, organizing the TWG for the crafting of GAD Code.

On January 5, 2021, working under the new normal set-up, the just assumed LCE, issued E.O. No. 02, s.2021, entitled *“An Order Reconstituting the Composition of GAD Focal Point System and Prescribing the Composition, Duties and Responsibilities and for Other Purposes”* – among the prescribed duties and functions of the GFPS is the “Formulation and implementation of LGU GAD Code”.

Further, specifically to implement Ordinance No. 360, s 2020, on January 6, 2021, the LCE signed again E.O No. 014, s.2021, entitled *“An Order Reconstituting the Technical Working Group (TWG) for the Revision of the Gender and Development Code, Children’s Code and Women’s Code of the Municipality of Taytay, Palawan, Prescribing its Duties, Functions and for Other Purposes”*

On May 5, 2021, the newly created TWG deliberated and agreed on the procedures, assignment of tasks and the calendar of succeeding meetings to facilitate the crafting of the revised GAD Code, Children’s Code and Women’s Code. With this, the Municipality, through its GFPS, is confident that PAPs identified, prioritized, funded and implemented under the GAD Program are all based on stringent identification, analysis and prioritizing of existing gender-issues and concerns that need to be addressed, guided by existing relevant national laws and issuances.

With the hope that COVID-19 will soon be over or if not the cases in Taytay would lessen into a more manageable level, the Municipality through its created TWG for the revision of the GAD Code, will resume all efforts to facilitate the revision process and would be able submit the final version to the SB for final consideration. Hopefully, thereafter, the SB will be able to conduct necessary public consultation/hearing and subsequently enact the final version into law (Code) before the year 2021 ends.

Audit Disallowances

- 16. The COA Order of Execution issued to enforce the settlement of Notice of Disallowance No. T-19-001-100-(2017) dated April 2, 2019 was not fully complied with leaving unsettled balance of ₱63,167.00 as at year-end contrary to the provisions of Section 7.1 of COA Circular No. 2009-006 dated September 15, 2009.**

COA Circular No. 2009-006 dated September 15, 2009 which prescribes the Rules and Regulations on the Settlement of Accounts provides that:

Section 7. Responsibilities for Audit and Settlement of Accounts

7.1 Responsibility of the Agency Head

7.1.1 The head of the agency, who is primarily responsible for all government funds and property pertaining to his agency, shall ensure that: xxx (b) the settlement of disallowances and charges is made within the prescribed period; xxx.

7.1.2 The head of the Agency shall initiate the necessary administrative and/or criminal action in case of unjustified failure/refusal to effect compliance with the foregoing requirements by subordinate officials. Gross negligence in disciplining subordinates who are the subject of repeated adverse audit findings shall subject the officials concerned to disciplinary action by the proper authorities as the evidence may warrant.

7.1.3 He shall enforce the COA Order of Execution (COE) by requiring the withholding of salaries or other compensation due the person liable in satisfaction of the disallowance or charge.

7.1.4 He shall ensure that all employees who are retiring or transferring to other agencies shall first settle the disallowances and charges for which they are liable.

Rule XIII of the 2009 Revised Rules of Procedure of the Commission on Audit (COA) has the following provisions on enforcement and monitoring of COA decisions:

Section 3. Non-compliance with the COE – In case of failure by the Cashier/Treasurer/Disbursing Officer to comply with the COE, the Auditor shall notify the agency head concerned of the non-compliance. At the same time, the Auditor shall report the matter through the COA Director concerned, to the General Counsel who shall take any or all of the following actions:

- a. Recommend to the Commission Proper to cite defaulting party in contempt;*
- b. Refer the matter to the Solicitor General for the filing of appropriate civil suit;*
- c. Refer the case to the Ombudsman for the filing of appropriate administrative or criminal action.*

As of December 31, 2020, the account Receivables-Disallowances/Charges had a balance of ₱63,167.00 as shown in detail in the table below.

ND No.	ND Date	Amount	Settled	Balance as of 12/31/20
T-19-001-100- (2017)	April 2, 2019	₱3,740,000.00	₱3,676,833.00	₱63,167.00

As shown by the foregoing data, it can be observed that ND No. T-19-001-100- (2017) amounting to ₱63,167.00 remained unsettled as of December 31, 2020. Contrary to the above-quoted provisions of Section 7.1.3 of COA Circular No. 2009-006 dated September 15, 2009, payment of salaries and other compensation to the persons liable were not immediately withheld although the COA Orders of Execution (COEs) for the Notices of Disallowances (NDs) were already received by the former Municipal Mayor and the Acting Municipal Treasurer.

As stated in the COEs, payment of salaries or any money due the persons liable in violation of the COEs will be disallowed in audit for which the Municipal Mayor and the Municipal Treasurer will be held liable.

Upon inquiry with the Management as to the status of the said disallowance, the Accounting Office submitted the subsidiary schedule of the Due to Officers and Employees account under the GF and informed the Audit Team that the balance of ₱55,100.00 of the said account pertains to the amounts withheld from the salaries of three municipal employees who have already retired. This amount is still due for remittance to the Municipal Treasurer while the remaining ₱8,067.00 is still to be paid by the other persons liable.

Corollary to the above rules and regulations, the last paragraph of the Notice of Finality of Decision (NFD) and the Notice of Disallowance (ND) clearly directs the person named liable therein to immediately settle the disallowance.

We recommended that the (a) Municipal Mayor require the full settlement of the disallowance; and (b) Municipal Accountant transmit the proof of settlement of ND to the Audit Team for issuance of Notice of Settlement of Suspension/Disallowance/Charge (NSSDC).

The Municipal Treasurer submitted the copies of four official receipts totaling ₱63,167.00 which were paid on June 15, 17, 18 and 24, 2021, as proof of their full settlement of the disallowed amount.

B. Unsettled Suspensions, Disallowances and Charges

Unsettled audit disallowances and suspensions as of December 31, 2020 amounted to ₱9,666,878.00 and ₱4,799,800.00, respectively, while there are no unsettled charges as of December 31, 2020, as summarized in this table.

Particulars	Balance, Beg. (Dec. 31, 2019)	This Period January 01 to December 31, 2020 (See Details Below)		Balance, End (Dec. 31, 2020)
		NS/ND/NC	NSSDC	
Notice of Suspension	₱4,799,800.00	₱0.00	₱ 0.00	₱4,799,800.00
Notice of Disallowance	9,957,328.00	346,598.00	637,048.00	9,666,878.00
Notice of Charge	0.00	0.00	0.00	0.00
Total	₱14,757,128.00	₱346,598.00	₱637,048.00	₱14,466,678.00

The details of unsettled disallowances are as follows:

Particulars	ND Nos.	Amount	Remarks
1.Romy L. Salvame, Municipal Mayor, and others - Payment for the construction of SALINTUBIG project	18-003-300- (2014 and 2015) dated August 15, 2018	₱1,180,280.00	with COA Decision pending issuance of COA Order of Execution (COE) - The Appeal was dismissed for having been filed out of time
2. Romy L. Salvame, Municipal Mayor, and others - Payment for Collective Negotiation Agreement (CAN) incentive with lacking supporting documents that will establish the validity, legality and propriety of the disbursement as required under Section 5.16 of COA Circular No. 2012-001 dated June 14, 2012 and DBM Budget Circular (BC) No 2017-3 dated November 16, 2017	19-001-100-(2017) dated April 2, 2019	3,740,000.00	Officials and employees have already settled the amount of ₱3,676,833.00, thus leaving a balance of ₱63,167.00 as of December 31, 2020. The said amount was fully refunded in June 2021.
3. Romy L. Salvame, Municipal Mayor, and others – Procurement of one (1) unit secondhand/ reconditioned mini dump truck with lacking supporting documents that will establish the reasonableness of the cost and conformity of the procurement procedures with RA No. 9184 and its 2016 IRR and DBM Budget Circular (BC) No. 446-A dated January 30, 1998	19-002-100-(2017) dated April 2, 2019	1,000,000.00	With Appeal filed at COA Region IVB. The Appellees (auditors) had already submitted answer to the Appeal, pending issuance of COA Region IVB Decision.
4. Romy L. Salvame, Municipal Mayor, and others - Procurement of one (1) unit reconditioned Isuzu double cab dropside with canopy 12 feet cargo truck with lacking supporting documents that will establish the reasonableness of the cost and conformity of the procurement procedures with RA No. 9184 and its 2009 IRR and DBM Budget Circular (BC) No. 446-A dated January 30, 1998	19-003-100-(2017) dated April 2, 2019	1,100,000.00	With Appeal filed at COA Region IVB. The Appellees (auditors) had already submitted answer to the Appeal, pending issuance of COA Region IVB Decision.

Particulars	ND Nos.	Amount	Remarks
5. Romy L. Salvame, Municipal Mayor, and others - Procurement of one (1) unit Isuzu rebuilt dropside with canopy truck and one (1) unit Isuzu Garbage Compactor rebuilt truck with lacking supporting documents that will establish the reasonableness of the cost and conformity of the procurement procedures with RA No. 9184 and its 2016 IRR and DBM Budget Circular (BC) No. 446-A dated January 30, 1998	19-004-100-(2017) dated April 2, 2019	2,300,000.00	
6. Engagement of services of a private lawyer as consultant	T20-001-100-(2017) dated February 26, 2020	140,000.00	With Appeal filed at COA Region IVB, preparation of Appellees' answer to appeal is still ongoing.
7. Engagement of services of a private lawyer as consultant	T20-002-100-(2018) dated February 26, 2020	101,598.00	
8. Engagement of services of a private lawyer as consultant	T20-003-100-(2017) dated February 26, 2020	105,000.00	
	Total	₱9,666,878.00	

As for the unsettled audit suspensions, details are as follows:

Particulars	NS Nos.	Amount	Remarks
1. Payment for Janitorial Services - Lack of supporting documents that will establish the validity of the claims, reasonableness of the contract cost and conformity of the procurement procedures with RA No. 9184 and its 2009 IRR	18-001-100-(2016) dated May 22, 2018	₱1,250,000.00	Lacking documents were substantially submitted but there was a pending request to the COA Technical Audit Specialist on the technical evaluation on the reasonableness of contract cost.
2. Payment for Janitorial Services - Lack of supporting documents that will establish the validity of the claims, reasonableness of the contract cost and conformity of the procurement procedures with RA No. 9184 and its 2009 IRR	18-002-100-(2016) dated May 22, 2018	1,250,000.00	
3. Payment for Janitorial Services - Lack of supporting documents that will establish the validity of the claims, reasonableness of the contract cost and conformity of the procurement procedures with RA No. 9184 and its 2009 IRR	18-003-100-(2017) dated June 1, 2018	1,249,800.00	
4. Payment for Janitorial Services -	18-004-100-(2017)	1,050,000.00	

Particulars	NS Nos.	Amount	Remarks
Lack of supporting documents that will establish the validity of the claims, reasonableness of the contract cost and conformity of the procurement procedures with RA No. 9184 and its 2009 IRR	dated June 1, 2018		
	Total		₱4,799,800.00

Municipal Government of Taytay
Detailed Statement of Financial Position
As at December 31, 2020

ACCOUNT TITLE	TOTAL	GENERAL FUND	SPECIAL EDUCATION FUND	TRUST FUND
ASSETS				
CURRENT ASSETS				
CASH AND CASH EQUIVALENTS				
Cash on Hand				
Cash-Local Treasury	P 1,552,344.16	P 1,476,415.48	P 0.00	P 75,928.68
Cash in Bank-Local Currency				
Cash in Bank -Local Currency, Current Account	354,220,013.95	278,142,150.55	5,571,070.06	70,506,793.34
Total Cash and Cash Equivalents	355,772,358.11	279,618,566.03	5,571,070.06	70,582,722.02
INVESTMENTS				
Investments in Time Deposits				
Cash in Bank - Local Currency, Time Deposits	247,688,697.13	247,688,697.13	0.00	0.00
Total Investments	247,688,697.13	247,688,697.13	0.00	0.00
LOANS AND RECEIVABLE ACCOUNTS				
Loans and Accounts Receivable				
Real Property Tax Receivable	16,757,326.17	16,757,326.17	0.00	0.00
Special Education Tax Receivable	16,757,326.17	0.00	16,757,326.17	0.00
Inter-Agency Receivables				
Due from Local Government Units	3,399,578.14	3,399,578.14	0.00	0.00
Intra-Agency Receivables				
Due from Other Funds	13,578,986.55	6,185,766.98	1,400,154.55	5,993,065.02
Advances				
Advances for Operating Expenses	344,979.00	344,979.00	0.00	0.00
Advances for Payroll	1,826,236.80	1,826,236.80	0.00	0.00
Other Receivables				
Receivables - Disallowances/Charges	63,167.00	63,167.00	0.00	0.00
Total Loans and Receivables	52,727,599.83	28,577,054.09	18,157,480.72	5,993,065.02
INVENTORIES				
Inventory Held for Consumption				
Fuel, Oil and Lubricants Inventory	1,911,671.00	1,911,671.00	0.00	0.00
Chemical and Filtering Supplies Inventory	270,000.00	270,000.00	0.00	0.00
Other Supplies and Materials Inventory	1,894,603.62	1,894,603.62	0.00	0.00
Total Inventories	4,076,274.62	4,076,274.62	0.00	0.00
PREPAYMENTS AND DEFERRED CHARGES				
Prepayments				
Advances to Contractors	(1,040,884.44)	966,132.75	0.00	(2,007,017.19)
Total Prepayments and Deferred Charges	(1,040,884.44)	966,132.75	0.00	(2,007,017.19)
TOTAL CURRENT ASSETS	659,224,045.25	560,926,724.62	23,728,550.78	74,568,769.85
NON-CURRENT ASSETS				
PROPERTY, PLANT AND EQUIPMENT				
Land				
Land	31,849,197.76	31,849,197.76	0.00	0.00
Land Improvements				
Other Land Improvements	10,094,728.03	10,094,728.03	0.00	0.00
Accumulated Depreciation-Other Land Improvements	0.00	0.00	0.00	0.00
Infrastructure Assets				
Road Networks	25,972,507.75	25,972,507.75	0.00	0.00
Accumulated Depreciation - Road Networks	(3,192,908.07)	(3,192,908.07)	0.00	0.00
Flood Control Systems	19,050,426.25	19,050,426.25	0.00	0.00
Accumulated Depreciation-Flood Control Systems	(2,379,198.00)	(2,379,198.00)	0.00	0.00
Water Supply Systems	7,108,241.59	7,108,241.59	0.00	0.00
Accumulated Depreciation-Water Supply Systems	(852,989.46)	(852,989.46)	0.00	0.00
Power Supply Systems	822,268.90	822,268.90	0.00	0.00
Accumulated Depreciation - Power Supply Systems	(74,630.88)	(74,630.88)	0.00	0.00
Seaport Systems	2,816,250.45	2,816,250.45	0.00	0.00

ACCOUNT TITLE	TOTAL	GENERAL FUND	SPECIAL EDUCATION FUND	TRUST FUND
Accumulated Depreciation-Seaport Systems	(405,540.33)	(405,540.33)	0.00	0.00
Airport Systems	27,674,925.68	27,674,925.68	0.00	0.00
Accumulated Depreciation-Airport Systems	(1,394,087.45)	(1,394,087.45)	0.00	0.00
Parks, Plazas and Monuments	12,781,803.02	12,781,803.02	0.00	0.00
Accumulated Depreciation-Parks, Plazas and Monuments	(2,300,724.81)	(2,300,724.81)	0.00	0.00
Other Infrastructure Assets	9,295,535.63	9,295,535.63	0.00	0.00
Accumulated Depreciation-Parks, Plazas and Monuments	(1,346,959.16)	(1,346,959.16)	0.00	0.00
Buildings and Other Structures				
Buildings	76,594,632.35	76,594,632.35	0.00	0.00
Accumulated Depreciation - Buildings	(26,566,217.56)	(26,566,217.56)	0.00	0.00
School Buildings	26,848,848.31	26,541,280.63	307,567.68	0.00
Accumulated Depreciation - School Buildings	(8,558,349.78)	(8,319,164.37)	(239,185.41)	0.00
Hospitals and Health Centers	11,449,692.78	11,449,692.78	0.00	0.00
Accumulated Depreciation-Hospitals and Health Centers	(4,326,037.42)	(4,326,037.42)	0.00	0.00
Markets	25,744,828.34	25,744,828.34	0.00	0.00
Accumulated Depreciation-Markets	(10,363,891.79)	(10,363,891.79)	0.00	0.00
Slaughterhouses	1,604,200.39	1,604,200.39	0.00	0.00
Accumulated Depreciation-Slaughterhouses	(397,039.53)	(397,039.53)	0.00	0.00
Other Structures	7,825,126.10	7,825,126.10	0.00	0.00
Accumulated Depreciation - Other Structures	(2,715,949.59)	(2,715,949.59)	0.00	0.00
Machinery and Equipment				
Machinery	2,208,892.91	2,208,892.91	0.00	0.00
Accumulated Depreciation - Machinery	(1,646,054.61)	(1,646,054.61)	0.00	0.00
Office Equipment	10,800,466.62	10,291,372.62	509,094.00	0.00
Accumulated Depreciation - Office Equipment	(5,577,051.39)	(5,208,305.68)	(368,745.71)	0.00
Information and Communication Technology Equipment	22,566,000.57	21,874,335.57	691,665.00	0.00
Accumulated Depreciation - Information and Communication Technology Equipment	(13,561,634.16)	(13,132,598.76)	(429,035.40)	0.00
Communication Equipment	2,734,342.80	2,734,342.80	0.00	0.00
Accumulated Depreciation - Communication Equipment	(1,464,934.09)	(1,464,934.09)	0.00	0.00
Construction and Heavy Equipment	9,577,646.96	9,577,646.96	0.00	0.00
Accumulated Depreciation - Construction and Heavy Equipment	(2,117,822.68)	(2,117,822.68)	0.00	0.00
Disaster Response and Rescue Equipment	5,461,853.49	5,461,853.49	0.00	0.00
Accumulated Depreciation - Disaster Response and Rescue Equipment	(3,055,239.45)	(3,055,239.45)	0.00	0.00
Military, Police and Security Equipment	1,017,379.10	1,017,379.10	0.00	0.00
Accumulated Depreciation - Military, Police and Security Equipment	(233,427.14)	(233,427.14)	0.00	0.00
Medical Equipment	857,900.00	857,900.00	0.00	0.00
Accumulated Depreciation-Medical Equipment	(126,285.00)	(126,285.00)	0.00	0.00
Sports Equipment	100,000.00	100,000.00	0.00	0.00
Accumulated Depreciation - Sports Equipment	(24,750.00)	(24,750.00)	0.00	0.00
Technical and Scientific Equipment	1,799,262.80	1,799,262.80	0.00	0.00
Accumulated Depreciation-Technical and Scientific Equipment	(1,030,577.87)	(1,030,577.87)	0.00	0.00
Other Machinery and Equipment	11,616,097.34	11,381,297.34	234,800.00	0.00
Accumulated Depreciation - Other Machinery and Equipment	(6,890,005.46)	(6,743,416.46)	(146,589.00)	0.00
Transportation Equipment				
Motor Vehicles	50,806,134.37	50,806,134.37	0.00	0.00
Accumulated Depreciation - Motor Vehicles	(26,623,801.60)	(26,623,801.60)	0.00	0.00
Watercrafts	650,150.00	650,150.00	0.00	0.00
Accumulated Depreciation - Watercrafts	(253,204.24)	(253,204.24)	0.00	0.00
Other Transportation Equipment	2,000,000.00	2,000,000.00	0.00	0.00
Accumulated Depreciation-Other Transportation Equipment	(682,500.00)	(682,500.00)	0.00	0.00
Furniture, Fixtures and Books				
Furniture and Fixtures	11,543,405.83	11,100,414.32	442,991.51	0.00
Accumulated Depreciation-Furniture and Fixtures	(5,516,346.29)	(5,289,516.20)	(226,830.09)	0.00
Books	121,100.00	121,100.00	0.00	0.00
Accumulated Depreciation-Books	(89,425.46)	(89,425.46)	0.00	0.00
Construction in Progress				
Construction in Progress - Infrastructures Assets	107,246,240.72	107,246,240.72	0.00	0.00
Construction in Progress - Buildings and Other Structures	94,449,017.01	94,449,017.01	0.00	0.00
Other Property, Plant and Equipment				

ACCOUNT TITLE	TOTAL	GENERAL FUND	SPECIAL EDUCATION FUND	TRUST FUND
Work/Zoo Animals	100,000.00	100,000.00	0.00	0.00
Other Property, Plant and Equipment	1,755,063.00	1,755,063.00	0.00	0.00
Accumulated Depreciation - Other Property, Plant and E	(149,412.20)	(149,412.20)	0.00	0.00
Total Property, Plant and Equipment	501,027,171.38	500,251,438.80	775,732.58	0.00
BIOLOGICAL ASSETS				
Bearer Biological Assets				
Breeding Stocks	312,550.00	312,550.00	0.00	0.00
Total Bearer Biological Assets	312,550.00	312,550.00	0.00	0.00
INTANGIBLE ASSETS				
Intangible Assets				
Computer Software	1,008,395.00	1,008,395.00	0.00	0.00
Total Intangible Assets	1,008,395.00	1,008,395.00	0.00	0.00
TOTAL NON-CURRENT ASSETS	502,348,116.38	501,572,383.80	775,732.58	0.00
TOTAL ASSETS	P 1,161,572,161.63	P 1,062,499,108.42	P 24,504,283.36	P 74,568,769.85
LIABILITIES				
CURRENT LIABILITIES				
Financial Liabilities				
Accounts Payable				
Accounts Payable	P 66,443,482.77	P 65,780,513.26	P 662,969.51	P 0.00
Due to Officers and Employees	55,100.00	55,100.00	0.00	0.00
Loans Payable - Domestic	3,856,041.23	3,856,041.23	0.00	0.00
Inter-Agency Payables				
Due to BIR	1,220,275.26	1,144,911.69	1,068.89	74,294.68
Due to GSIS	1,443,938.88	1,443,938.88	0.00	0.00
Due to Pag-IBIG	221,932.85	221,932.85	0.00	0.00
Due to PhilHealth	178,215.15	178,215.15	0.00	0.00
Due to National Government Agencies	40,298,586.41	264,966.49	0.00	40,033,619.92
Due to GOCCs	489,521.06	400,831.84	1,800.00	86,889.22
Due to LGUs	4,084,515.10	3,939,566.63	0.00	144,948.47
Intra-Agency Payables				
Due to Other Funds	13,578,986.55	13,578,786.55	0.00	200.00
Trust Liabilities				
Trust Liabilities - Disaster Risk Reduction and Management Fund	5,410,141.34	0.00	0.00	5,410,141.34
Bail Bonds Payable	1,554,416.18	0.00	0.00	1,554,416.18
Guaranty/Security Deposits Payable	3,552,910.84	1,827,261.56	37,175.36	1,688,473.92
Deferred Credits/Unearned Income				
Deferred Real Property Tax	16,757,326.17	16,757,326.17	0.00	0.00
Deferred Special Education Tax	16,757,326.17	0.00	16,757,326.17	0.00
Other Payables				
Other Payables	153,978.21	153,978.21	0.00	0.00
TOTAL CURRENT LIABILITIES	176,056,694.17	109,603,370.51	17,460,339.93	48,992,983.73
NON-CURRENT LIABILITIES				
Financial Liabilities				
Accounts Payable				
Loans Payable - Domestic	88,844,684.91	88,844,684.91	0.00	0.00
Other Payables				
Other Payables	25,575,786.12	0.00	0.00	25,575,786.12
TOTAL NON-CURRENT LIABILITIES	114,420,471.03	88,844,684.91	0.00	25,575,786.12
TOTAL LIABILITIES	290,477,165.20	198,448,055.42	17,460,339.93	74,568,769.85
NET ASSETS/EQUITY				
Net Assets/Equity	871,094,996.43	864,051,053.00	7,043,943.43	0.00
TOTAL NET ASSETS/EQUITY	871,094,996.43	864,051,053.00	7,043,943.43	0.00
TOTAL LIABILITIES AND NET ASSETS/EQUITY	P 1,161,572,161.63	P 1,062,499,108.42	P 24,504,283.36	P 74,568,769.85

Municipal Government of Taytay
Detailed Statement of Financial Performance
For the Year Ended December 31, 2020

ACCOUNT TITLE	TOTAL	GENERAL FUND	SPECIAL EDUCATION FUND
REVENUE			
Tax Revenue			
Individual and Corporation			
Community Tax	P 1,193,230.01	P 1,193,230.01	P 0.00
Property			
Real Property Tax - Basic	2,742,188.52	2,742,188.52	0.00
Less: Discount on Real Property Tax - Basic	(205,482.54)	(205,482.54)	0.00
Special Education Tax	3,631,591.24	0.00	3,631,591.24
Less: Discount on Special Education Tax	0.00	0.00	0.00
Goods and Services			
Business Tax	14,881,275.41	14,881,275.41	0.00
Fines and Penalties			
Tax Revenue-Fines and Penalties-Property Taxes	314,268.30	314,268.30	0.00
Tax Revenue-Fines and Penalties-Taxes on Goods and Services	990,320.74	990,320.74	0.00
Share from National Taxes			
Share from Internal Revenue Collections	407,334,432.96	407,334,432.96	0.00
Total Tax Revenue	430,881,824.64	427,250,233.40	3,631,591.24
Business and Service Income			
Service Income			
Permit Fees	6,992,865.04	6,992,865.04	0.00
Registration Fees	1,365,400.50	1,365,400.50	0.00
Registration Plates, Tags and Stickers Fees	377,375.00	377,375.00	0.00
Clearance and Certification Fees	2,042,818.20	2,042,818.20	0.00
Inspection Fees	1,944,708.40	1,944,708.40	0.00
Occupation Fees	1,367,570.00	1,367,570.00	0.00
Fishery, Rentals, Fees and Charges	3,741,756.00	3,741,756.00	0.00
Fees for Sealing and Licensing of Weights and Measures	53,185.00	53,185.00	0.00
Fines & Penalties - Service Income	254,716.77	254,716.77	0.00
Other Service Income	2,535,832.25	2,535,832.25	0.00
Business Income			
Rent Income	650.00	650.00	0.00
Receipts from Market Operation	2,302,817.50	2,302,817.50	0.00
Receipts from Slaughterhouse Operation	247,110.00	247,110.00	0.00
Garbage Fees	495,800.00	495,800.00	0.00
Hospital Fees	275,620.00	275,620.00	0.00
Interest Income	3,748,386.01	3,748,386.01	0.00
Total Business and Service Income	27,746,610.67	27,746,610.67	0.00
Shares, Grants and Donations			
Shares			
Share from PCSO	19,370.22	19,370.22	0.00
Total Shares, Grants and Donations	19,370.22	19,370.22	0.00
Miscellaneous Income			
Miscellaneous Income	19,264.82	19,264.82	0.00
Total Miscellaneous Income	19,264.82	19,264.82	0.00
TOTAL REVENUE	458,667,070.35	455,035,479.11	3,631,591.24
LESS: CURRENT OPERATING EXPENSES			
Personal Services			
Salaries and Wages			
Salaries and Wages - Regular	63,733,833.88	63,733,833.88	0.00
Salaries and Wages - Casual/Contractual	17,840,665.72	17,770,465.72	70,200.00
Other Compensation			
Personnel Economic Relief Allowance (PERA)	5,847,636.46	5,847,636.46	0.00
Representation Allowance (RA)	2,606,287.50	2,606,287.50	0.00
Transportation Allowance (TA)	2,424,937.50	2,424,937.50	0.00
Subsistence Allowance	527,200.00	527,200.00	0.00
Laundry Allowance	78,876.00	78,876.00	0.00
Productivity Incentive Allowance	5,000.00	5,000.00	0.00

ACCOUNT TITLE	TOTAL	GENERAL FUND	SPECIAL EDUCATION FUND
Honoraria	378,817.37	378,817.37	0.00
Hazard Pay	4,275,448.42	4,275,448.42	0.00
Overtime and Night Pay	176,337.84	176,337.84	0.00
Year End Bonus	5,844,753.35	5,844,753.35	0.00
Cash Gift	5,000.00	5,000.00	0.00
Other Bonuses and Allowances	12,144,889.50	12,144,889.50	0.00
Personnel Benefit Contributions			
Retirement and Life Insurance Contributions	8,306,811.60	8,306,811.60	0.00
Pag-IBIG Contributions	1,387,175.55	1,387,175.55	0.00
PhilHealth Contributions	977,358.22	977,358.22	0.00
Employees Compensation Insurance Premiums	262,068.98	262,068.98	0.00
Other Personnel Benefits			
Terminal Leave Benefits	2,060,872.44	2,060,872.44	0.00
Other Personnel Benefits	10,257,640.69	10,257,640.69	0.00
Total Personal Services	139,141,611.02	139,071,411.02	70,200.00
Maintenance and Other Operating Expenses			
Travelling Expenses			
Travelling Expenses - Local	19,274,313.23	19,274,313.23	0.00
Training and Scholarship Expenses			
Training Expenses	6,744,414.82	6,697,294.82	47,120.00
Scholarship Grants/Expenses	3,000.00	3,000.00	0.00
Supplies and Materials Expenses			
Office Supplies Expenses	4,124,049.05	3,787,929.71	336,119.34
Food Supplies Expenses	44,053,958.00	44,053,958.00	0.00
Accountable Forms Expenses	233,553.75	233,553.75	0.00
Animal/Zoological Supplies Expenses	109,800.00	109,800.00	0.00
Drugs and Medicines Expenses	8,170,494.24	8,170,494.24	0.00
Medical, Dental and Laboratory Supplies Expenses	6,372,485.70	6,372,485.70	0.00
Fuel, Oil and Lubricants Expenses	11,152,040.69	11,152,040.69	0.00
Agricultural and Marine Supplies Expenses	1,329,909.00	1,329,909.00	0.00
Chemical and Filtering Supplies Expenses	139,100.00	139,100.00	0.00
Other Supplies and Materials Expenses	10,001,811.95	9,838,499.29	163,312.66
Utility Expenses			
Water Expenses	50,511.60	50,511.60	0.00
Electricity Expenses	4,415,711.75	4,405,086.74	10,625.01
Communication Expenses			
Postage and Courier Service	11,021.00	11,021.00	0.00
Telephone Expenses	944,721.59	931,714.78	13,006.81
Internet Subscription Expenses	285,003.32	285,003.32	0.00
Awards/Rewards and Prizes			
Awards/Rewards Expenses	1,740,003.37	1,740,003.37	0.00
Confidential, Intelligence and Extraordinary Expenses			
Extraordinary and Miscellaneous Expenses	181,396.00	181,396.00	0.00
Professional Services			
Auditing Services	56,267.06	56,267.06	0.00
Other Professional Services	5,266,274.38	5,266,274.38	0.00
General Services			
Environment/Sanitary Services	3,690,495.42	3,690,495.42	0.00
Janitorial Services	1,027,835.37	1,027,835.37	0.00
Security Services	2,962,321.32	2,962,321.32	0.00
Other General Services	3,427,571.00	3,427,571.00	0.00
Repairs and Maintenance			
Repairs and Maintenance - Infrastructure Assets	203,922.40	203,922.40	0.00
Repairs and Maintenance - Building and Other Structures	1,994,767.01	1,012,951.36	981,815.65
Repairs and Maintenance - Machinery and Equipment	4,357,389.00	4,357,389.00	0.00
Repairs and Maintenance - Transportation Equipment	5,061,469.50	5,061,469.50	0.00
Repairs and Maintenance - Other Property, Plant and Equipment	50,220.00	50,220.00	0.00
Taxes, Insurance Premiums and Other Fees			
Taxes, Duties and Licenses	18,341.63	18,341.63	0.00
Fidelity Bond Premiums	221,459.43	221,459.43	0.00
Insurance Expenses	1,545,648.65	1,545,648.65	0.00

ACCOUNT TITLE	TOTAL	GENERAL FUND	SPECIAL EDUCATION FUND
Other Maintenance and Operating Expenses			
Advertising Expenses	376,512.00	376,512.00	0.00
Printing and Publication Expenses	749,550.95	749,550.95	0.00
Rent Expenses	156,521.68	156,521.68	0.00
Membership Dues and Contributions to Organizations	79,300.00	79,300.00	0.00
Donations	31,872,287.72	31,872,287.72	0.00
Other Maintenance and Operating Expenses	6,978,283.36	6,951,003.36	27,280.00
Total Maintenance and Other Operating Expenses	189,433,736.94	187,854,457.47	1,579,279.47
Non-Cash Expenses			
Depreciation			
Depreciation - Infrastructure Assets	3,576,924.84	3,576,924.84	0.00
Depreciation - Buildings and Structures	5,533,628.76	5,533,628.76	0.00
Depreciation - Machinery and Equipment	4,115,671.98	4,037,806.26	77,865.72
Depreciation - Transportation Equipment	3,425,645.07	3,425,645.07	0.00
Depreciation - Furniture, Fixtures and Books	639,259.95	618,166.95	21,093.00
Depreciation - Other Property, Plant and Equipment	96,942.20	96,942.20	0.00
Total Non-Cash Expenses	17,388,072.80	17,289,114.08	98,958.72
TOTAL CURRENT OPERATING EXPENSES	345,963,420.76	344,214,982.57	1,748,438.19
SURPLUS (DEFICIT) FROM CURRENT OPERATIONS	112,703,649.59	110,820,496.54	1,883,153.05
ADD/(DEDUCT): TRANSFERS, ASSISTANCE AND SUBSIDY			
Assistance and Subsidy From			
Subsidy from National Government	33,966,422.00	33,966,422.00	0.00
Financial Assistance/Subsidy to			
Subsidy to National Government Agencies	(362,906.00)	(362,906.00)	0.00
Subsidy to Other Local Government Units	(5,309,860.00)	(5,309,860.00)	0.00
Subsidy to Other Funds	(15,885,456.60)	(15,885,456.60)	0.00
Subsidy - Others	(42,500.00)	(42,500.00)	0.00
Transfers to			
Transfers of Unspent Current Year DRRM Funds to the Trust Fund	(5,410,141.34)	(5,410,141.34)	0.00
Total Transfers, Assistance and Subsidy to	6,955,558.06	6,955,558.06	0.00
NET FINANCIAL ASSISTANCE/SUBSIDY	6,955,558.06	6,955,558.06	0.00
SURPLUS (DEFICIT) FOR THE PERIOD	P 119,659,207.65	P 117,776,054.60	P 1,883,153.05

Municipal Government of Taytay
Detailed Statement of Changes in Net Assets/Equity
For the Year Ended December 31, 2020

ACCOUNT TITLE	TOTAL	GENERAL FUND	SPECIAL EDUCATION FUND	TRUST FUND
Balance, January 1, 2020	P 747,695,788.78	P 742,534,998.40	P 5,160,790.38	P 0.00
Add (Deduct)				
Prior Period Errors	<u>3,740,000.00</u>	<u>3,740,000.00</u>	<u>0.00</u>	<u>0.00</u>
Restated Balance	751,435,788.78	746,274,998.40	5,160,790.38	0.00
Add (Deduct) Changes in net assets/equity during the year				
Suplus (Deficit) for the period	<u>119,659,207.65</u>	<u>117,776,054.60</u>	<u>1,883,153.05</u>	<u>0.00</u>
Balance, December 31, 2020	<u>P 871,094,996.43</u>	<u>P 864,051,053.00</u>	<u>P 7,043,943.43</u>	<u>P 0.00</u>

Municipal Government of Taytay
Detailed Statement of Cash Flows
For the Year Ended December 31, 2020

PARTICULARS	TOTAL	GENERAL FUND	SPECIAL EDUCATION FUND	TRUST FUND
Cash Flows from Operating Activities				
Cash Inflows				
Collection from taxpayers	P 33,598,287.31	P 30,885,633.67	P 2,712,653.64	P 0.00
Share from Internal Revenue Allotment	407,334,432.96	407,334,432.96	0.00	0.00
Receipts from business/service income	24,007,942.66	24,007,942.66	0.00	0.00
Interest Income	4,168,386.01	4,168,386.01	0.00	0.00
Other Receipts	216,194,743.80	88,995,297.54	0.00	127,199,446.26
Total Cash Inflows	685,303,792.74	555,391,692.84	2,712,653.64	127,199,446.26
Cash Outflows				
Payment to suppliers and creditors	104,059,247.87	19,754,787.86	273,216.92	84,031,243.09
Payment to employees	83,940,801.95	83,316,577.95	624,224.00	0.00
Payment of expenses	136,957,844.76	136,519,860.33	437,984.43	0.00
Other Expenses	198,723,523.77	156,845,820.01	52,792.25	41,824,911.51
Total Cash Outflows	523,681,418.35	396,437,046.15	1,388,217.60	125,856,154.60
Net Cash Flows from Operating Activities	161,622,374.39	158,954,646.69	1,324,436.04	1,343,291.66
Cash Flows from Investing Activities				
Cash Inflows				
Proceeds/Interest from Time Deposit Investments	0.00	0.00	0.00	0.00
Total Cash Inflows	0.00	0.00	0.00	0.00
Cash Outflows				
Purchase/Construction of Property, Plant and Equipment	105,671,467.09	105,671,467.09		0.00
Purchase of Intangible Assets	748,795.00	748,795.00	0.00	0.00
Total Cash Outflows	106,420,262.09	106,420,262.09	0.00	0.00
Net Cash Flows from Investing Activities	(106,420,262.09)	(106,420,262.09)	0.00	0.00
Cash Flows from Financing Activities				
Cash Inflows				
Proceeds from Loans	53,249,825.03	53,249,825.03	0.00	0.00
Total Cash Inflows	53,249,825.03	53,249,825.03	0.00	0.00
Cash Outflows:				
Payment of loan amortization	2,181,333.97	2,181,333.97	0.00	0.00
Total Cash Outflows	2,181,333.97	2,181,333.97	0.00	0.00
Net Cash Flows from Financing Activities	51,068,491.06	51,068,491.06	0.00	0.00
Total Cash Provided by Operating, Investing and Financing	106,270,603.36	103,602,875.66	1,324,436.04	1,343,291.66
Add : Cash Balance, January 1, 2020	497,190,451.88	423,704,387.50	4,246,634.02	69,239,430.36
Cash Balance, December 31, 2020	P 603,461,055.24	P 527,307,263.16	P 5,571,070.06	P 70,582,722.02

Municipal Government of Taytay
Statement of Comparison of Budget and Actual Amounts
For the Year Ended December 31, 2020

Particulars	Budgeted Amounts		Difference Original and Final	Actual Amounts	Difference Final Budget and Actual
	Original	Final			
General Fund					
Beginning Balance (AA)	404,111,401.51	404,111,401.51	0.00	404,111,401.51	0.00
Revenue (BB)					
A. Local Sources					
1. Tax Revenue					
a. Tax Revenue - Property	1,955,396.34	1,955,396.34	0.00	2,850,974.28	895,577.94
b. Tax Revenue - Goods and Services	7,580,496.57	7,580,496.57	0.00	15,871,596.15	8,291,099.58
c. Other Local Taxes	849,525.68	849,525.68	0.00	1,193,230.01	343,704.33
Total Tax Revenue	10,385,418.59	10,385,418.59	0.00	19,915,800.44	9,530,381.85
2. Non-Tax Revenue					
a. Service Income	13,081,389.92	13,081,389.92	0.00	20,676,227.16	7,594,837.24
b. Business Income	3,254,248.09	3,254,248.09	0.00	7,070,383.51	3,816,135.42
c. Other Income and Receipts	3,314,872.83	3,314,872.83	0.00	38,635.04	(3,276,237.79)
Total Non-Tax Revenue	19,650,510.84	19,650,510.84	0.00	27,785,245.71	8,134,734.87
B. External Sources					
1. Share from the National Internal Revenue Taxes (I	408,256,343.00	408,256,343.00	0.00	407,334,432.96	(921,910.04)
2. Other Receipts			0.00		
a. Other Subsidy Income		33,966,422.00	(33,966,422.00)	33,966,422.00	0.00
Total Revenue and Receipts (AA+BB)	438,292,272.43	472,258,694.43	(33,966,422.00)	489,001,901.11	16,743,206.68
TOTAL FUNDS	842,403,673.94	876,370,095.94	(33,966,422.00)	893,113,302.62	16,743,206.68
Expenditures					
Current Appropriations					
General Public Services					
Office of the Mayor					
Personal Services	12,723,218.08	14,035,444.90	(1,312,226.82)	12,091,179.75	1,944,265.15
Maintenance and Other Operating Expenses	36,405,403.78	38,683,923.78	(2,278,520.00)	23,326,477.51	15,357,446.27
Capital Outlay	0.00	200,000.00	(200,000.00)	0.00	200,000.00
Office of the Vice Mayor					
Personal Services	4,996,128.00	5,672,012.78	(675,884.78)	5,104,495.64	567,517.14
Maintenance and Other Operating Expenses	7,780,000.00	7,780,000.00	0.00	4,710,956.56	3,069,043.44
Capital Outlay	0.00	295,000.00	(295,000.00)	269,500.00	25,500.00
Office of the Sangguniang Bayan					
Personal Services	15,393,706.24	15,702,797.12	(309,090.88)	15,420,831.64	281,965.48
Maintenance and Other Operating Expenses	7,820,000.00	7,820,000.00	0.00	6,066,477.39	1,753,522.61
Office of the Secretary to the Sangguniang Bayan					
Personal Services	4,368,536.39	4,178,238.30	190,298.09	3,613,583.25	564,655.05
Maintenance and Other Operating Expenses	1,358,000.00	1,358,000.00	0.00	1,039,484.35	318,515.65
Capital Outlay	380,000.00	737,500.00	(357,500.00)	557,000.00	180,500.00
Office of the Municipal Administrator					
Personal Services	6,224,928.24	6,027,368.47	197,559.77	4,969,881.46	1,057,487.01
Maintenance and Other Operating Expenses	3,956,200.00	4,381,680.00	(425,480.00)	3,702,002.76	679,677.24
Capital Outlay	420,000.00	420,000.00	0.00	100,000.00	320,000.00
Office of the Human Resource Management Officer					
Personal Services	24,063,548.94	21,637,383.37	2,426,165.57	19,705,421.70	1,931,961.67
Maintenance and Other Operating Expenses	2,261,500.00	3,761,500.00	(1,500,000.00)	1,895,513.95	1,865,986.05
Capital Outlay	0.00	1,130,000.00	(1,130,000.00)	107,330.00	1,022,670.00
Office of the Municipal Planning and Development Coordinator					
Personal Services	5,532,017.45	5,325,551.84	206,465.61	3,441,472.19	1,884,079.65
Maintenance and Other Operating Expenses	2,990,000.00	2,991,760.00	(1,760.00)	1,296,555.21	1,695,204.79
Capital Outlay	0.00	136,500.00	(136,500.00)	98,700.00	37,800.00
Office of the Municipal Civil Registrar					
Personal Services	3,609,608.63	3,609,820.12	(211.49)	3,326,805.91	283,014.21
Maintenance and Other Operating Expenses	1,105,000.00	1,105,000.00	0.00	716,850.31	388,149.69
Capital Outlay	0.00	130,000.00	(130,000.00)	102,850.00	27,150.00
Office of the Municipal General Services Officer					
Personal Services	5,207,239.28	4,974,668.86	232,570.42	3,811,267.71	1,163,401.15
Maintenance and Other Operating Expenses	12,225,000.00	12,553,160.00	(328,160.00)	9,655,777.54	2,897,382.46
Capital Outlay	400,000.00	400,000.00	0.00	373,550.00	26,450.00

Particulars	Budgeted Amounts		Difference Original and Final	Actual Amounts	Difference Final Budget and Actual
	Original	Final			
Office of the Municipal Budget Officer					
Personal Services	3,862,387.09	3,770,422.76	91,964.33	3,248,423.43	521,999.33
Maintenance and Other Operating Expenses	875,600.00	875,600.00	0.00	537,726.40	337,873.60
Capital Outlay	20,000.00	95,000.00	(75,000.00)	0.00	95,000.00
Office of the Municipal Accountant					
Personal Services	6,405,006.69	6,461,281.34	(56,274.65)	5,712,883.24	748,398.10
Maintenance and Other Operating Expenses	1,532,000.00	1,532,000.00	0.00	927,869.65	604,130.35
Office of the Municipal Treasurer					
Personal Services	8,646,221.80	8,126,015.94	520,205.86	6,362,303.62	1,763,712.32
Maintenance and Other Operating Expenses	2,713,150.00	3,000,150.00	(287,000.00)	2,239,134.27	761,015.73
Capital Outlay	0.00	45,000.00	(45,000.00)	42,500.00	2,500.00
Office of the Municipal Assessor					
Personal Services	5,099,828.36	4,828,119.06	271,709.30	3,483,833.02	1,344,286.04
Maintenance and Other Operating Expenses	1,924,600.00	1,924,600.00	0.00	1,068,866.55	855,733.45
Capital Outlay	300,000.00	300,000.00	0.00	0.00	300,000.00
Office of the MDRMO					
Personal Services	4,737,315.66	5,268,539.68	(531,224.02)	3,764,523.69	1,504,015.99
Maintenance and Other Operating Expenses	1,510,000.00	4,520,000.00	(3,010,000.00)	3,988,746.98	531,253.02
Health, Nutrition and Population Control					
Office of the Municipal Health Officer					
Personal Services	21,790,033.95	22,291,951.92	(501,917.97)	19,894,121.51	2,397,830.41
Maintenance and Other Operating Expenses	8,613,000.00	8,973,000.00	(360,000.00)	7,075,416.07	1,897,583.93
Capital Outlay	0.00	800,000.00	(800,000.00)	0.00	800,000.00
Labor and Employment					
Community Affairs/ PESO Section					
Maintenance and Other Operating Expenses	3,578,000.00	4,931,520.00	(1,353,520.00)	3,925,167.13	1,006,352.87
Capital Outlay	90,000.00	90,000.00	0.00	0.00	90,000.00
Trade and Industry Section					
Maintenance and Other Operating Expenses	582,000.00	582,000.00	0.00	202,192.40	379,807.60
Social Services and Social Welfare					
Office of the Municipal Social Welfare and Development Officer					
Personal Services	5,361,428.85	5,229,772.57	131,656.28	4,154,581.53	1,075,191.04
Maintenance and Other Operating Expenses	3,388,000.00	20,007,000.00	(16,619,000.00)	19,108,353.45	898,646.55
Capital Outlay	0.00	165,000.00	(165,000.00)	165,000.00	0.00
Economic Services					
Office of the Mayor-Licensing Division					
Maintenance and Other Operating Expenses	780,000.00	1,140,000.00	(360,000.00)	965,647.43	174,352.57
Capital Outlay	0.00	120,000.00	(120,000.00)	0.00	120,000.00
Office of the Municipal Environment and Natural Resources Officer					
Personal Services	3,065,483.20	3,092,348.00	(26,864.80)	2,763,061.47	329,286.53
Maintenance and Other Operating Expenses	5,542,000.00	7,444,800.00	(1,902,800.00)	6,363,640.94	1,081,159.06
Capital Outlay	387,000.00	387,000.00	0.00	284,400.00	102,600.00
Office of the Motorpool Section					
Personal Services	3,510,050.53	3,986,742.45	(476,691.92)	2,484,677.04	1,502,065.41
Maintenance and Other Operating Expenses	7,411,000.00	7,411,000.00	0.00	4,843,586.35	2,567,413.65
Office of the Public Market Section					
Personal Services	460,731.00	492,327.60	(31,596.60)	411,204.37	81,123.23
Maintenance and Other Operating Expenses	498,000.00	498,000.00	0.00	349,181.63	148,818.37
Capital Outlay	0.00	3,346,397.70	(3,346,397.70)	1,636,885.00	1,709,512.70
Office of the Municipal Economic Enterprise Development Office (MEEDO)					
Personal Services	2,792,454.59	2,251,612.60	540,841.99	8,588.50	2,243,024.10
Maintenance and Other Operating Expenses	80,000.00	80,000.00	0.00	0.00	80,000.00
Office of the Municipal Tourism					
Personal Services	2,530,196.24	2,589,817.00	(59,620.76)	2,073,275.65	516,541.35
Maintenance and Other Operating Expenses	9,078,840.00	9,661,160.00	(582,320.00)	3,451,254.63	6,209,905.37
Capital Outlay	110,000.00	110,000.00	0.00	105,000.00	5,000.00
Office of the Municipal Engineer					
Personal Services	5,021,225.70	5,170,831.52	(149,605.82)	4,850,206.28	320,625.24
Maintenance and Other Operating Expenses	776,000.00	776,000.00	0.00	607,803.35	168,196.65
Capital Outlay	810,000.00	810,000.00	0.00	266,500.00	543,500.00

Particulars	Budgeted Amounts		Difference Original and Final	Actual Amounts	Difference Final Budget and Actual
	Original	Final			
Municipal Cooperative Development Office					
Maintenance and Other Operating Expenses	851,000.00	851,000.00	0.00	610,781.82	240,218.18
Capital Outlay	15,000.00	15,000.00	0.00	0.00	15,000.00
Office of the Municipal Agriculturist					
Personal Services	5,484,562.91	5,188,403.08	296,159.83	3,638,877.09	1,549,525.99
Maintenance and Other Operating Expenses	9,559,527.16	9,957,527.16	(398,000.00)	8,170,906.02	1,786,621.14
Capital Outlay	487,000.00	547,000.00	(60,000.00)	64,950.00	482,050.00
Taytay Water System Development Office					
Personal Services	1,702,971.00	1,725,719.00	(22,748.00)	1,566,159.26	159,559.74
Maintenance and Other Operating Expenses	3,164,000.00	4,599,000.00	(1,435,000.00)	3,976,020.29	622,979.71
Capital Outlay	250,000.00	420,000.00	(170,000.00)	255,500.00	164,500.00
Other Purposes:					
Gender and Development Program					
Maintenance and Other Operating Expenses	18,325,000.00	17,825,000.00	500,000.00	16,787,533.21	1,037,466.79
Capital Outlay	1,500,000.00	2,408,700.00	(908,700.00)	1,146,695.00	1,262,005.00
Local Council Protection of Children					
Personal Services					
Maintenance and Other Operating Expenses	4,082,563.43	4,082,563.43	0.00	2,979,742.80	1,102,820.63
Debt Service					
Capital Outlay	0.00	4,196,433.39	(4,196,433.39)	4,196,433.39	0.00
LDRRMF					
Maintenance and Other Operating Expenses	16,214,613.62	62,846,135.62	(46,631,522.00)	56,604,342.86	6,241,792.76
Capital Outlay	5,700,000.00	3,634,900.00	2,065,100.00	3,587,888.96	47,011.04
20% Development Fund					
Capital Outlay	81,651,268.60	81,651,268.60	0.00	26,179,890.24	55,471,378.36
Allocation for Senior Citizens and PWD					
Office of the Senior Citizens Affair					
Maintenance and Other Operating Expenses	2,757,794.00	2,757,794.00	0.00	2,386,805.71	370,988.29
Capital Outlay	100,000.00	100,000.00	0.00	95,950.00	4,050.00
Person with Disability Program (PWD)					
Maintenance and Other Operating Expenses	1,224,769.43	1,224,769.43	-	897,516.94	327,252.49
Subsidy to 31 Barangays					
Maintenance and Other Operating Expenses	31,000.00	31,000.00	0.00	31,000.00	0.00
Total General Fund - Current Appropriations	436,202,658.84	522,294,533.39	(86,091,874.55)	376,047,514.00	146,247,019.39
General Fund - Continuing Appropriations					
Continuing Appropriations: 20% Devt. Fund					
CY 2019					
Other Purposes:					
Others					
Capital Outlay	60,010,272.05	60,010,272.05	0.00	32,352,193.30	27,658,078.75
CY 2018					
Other Purposes:					
Others					
Capital Outlay	30,735,539.63	30,735,539.63	0.00	6,151,563.00	24,583,976.63
CY 2017					
Other Purposes:					
Others					
Capital Outlay	24,317,254.17	24,317,254.17	0.00	455,000.00	23,862,254.17
CY 2016					
Other Purposes:					
Others					
Capital Outlay	11,693,765.60	11,693,765.60	0.00	282,681.00	11,411,084.60
CY 2015					
Other Purposes:					
Others					
Capital Outlay	11,918,764.61	11,918,764.61	0.00	0.00	11,918,764.61
CY 2014					
Other Purposes:					
Others					
Capital Outlay	4,244,910.39	4,244,910.39	0.00	0.00	4,244,910.39

Particulars	Budgeted Amounts		Difference Original and Final	Actual Amounts	Difference Final Budget and Actual
	Original	Final			
CY 2013					
Other Purposes:					
Others					
Capital Outlay	2,794,491.60	2,794,491.60	0.00	0.00	2,794,491.60
CY 2007-2012					
Other Purposes:					
Others					
Capital Outlay	4,275,285.77	4,275,285.77	0.00	346,422.70	3,928,863.07
Continuing Appropriations: Continuing Capital Outlay 2013-2017					
General Public Services					
Office of the Mayor					
Capital Outlay	43,198,105.86	43,198,105.86	0.00	6,687,693.86	36,510,412.00
Office of the Vice Mayor					
Capital Outlay	3,071,225.00	3,071,225.00	0.00	2,294,448.46	776,776.54
Office of the Administrator					
Capital Outlay	2,055,939.80	2,055,939.80	0.00	1,019,100.00	1,036,839.80
Office of the Human Resource Management Officer					
Capital Outlay	1,484,676.00	351,570.00	1,133,106.00	196,120.00	155,450.00
Office of the Municipal Planning and Development Coordinator					
Capital Outlay	7,329,968.88	7,329,968.88	0.00	139,198.00	7,190,770.88
Office of the Municipal Civil Registrar					
Capital Outlay	205,985.00	205,985.00	0.00	116,090.00	89,895.00
Office of the Municipal General Services Officer					
Capital Outlay	5,487,301.27	5,487,301.27	0.00	1,837,209.00	3,650,092.27
Office of the Municipal Budget Officer					
Capital Outlay	45,650.00	45,650.00	0.00	0.00	45,650.00
Office of the Municipal Accountant					
Capital Outlay	807,351.14	807,351.14	0.00	780,750.00	26,601.14
Office of the Municipal Treasurer					
Capital Outlay	952,927.55	952,927.55	0.00	840,180.00	112,747.55
Office of the Municipal Assessor					
Capital Outlay	348,299.00	348,299.00	0.00	156,498.00	191,801.00
LDRRMO					
Capital Outlay	281,550.00	281,550.00	0.00	0.00	281,550.00
Economic Services					
Office of Municipal Engineer					
Capital Outlay	768,441.29	768,441.29	0.00	702,167.25	66,274.04
Office of the Motorpool Services					
Capital Outlay	548,138.30	548,138.30	0.00	505,013.00	43,125.30
Office of the Tourism					
Capital Outlay	2,415,968.00	2,415,968.00	0.00	0.00	2,415,968.00
Office of the Municipal Agriculturist					
Capital Outlay	21,850.00	21,850.00	0.00	21,850.00	0.00
Office of the Public Market					
Capital Outlay	1,343,869.04	1,343,869.04	0.00	19,900.00	1,323,969.04
Office of the Municipal Environment and Natural Resources Office					
Capital Outlay	1,130,840.00	1,130,840.00	0.00	972,058.06	158,781.94
Cooperative Development Section					
Capital Outlay	12,000.00	12,000.00	0.00	0.00	12,000.00
Community Affairs					
Capital Outlay	20,000.00	20,000.00	0.00	0.00	20,000.00
Water Development Office					
Capital Outlay	138,200.00	138,200.00	0.00	49,600.00	88,600.00
Licensing section					
Capital Outlay	150,020.00	150,020.00	0.00	47,500.00	102,520.00
Health, Nutrition and Population Control					
Office of the Municipal Health Officer					
Capital Outlay	2,187,700.00	1,387,700.00	800,000.00	1,343,000.00	44,700.00
Local Council for Protection of Children					
Capital Outlay	2,000,000.00	2,000,000.00	0.00	0.00	2,000,000.00

Particulars	Budgeted Amounts		Difference Original and Final	Actual Amounts	Difference Final Budget and Actual
	Original	Final			
Social Services and Social Welfare					
Municipal Social Welfare and Development Office					
Capital Outlay	508,500.00	508,500.00	0.00	298,750.00	209,750.00
Gender and Development					
Capital Outlay	3,471,610.00	3,388,910.00	82,700.00	3,133,543.10	255,366.90
Continuing Appropriations: Other Continuing Capital Outlay					
Other Purposes: Debt Servicing					
Water Supply System					
Capital Outlay	145,136,392.48	145,136,392.48	0.00	1,464,334.66	143,672,057.82
Continuing Appropriations: Other Continuing Accounts					
CY 2012-2017					
Other Purposes:					
Others					
Capital Outlay(MDRRM Special Account)	26,311,644.29	26,311,644.29	0.00	16,042,654.60	10,268,989.69
Others with MOA/Contract	2,686,964.79	2,686,964.79	0.00	0.00	2,686,964.79
Total General Fund - Continuing Appropriations	404,111,401.51	402,095,595.51	2,015,806.00	78,255,517.99	323,840,077.52
TOTAL APPROPRIATIONS - GENERAL FUND	840,314,060.35	924,390,128.90	(84,076,068.55)	454,303,031.99	470,087,096.91
Special Education Fund - Current Appropriations					
Revenue					
1. Beginning Balance	131,000.00	131,000.00	0.00	131,000.00	0.00
2. Tax Revenue					
a. Tax Revenue - Property	2,396,665.35	2,396,665.35	0.00	3,631,591.24	1,234,925.89
3. Non-Tax Revenue					
a. Business Income	0.00	0.00	0.00	0.00	0.00
Total Revenue and Receipts	2,527,665.35	2,527,665.35	0.00	3,762,591.24	1,234,925.89
Expenditures					
Current Appropriations					
Personal Services	54,000.00	134,000.00	(80,000.00)	56,860.00	77,140.00
Maintenance and Other Operating Expenses	3,792,071.52	3,579,431.52	212,640.00	1,471,516.99	2,107,914.53
Capital Outlay		132,640.00	(132,640.00)	130,987.50	1,652.50
Total Special Education Fund - Current Appropriations	3,846,071.52	3,846,071.52	0.00	1,659,364.49	2,186,707.03
Special Education Fund - Continuing Appropriations					
Expenditures					
Special Education Fund - Continuing Appropriations					
Capital Outlay	131,000.00	131,000.00	0.00	0.00	131,000.00
Total SEF - Continuing Appropriation	131,000.00	131,000.00	0.00	0.00	131,000.00
Total Appropriations	3,977,071.52	3,977,071.52	0.00	1,659,364.49	2,317,707.03

***from Continuing Appropriations and Savings